

THE WALL STREET JOURNAL.

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What's News

Business & Finance

◆ **Big banks are trying** to avoid scrutiny by Republican states that are putting pressure on companies for “woke” policies that conservative policymakers say are illegal and discriminatory. **A1**

◆ **Powell told lawmakers** that recent economic data would have likely justified continuing to cut interest rates if not for concerns that higher tariffs might derail the Fed’s fight against inflation. **A2**

◆ **Benchmark U.S. oil futures** fell further to settle at \$64.37 a barrel and stock indexes rose, with the S&P 500, Nasdaq and Dow gaining 1.1%, 1.4% and 1.2%, respectively. **B1**

◆ **U.S. consumer confidence** slipped in June, reversing an improvement in May, the Conference Board said. **A2**

◆ **The U.K.’s antitrust authority** proposed to designate Google as having strategic market status in general search and search advertising, paving the way for measures that could change how the company operates. **B1**

◆ **Carnival raised its outlook** for the year as the cruise line logged higher-than-expected quarterly profit and revenue, boosted by strong demand and consumer spending. **B1**

◆ **Amazon.com plans to invest** about \$54 billion in the U.K. over the next three years, expanding its warehouse network and artificial-intelligence infrastructure. **B6**

◆ **Hackers suspected to be** behind recent data breaches at Marks & Spencer, Victoria’s Secret and other retailers appears to be setting their sights on insurance companies, including Aflac. **B1**

World-Wide

◆ **A cease-fire between Israel** and Iran appeared to be holding on Tuesday after Trump unleashed an expletive-laced tirade aimed at the leaders of both countries in hopes of keeping the fragile peace. **A1, A6-7**

◆ **A preliminary intelligence report** found that the U.S. military’s strikes on three Iranian nuclear facilities set back Tehran’s nuclear ambitions by only a few months. **A1**

◆ **A formal announcement** of a pledge by NATO members to more than double their military spending was expected at a meeting of the alliance in The Hague on Wednesday. **A16**

◆ **Andrew Cuomo** conceded the Democratic primary in the New York City mayor’s race to Zohran Mamdani, a favorite of progressives, but the ex-governor’s team suggested he might still run in November. **A3**

◆ **Attorneys general** from 21 states sued the Trump administration for slashing billions of dollars in federal funding and justifying the cuts by citing shifting agency priorities. **A2**

◆ **Homeowners who** bought near the peak of the market are increasingly finding they owe more on their mortgages than their properties are worth. **A3**

◆ **Roughly six million federal student-loan borrowers** are 90 days or more past due, TransUnion said, and about a third of them could move into default in July. **A3**

◆ **Trump dared political foes** to try again to remove him from office, taking aim at comments by Democratic Rep. Alexandria Ocasio-Cortez. **A4**

◆ **Died: Bobby Sherman**, 81, teen idol in the ‘60s and ‘70s. **A2**

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Iran-Israel Cease-Fire Appears to Hold



SIEED QADAR IMAGES/ZUMA PRESS

Israeli rescue teams descended on the scene of a missile strike in a residential area of Beer Sheba. Four people were killed in southern Israel after Iran launched missile barrages toward the country early Tuesday, shortly before a truce took effect.

Both sides relent following Trump tirade fueled by alleged violations

A cease-fire between Israel and Iran appeared to be holding on Tuesday after President Trump unleashed an expletive-laced tirade aimed at the leaders of both countries in hopes of keeping the fragile peace.

By Yaroslav Trofimov, Alexander Ward, Jared Malsin and Summer Said

“We basically have two countries that have been fighting so long and so hard that they don’t know what the f— they’re doing,” Trump said at the White House Tuesday morning when the truce looked in danger of breaking.

Trump was surprised to learn Tuesday morning that the war hadn’t ended following his announcement of a truce on Monday. After Trump expressed deep frustration, Prime Minister Benjamin Netanyahu said Israel would refrain from further strikes on Iran following a call with the president.

It remains to be seen how long the truce will hold, and whether the U.S. and its allies will be able to use the leverage gained by the U.S. and Israeli strikes to reach a diplomatic deal that prevents Iran from obtaining a nuclear weapon in coming years.

Yet, the rapid move from a surprise airstrike to a cease-fire, with major policy pivots announced via social-media posts that gave whiplash to friends and foes alike, has showcased Trump’s unorthodox approach to wielding power.

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- ◆ **Trump set for a win on NATO spending..... A16**

U.S. Strikes Found to Cost Tehran A Few Months on Nuclear Program

Early intelligence report counters Trump; White House calls it ‘flat out wrong’

A preliminary intelligence report found that the U.S. military’s strikes last week on three Iranian nuclear facilities

By Dustin Volz, Jared Malsin and Lara Seligman

ties only set back Tehran’s nuclear ambitions by a few months, countering claims

made by President Trump and the White House, according to people familiar with the intelligence.

The initial findings, written by the Defense Intelligence Agency, relied on military damage assessments following the bombings, the people said, adding that the assessment could change as more intelligence is collected.

A senior administration official confirmed the report’s existence but said it hadn’t risen to the level of being shared with Defense Department’s top leaders. Multiple members of Congress, includ-

ing full committees, have seen or have access to the report, lawmakers said.

U.S. intelligence agencies frequently produce classified reports that are later revised, sometimes substantially, as more information is collected. Such reports don’t necessarily reflect the views of other spy agencies, and disagreement among the agencies isn’t uncommon.

Karoline Leavitt, the White House press secretary, wrote in a post on X that the “alleged ‘assessment’ is flat out wrong,” and described the report as classified at the top-

secret level. She also blamed an “anonymous, low-level loser in the intelligence community” for leaking the report to the media. CNN earlier reported on the assessment.

The Office of the Director of National Intelligence, which oversees all intelligence agencies in the U.S. government, declined to comment. The Defense Intelligence Agency didn’t respond to a request for comment.

The report contradicts statements from Trump, who has repeatedly said the targets of the raids were destroyed. Please turn to page A8

INSIDE



SPORTS

The rookie sensation who throws 103 mph—and who’s almost unhittable. **A12**



BUSINESS & FINANCE

Probe of door blowout faults both Boeing and air-safety regulators. **B1**

Lawyers Tout Huge Verdicts, But Clients Struggle to Collect

Gloria Allred, Lisa Bloom and others market victories against Alki David, but getting him to pay has been an ordeal

By KHADEEJA SAFDAR

Elizabeth Taylor spent nearly a decade pursuing a sexual-harassment claim against her former boss at an online streaming company in Los Angeles. The long, grinding legal fight seemed worth it when a jury awarded her \$8.4 million in late 2023.

Her lawyer, Lisa Bloom, was ebullient, splashing news of the verdict across her website, Instagram page and YouTube channel. She billed it as “one of the biggest sexual harassment verdicts of the year.”

Some 18 months later, though, the 38-year-

old hasn’t received a cent. “I think I look stupid on her website,” she said, referring to Bloom’s marketing. “No one knows that I’m not a multimillionaire and that I don’t have a dollar to my name.” She said she sleeps in her mother’s guest room in Jacksonville, Fla.

Taylor is one of several employees who have collected only small portions or none at all of the enormous civil judgments they won—more than \$150 million in total—against their former boss Alkiviades “Alki” David, an heir to a Coca-Cola bottling fortune who was widely reported to be a billionaire.

Please turn to page A8

The Island Where Horses Rule

* * *

On Vieques, they run through surf and ruin gardens

By JUAN FORERO

AND JENNY CAROLINA GONZÁLEZ

VIEQUES, Puerto Rico—Denise González thought a garden would be the perfect finishing touch for the bungalow she was preparing to rent out to tourists. The 20 bushes she had brought in “would brighten things up,” she said.

With the garden planted, the house—perched on a bluff with turquoise views and framed by mango and Spanish lime trees—seemed ready for visitors seeking laid-back Caribbean vibes.

Then came the horses. “Oh my goodness! In a day the horses finished off the Please turn to page A10

Big Banks Try to Avoid Running Afoul of GOP

Big banks are trying to get out of the crosshairs of Republican states that are cracking down on companies for “woke” policies that conservative policymakers say are illegal and discriminatory.

By Alexander Saeedy, AnnaMaria Andriotis and Dylan Tokar

Representatives from JP-Morgan Chase, Citigroup, Wells Fargo and other big banks met in recent weeks with officials in states including Texas and Oklahoma to defend against allegations that they refuse to do business with industries such as gun manufacturing and fossil-fuel extraction, people familiar with the discussions said.

Banks are also worried about a bigger threat: that President Trump could turn the power of the federal government against banks, as he has with universities and big

law firms.

The Trump administration is considering an executive order on “debanking,” according to people familiar with the matter.

Leaders in a growing number of conservative states have accused banks of boycotting industries for political reasons, rather than based on traditional factors such as the ability to repay debts. States including Texas and Oklahoma have blacklisted some banks from state contracts as a result. Banks said they weigh risks when deciding who to do business with and limit ties with companies for financial, legal and reputational reasons.

“I’m not asking them to be MAGA banks,” Todd Russ, Oklahoma’s state treasurer, said in an interview. “I want them to manage my portfolio and stay out of these political ideologies. I think they realize Please turn to page A2

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U.S. NEWS

Powell Sticks to His Guns on Rate Cut

Fed chief testifies he is waiting for more data before cutting, citing tariffs

By Nick Timiraos

Federal Reserve Chair Jerome Powell told lawmakers Tuesday that recent economic data would have likely justified continuing to lower interest rates if not for concerns that higher tariffs might derail the central bank's yearslong fight to defeat inflation.

Powell said little to tee up a July rate cut without explicitly ruling one out. But his answers to lawmaker queries suggested it was more likely officials would wait until at least the September meeting to see if tariff-driven price increases are milder than expected before resuming rate cuts.

"If it turns out that inflation pressures do remain contained, we will get to a place where we cut rates sooner rather than later, but I wouldn't want to point to a particular meeting," Powell said at a House Financial Ser-

vices Committee hearing. Officials broadly expect tariffs to spur price growth to pick up this summer, interrupting an uneven but broad-based inflation slowdown. "We do expect [inflation] to move [up] in the summer and if we see it not happening, we will learn from that," Powell said.

The Fed is trying to see how the dust will settle from the aftereffects of President Trump's April 2 tariff announcements, among other policy changes. There is great uncertainty over when and how much businesses may pass along the cost of higher import taxes into consumer prices.

No rush

Powell also said officials would pay close attention to unemployment in considering whether to resume rate cuts. "If we were to see the labor market meaningfully weaken in a way that was concerning, that would matter for that decision," he said. "I don't think we need to be in any rush."

Trump has urged Powell to cut rates now and said Powell could then raise them later if

inflation resurfaces. In an overnight social media post looking ahead to the hearing on Tuesday, Trump said, "I hope Congress really works this very dumb, hardheaded person, over."

While some Republicans diplomatically quizzed Powell over his more cautious position toward lowering rates, lawmakers mostly declined to vigorously press the line of criticism made by Trump and some of his appointees.

Fed officials held their short-term benchmark rate steady last week in a unanimous decision. But that surface unity masks a rift that is opening over the path forward.

A few have concluded that tariffs will have only modest effects on prices and want to resume rate cuts soon. If tariffs hit profit margins harder than prices, they could slow the economy and risk higher unemployment.

Two Fed officials appointed by Trump, Christopher Waller and Michelle Bowman, have in recent days indicated they could support lowering rates as soon as the Fed's next policy meeting at the end of July.

Waller and Bowman said they expect tariffs will lead to a small, one-time increase in prices that won't generate higher inflation beyond the next year.

Others want to stay on hold for longer because they aren't sure of this and want to see more data. They are more concerned about having to reverse course later if inflation becomes a problem.

The most hawkish officials are particularly wary of steps that could boost demand at a time when businesses are looking to push on higher costs from tariffs to their customers. They are concerned that after four years in which inflation has run above the Fed's 2% goal, customers and businesses may be more tolerant of price increases, which could in turn lead to higher inflation.

Divide widens

Economic projections last week revealed this widening divide in rate-setters' expectations, with 10 officials penciling in at least two rate cuts this year and seven penciling in no cuts. Two others wrote

down one cut. The projections show that a "significant majority" of officials expect rate cuts to be warranted later this year, "but also there's a pretty significant minority that doesn't agree," Powell said.

The Fed cut rates by a percentage point in the second half of 2024 after having raised rates and held them at a two-decade high in 2022 and 2023.

Officials who expect to resume rate cuts this year generally envision "some state of the world where inflation doesn't prove to be as high" as others do "or the labor market weakens, or some combination of those two things," Powell said.

Powell declined to embrace or refute the view advanced by Waller and Bowman that officials could prejudge that inflation will be mild enough to resume cuts soon.

"We're going to be learning. We will get an inflation number for June. We'll learn something. Then we'll get it for July," Powell said. "We're perfectly open to the idea that the pass through" of tariffs into retail prices "will be less than we think. And if so, that'll matter for our policy."

Conference Board indexes



Source: The Conference Board

Consumer Confidence Fell in June

By Matt Grossman

U.S. consumer confidence slipped in June, reversing an improvement in May, according to the Conference Board, a research organization.

The Conference Board's consumer-confidence index fell to 93, from 98.4 in May. The fall was a surprise to analysts polled by The Wall Street Journal, who were expecting the index to improve to 99.5.

Consumers remained nervous about tariffs even after the White House took steps to de-escalate its trade war, Conference Board economist Stephanie Guichard said. The survey's forward-looking expectations index fell to 69, from 73.6 a month earlier.

The Conference Board says that values below 80 often signal a recession ahead.

The survey's closely watched labor-market indicator degraded. The survey's labor-market differential fell to 11.1 percentage points, from 12.7 percentage points in May. The figure is calculated by subtracting the share of consumers who think jobs are "hard to get" versus the share who think they are "plentiful."

Consumers also turned more pessimistic about future business conditions. In June, 16.7% said they expect business conditions to improve in six months, down from 19.9% in May.

CORRECTIONS & AMPLIFICATIONS

A Kimpton Hotel Palomar is located in Los Angeles. A photo caption with a Page One article on Tuesday about Los Angeles's minimum wage incorrectly said it is in Beverly Hills, Calif.

Iran said it would stop attacks on Israel if Israel halted its strikes by 4 a.m. Tuesday in Tehran. In some editions Tuesday, a World News article about the Israel-Iran war incorrectly gave the deadline as 4 a.m. Monday.

The nightly price for one person at Battle Harbour Inn in the Canadian province of Newfoundland and Labrador starts at around \$436 and includes ferry, accommodation and all meals. An Off Duty travel article on Saturday about visiting the island of Battle Harbour incorrectly said the nightly price with those amenities is around \$215 a night.

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OBITUARY

Sherman, Singer, Teen Heartthrob

Bobby Sherman, whose winsome smile and fashionable shaggy mop top helped make him into a teen idol in the 1960s and '70s with bubble-gum pop hits like "Little Woman," has died. He was 81.

His wife, Brigitte Poulton, announced the death Tuesday and family friend John Stamos posted her message on Instagram: "Bobby left this world holding my hand—just as he held up our life with love, courage, and unwavering grace." Sherman revealed he had Stage 4 cancer earlier this year.

Sherman was a squeaky-clean regular on the covers of Tiger Beat and Sixteen magazines, often with hair over his eyes and a choker on his neck. His face was printed on lunchboxes, cereal boxes and posters that hung on the bedroom walls of his adoring fans. He landed at No. 8 in TV Guide's list of "TV's 25 Greatest Teen Idols."

He was part of a lineage of teen heartthrobs who emerged as mass-market, youth-oriented magazines and TV took off.

Sherman had four Top 10 hits on the Billboard Hot 100 chart—"Little Woman," "Julie, Do Ya Love Me," "Easy Come, Easy Go," and "La La La (If I Had You)." He had six albums on the Billboard 200 chart, including "Here Comes Bobby," which spent 48 weeks on the album chart, peaking at No. 10.

After the limelight moved on, Sherman became a certified medical emergency technician and instructor for the Los Angeles Police Department, teaching police recruits first aid and CPR. He donated his salary.

—Associated Press



Bobby Sherman, a teen idol with several hit songs, appeared on the TV series 'Here Come the Brides,' which ran from 1968-1970.

CALIFORNIA

Bombing Suspect Found Dead

A man who was charged with helping bomb a California fertility clinic last month was found dead in a federal detention center, authorities said.

The Justice Department said Daniel Park, 32, was found unresponsive at the Metropolitan Detention Center in Los Angeles. A cause of death wasn't given.

Park was charged earlier this month with providing material support to a terrorist in connection with a car explosion that damaged a fertility clinic in Palm Springs, Calif.

—Joseph Pisan

MASSACHUSETTS

States Sue to Block U.S. Funding Cuts

A coalition of attorneys general from 21 states is suing the Trump administration for slashing billions of dollars in federal funding and justifying the cuts by citing shifting agency priorities.

The attorneys general from Democratic-led states, including New York, New Jersey and Illinois, said the Trump administration is using an obscure clause in regulations issued by the White House to justify the arbitrary termination of grants it doesn't want to award, according to the lawsuit filed in

federal district court in Massachusetts on Tuesday.

The coalition said the Trump administration is unlawfully cutting the funds even when Congress has directed spending on a particular program.

"These cuts are simply illegal," said New York Attorney General Letitia James. "Congress has the power of the purse, and the president cannot cut billions of dollars of essential resources simply because he doesn't like the programs being funded."

The White House didn't respond to a request for comment.

The White House's Office of Management and Budget

has issued regulations stating that federal agencies can cut a grant if it "no longer effectuates the program goals or agency priorities." Agencies need to document and provide evidence that a grant no longer advances an agency's goals before the funds can be withheld, the lawsuit said.

Multiple agencies have justified cuts, according to the lawsuit. The Justice Department canceled funds for state law enforcement to combat hate crimes. The Environmental Protection Agency used the justification to end funding to research new ways to eliminate certain chemicals from drinking water.

—Joseph De Avila

Banks Race To Appease Republicans

Continued from Page One that's a fair place to be."

Russ, a Republican, said JPMorgan, Bank of America and Wells Fargo have met with him to try to get off Oklahoma's blacklist of companies that discriminate against oil-and-gas companies.

Earlier this month, Citigroup met with Texas Gov. Greg Abbott, a Republican, to discuss the bank's decision to end its policy of not doing business with companies that sell firearms to people under the age of 21, a person familiar with the matter said.

Citigroup and JPMorgan updated their policies this year to clarify that they don't discriminate on political grounds, which the banks said were already part of their existing practices. They were also among the

big banks that recently left the Net-Zero Banking Alliance, an industry climate group targeted by Texas' attorney general.

Goldman Sachs, Morgan Stanley, JPMorgan and Wells Fargo have removed some limitations on working with the coal sector or have been discussing whether to do so, according to people familiar with the matter. Bank of America dropped its ban on coal companies in late 2023.

A spokeswoman for JPMorgan said, "We believe understanding policymakers' perspectives while sharing our own makes us a better bank." Bank of America said it serves clients in the oil-and-gas industry, as well as those working in clean and renewable energy.

Wells Fargo and Citigroup declined to comment.

A cause célèbre

Alleged discrimination in banking has become a cause célèbre under Trump, with a coalition of Christians, conservatives, and crypto groups accusing big banks of denying

them services on political grounds. The Trump Organization sued Capital One in March over the bank's decision in 2021 to shut down hundreds of its corporate accounts. Capital One disputed in a court filing that the account closures occurred because of disagreement with Trump's politics.

"I would love to see some of the big banks go extinct, because, honestly, they deserve it," Eric Trump, one of the president's sons, said in May at a crypto conference in Las Vegas.

Banks can shut down accounts without explanation for a number of reasons, which has long fueled allegations of discrimination.

In recent years, banks also limited their ties with some industries as they sought to incorporate environmental, social and corporate-governance standards into how they do business.

The moves fueled a backlash. Texas and Oklahoma passed laws forbidding state agencies from doing business with companies they say discriminate against the gun or

oil-and-gas industries. Tennessee and Idaho passed similar laws more recently.

Banks on states' blacklists could lose state pension funds as clients and other state business. The risks can be bigger. In Florida, the law cites the possibility for "dissolution or reorganization" if banks are found to be making decisions based on customers' political or religious views.

An executive order from Trump could also jeopardize banks' ties with the federal government, such as the sale of Treasury bonds. Drafting of the executive order could be taken up by Trump's Domestic Policy Council, run by Vince Haley, with other White House departments weighing in, people familiar with the matter said.

Stepped-up talks

Many large banks' meetings with Republican states have increased this year, according to people familiar with the matter.

Russ, Oklahoma's treasurer, credited JPMorgan for leaving a number of climate

alliances, which he said proves the bank is serious about changing its policies. But the bank remains on the state's blacklist, along with Bank of America, Wells Fargo and others.

"There's been a lot of political posturing and philosophical interjections into the financial decisions that these big companies have been making," Russ said. "We want them to work right down the middle. No activism, no politics, no philosophical assertions."

Big banks have also told Republican leaders on the Senate Banking Committee that regulators required them to consider reputational risks posed by their customers, including negative press about companies.

Sen. Tim Scott (R., S.C.), chair of the Senate Banking Committee, proposed legislation in March that would prohibit regulators from considering reputational risks. Since then, regulators under Trump have moved to eliminate the concept from their bank exams, with the Federal Reserve Board on Monday becoming the latest to do so.

U.S. NEWS

Cuomo Concedes Mayoral Primary to Mamdani

Former Gov. Andrew Cuomo called to offer congratulations to challenger Zohran Mamdani Tuesday night after the Queens Assemblyman racked up a significant lead in New York City's Democratic mayoral primary.

By Alyssa Lukpat, Victoria Albert and Jasmine Li

Cuomo's team said he will look at the numbers and "leave the door open for November," suggesting he could run again in the general election that doesn't feature ranked-choice voting.

Mamdani had about 43% of the counted vote after polls closed at 9 p.m., according to preliminary results from the city board of elections. Cuomo had about 36% of the ballots counted. Mamdani had over 425,000 votes, to Cuomo's roughly 350,000, BOE said, with nearly 95% of votes counted.

"Tonight was not our night," Cuomo told supporters. "Tonight was Assemblyman Mamdani's night and he put together a great campaign and he touched young people and he inspired them."

City Comptroller Brad



Zohran Mamdani has rallied young and left-leaning voters.

Lander was in a distant third place with around 12% of the vote, followed by City Council Speaker Adrienne Adams with over 4%, according to the elections board.

The Board of Elections isn't expected to call the final result until at least July 1, the last day the board can receive mail-in ballots. Only registered Democratic voters were allowed to vote in the party's primary, which had a field of more than a half-dozen candidates.

In the ranked-choice contest, voters can list up to five candidates in order of preference. A candidate needs more than 50% support to win. If no one hits that benchmark, the candidate with the fewest votes will be eliminated. Voters with that person as their top pick will have those votes transferred to their next highest ranked candidate. The process continues until one candidate reaches a majority. In 2021, Mayor Eric Adams won after several rounds.

A progressive favorite, Mamdani has rallied young and left-leaning voters with vows to make buses free, invest \$70 billion in publicly subsidized housing, freeze rents on rent-stabilized apartments and more. He landed endorsements from Vermont Sen. Bernie Sanders and Rep. Alexandria Ocasio-Cortez.

Voters braved heat that topped 100 degrees in parts of the city to cast ballots for primaries that include City Council races and other positions, according to the city's Board of Elections. More than 380,000 early votes were received between June 14 and June 22.

Mamdani, 33, and Cuomo, 67, were the top contenders in a crowded mayoral race. Cuomo was fighting for political redemption after he resigned as New York governor in 2021.

The Democratic primary winner will still face competition in the November general election. Along with Republican candidate Curtis Sliwa and independent Jim Walden, the Democratic nominee will need to beat Mayor Adams. The incumbent opted to skip the primary and run on his own party lines in November.

More Homeowners Slip Underwater

By VERONICA DAGHER

Homeowners who bought around the peak of the market are increasingly finding they owe more on their mortgages than their properties are worth.

The number of owners who are underwater is small but growing, and they have recently been concentrated in pandemic boomtowns such as Austin, Texas, and Cape Coral, Fla. A rapid rise in prices in these areas was followed by drops of nearly 20% in some of them. Those who bought at the top have seen value slip out of their homes since then.

Being underwater can have real consequences for, say, homeowners who want to sell. They might hold off if it also means writing a check for the remaining balance to the mortgage company. During the financial crisis of 2008, many owners walked away from their underwater homes, allowing the lender to foreclose, though there is little sign of it happening now.

Homeowners nationwide still have tens of trillions of dollars in equity overall. While some pockets of the U.S. housing market have softened, prices remain high overall, one reason that home sales are relatively sluggish.

A typical decade's worth of home-value growth was packed into just five years, starting in 2020, said Kara Ng, a senior economist at Zillow. Housing demand was driven by a perfect blend of low mortgage rates, high consumer savings and more people desiring larger spaces. Just about every major market experienced robust price growth, but the trend was turbocharged in some Sunbelt cities where remote workers flocked during the pandemic.

The record-fast growth cooled off around when mortgage rates began to rise in 2022 and affordability became stretched. A construction boom added supply to meet demand. There is now a more balanced market between buyers and sellers.

Today's sellers who bought recently are less likely to come out ahead compared with those who bought before the pandemic, according to a Redfin analysis.

Tim Hur, a real-estate agent in Atlanta, is seeing more people willing to sell at a loss because they are fearful their equity will turn negative.

One of his clients had bought a roughly 1,600 square-foot, three-bedroom home for about \$400,000 around three years ago. The house is now on the market for around \$385,000. He isn't underwater yet. "He wants out now before prices drop further," said Hur.

A growing subset of homeowners is underwater, particularly if they bought after prices had already risen. In April, the number of such homeowners surpassed half a million, the highest April reading in five years, said Andy Walden, head of mortgage and housing market research at Intercontinental Exchange.

Areas such as San Antonio and New Orleans have some of the largest shares of underwater homes.

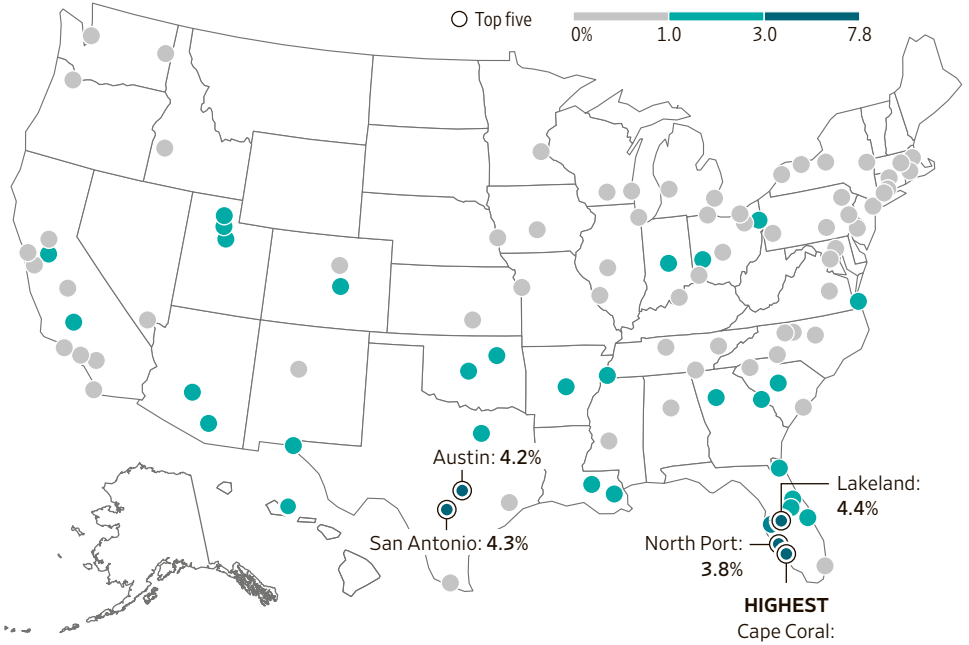
The net effect of being underwater for owners is that they can get effectively trapped in their homes, real-estate agents say. They are generally unable to sell their properties without bringing cash to the closing table to cover the difference between the sale price and their outstanding mortgage balance.

Lenders are also typically unwilling to refinance mort-

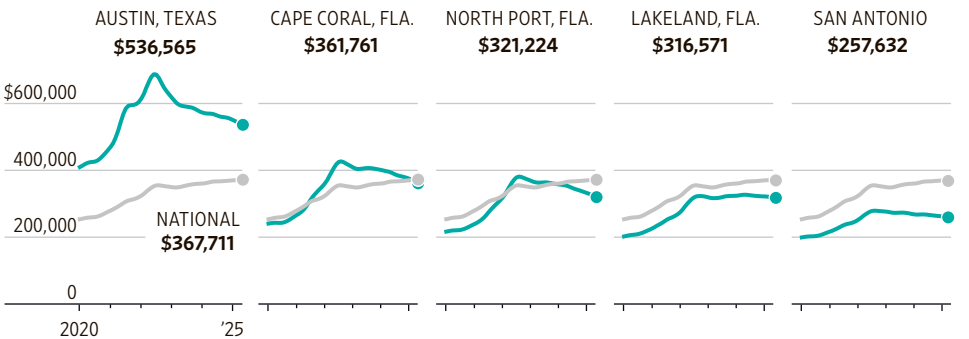


Areas such as San Antonio, above, and New Orleans have large shares of underwater homes.

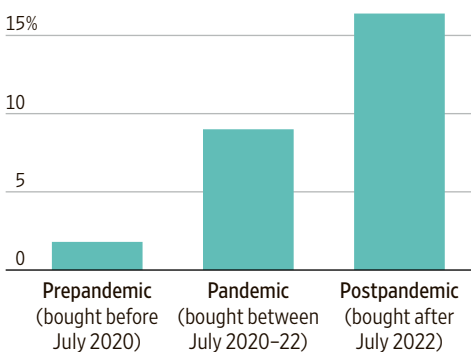
Share of homes that are underwater by market



Home values for select markets*

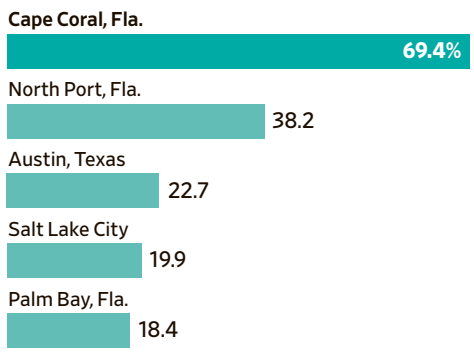


Share of active home listings at risk of selling at a loss



*Data as of April; smoothed and seasonally adjusted. Sources: Intercontinental Exchange (underwater home share, mortgage share); Zillow (home values); Redfin (active home listings)

Share of FHA mortgages originated in 2024 where homes are underwater, by select market



gages when an owner is underwater. So even if mortgage rates go down later this year or next year, it likely won't help people who are underwater.

Still, negative equity largely has little impact on homeowners' daily financial lives as long as they can afford to stay in their homes and don't plan to sell in the near future. Assuming home prices bounce back in these areas, their equity could turn positive again.

A big problem leading up to 2008 is that lenders extended mortgages to buyers who couldn't afford the payments. That left less reason for them to hold on to their houses after values collapsed. These days,

lending standards are much tighter.

Even people who find themselves underwater on their mortgages generally don't have a major cause for alarm, provided they can consistently make payments and keep their jobs, said Chen Zhao, an economist at Redfin.

Zhao expects a slight national home price drop of 1% by the end of the year, which might lead to more people being underwater. But she said that a surge in foreclosures was unlikely. The more stringent lending practices ensure that homeowners are typically able to handle financial fluctuations.

During the pandemic home-

buying frenzy, many people made substantial down payments on their homes. They had a store of equity if home prices were to decline, especially compared with those who put down less money.

People who used low-down-payment loans, including those backed by the Federal Housing Administration and Department of Veterans Affairs, started with less equity, which made them more vulnerable to even slight dips in home prices, said Walden.

Such loans tend to be used by people of modest means, such as first-time buyers, and there are signs that more of them are stressed financially.

Mortgage Rates Stifle Price Rise

U.S. home prices rose at the slowest annual pace in nearly two years as mortgage prices continued to stretch affordability.

The S&P CoreLogic Case-Shiller National Home Price Index, which measures home prices across the U.S., rose 2.7% in the 12 months to April, the slowest on-year appreciation since mid-2023 and cooling from 3.4% in March, data Tuesday showed.

Mortgage rates continued at a mid-6% range throughout April, keeping monthly payment burdens near generational highs and pricing out significant segments of potential buyers, said Nicholas Godec, head of fixed income tradables and commodities at S&P Dow Jones Indices.

The data suggests affordability constraints have hit previously overheated markets hardest, while traditionally stable markets with more reasonable price levels are attracting renewed interest, Godec continued.

"We're witnessing a housing market in transition. The era of broad-based, rapid price appreciation appears over, replaced by a more selective environment where local fundamentals matter more than national trends," Godec added.

Across 20 key U.S. cities, the price index saw a deceleration in prices, rising 3.4% on year in April from 4.1% a month earlier. Economists polled by The Wall Street Journal expected a larger 4.0% increase.

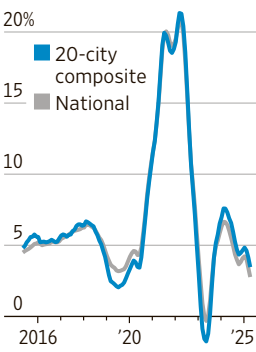
New York again saw the sharpest rise in home prices among the 20 cities, at 7.9% on year, while Tampa, Fla., saw prices fall 2.2%.

Housing supply remains severely constrained, with new construction failing to meet demand, providing the market with a price floor and preventing sharp falls that some had feared, Godec said.

The Case-Shiller index, which measures repeat-sales data, reports on a two-month delay and reflects a three-month moving average. The April data are based on purchase decisions made around the start of the year.

—Ed Frankl

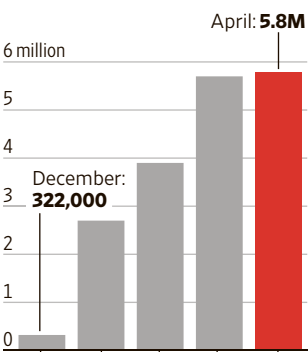
S&P CoreLogic Case-Shiller home price indexes



Note: Seasonally adjusted Source: S&P Dow Jones Indices via St. Louis Fed

Two Million Student Borrowers at Risk of Docked Pay

Federal student-loan borrowers who are 90 days or more past due



Source: TransUnion

By OYIN ADEDOYIN

Nearly two million student-loan borrowers are at risk of having their wages garnished this summer.

Roughly six million federal student-loan borrowers are 90 days or more past due after a pandemic-era reprieve ended, according to TransUnion. The credit-reporting company estimates that about a third of them, or nearly two million borrowers, could move into default in July and start having their pay docked by the government. That's up from the 1.2 million that TransUnion had estimated in early May.

An additional one million borrowers are on track to default by August, followed by another two million in September. Borrowers fall into default when they are 270 days past due.

Some borrowers might be having communication issues with their student-loan servicers, while others might be too financially stretched to make payments, said Joshua Turnbull, head of consumer lending at TransUnion.

The Education Department restarted collections on defaulted student loans in May, something it hadn't done since before the pandemic.

The department sent notices to borrowers saying their tax refunds and federal benefits could be withheld starting in June if they don't take steps to resume payments.

Wage garnishment is also set to restart this summer. Until past due payments are paid in full or the default status is resolved, borrowers could see up to 15% of their wages automatically deducted from their paychecks.

Student-loan payments were paused during the pandemic. In 2023, the Biden administration gave borrowers a 12-month "on-ramp" period where late or missed payments wouldn't hurt

their credit scores. That period ended last fall.

Borrowers who have been newly reported as delinquent since then on their student loans have seen an average 60-point drop in their credit scores, according to TransUnion. Nine percent of borrowers who fell into delinquency were current on their payments by April, according to TransUnion.

The Education Department has been urging borrowers to resume payments and emphasizing the consequences. Roughly 43 million borrowers owe more than \$1.6 trillion in student-loan debt.

U.S. NEWS

GOP Races to Settle on a Tax Bill

By RICHARD RUBIN
AND SIOBHAN HUGHES

WASHINGTON—President Trump is urging Republicans to get their spending and tax bill to his desk by July 4, but lawmakers face a series of hurdles and headaches on issues ranging from artificial intelligence to deficit spending to rural hospitals.

Senate GOP leaders are revising their version in advance of potential votes this week, searching for a mix that can garner a majority in the chamber, which is divided 53-47. Anything that gets through the Senate must pass the House, which is divided 220-212 in Republicans' favor; any subsequent House changes would require another Senate vote. Lawmakers are scheduled to leave Washington for a recess next week but signaled they were prepared to stay to finish the bill.

"No one goes on vacation until it's done," said Trump in an all-caps post on Truth Social on Tuesday.

The House and Senate bills both would extend tax cuts set to expire at year-end. They would also create versions of Trump's promises to remove income taxes on tips, overtime and Social Security benefits while lowering projected spending on Medicaid and nutrition assistance. The legislation would provide more money for border security and national defense.

On Tuesday, members of several House factions—moderates concerned about Medicaid, conservatives seeking more spending cuts and New Yorkers insisting on a \$40,000 state and local tax deduction cap—expressed opposition to the emerging Senate plan.

In each round of the process so far, most GOP holdouts ended up voting "yes" to keep things moving forward.

"When push comes to shove, you're looking at whether you're going to allow the perfect to become the enemy of the good," Senate Ma-



GOP Sen. Josh Hawley has warned about the effects of Medicaid spending cuts.

jority Leader John Thune (R., S.D.) said Tuesday.

Here's a look at some key outstanding issues:

Deficits

The House bill clocked in a \$2.4 trillion increase in budget deficits through 2034, compared with letting tax cuts expire Dec. 31. Dozens of House members said that is as high as they want to go.

What is unknown is just how the Senate version compares and how large a deficit can attract a majority of senators. The tax piece of the bill includes about \$400 billion more in tax cuts than the House version, the Joint Committee on Taxation said.

Some key spending cuts have fallen out of the Senate bill after the parliamentarian determined they don't qualify for the fast-track budget reconciliation process. Sen. Markwayne Mullin (R., Okla.) said the items tossed by the parliamentarian had put as much as a \$300 billion hole in the bill.

Medicaid

Senators such as Josh Hawley (R., Mo.) and Susan Collins (R., Maine) have been warning

about the effects of Medicaid spending cuts.

A main focus is the Senate Republicans' proposed changes to levies known as Medicaid provider taxes, a mechanism that lets states increase their federal subsidies. A tighter limit on those taxes would reduce money to hospitals.

Spending hawks such as Sen. Rick Scott (R., Fla.) have sought more-expansive cuts that would reduce federal spending on the childless, able-bodied adults who gained Medicaid coverage under the Affordable Care Act.

Energy

Compared with the House, the Senate proposed a much slower phaseout of the clean-energy tax breaks that Democrats created in the Inflation Reduction Act in 2022.

Producers of wind, solar and geothermal energy would have more time to start projects and still qualify for tax credits.

SALT

A core bloc of House Republicans from New York, New Jersey and California say they can't support any bill unless it

sets the cap on state and local tax deductions, or SALT, at \$40,000, up from the current \$10,000. They have enough votes to sink the bill.

The House approved the \$40,000 number, but high-tax states don't have a Senate Republican making their case, and the change could reduce revenue by hundreds of billions of dollars.

Mullin said late Monday that he saw acceptance, though not agreement, on keeping a \$40,000 cap but changing the income thresholds. But Rep. Nick LaLota (R., N.Y.) warned it was a tough sell.

AI

Senate Republicans aim to protect artificial-intelligence projects from state-level regulation by withholding broadband funds from any states that impose AI rules.

The provision is another way to achieve a goal similar to one pursued by the House, which included a moratorium on all AI regulations at the state level. Some Senate Republicans are balking at the AI measure. Hawley said that he wasn't a big fan of the revised proposal.

AOC Impeachment Talk Draws Trump Defiance

By KATY STECH FEREK

WASHINGTON—President Trump dared political foes to try again to remove him from office, taking aim at comments by Rep. Alexandria Ocasio-Cortez (D., N.Y.)

"Go ahead and try impeaching me, again, MAKE MY DAY!" he said on Truth Social. Ocasio-Cortez, a leading voice in the Democratic Party, said Trump's strikes on Iranian nuclear facilities without congressional approval are "clearly grounds for impeachment." But other Democrats on Capitol Hill said that any talk of impeaching Trump was premature or unhelpful, particularly because any such action wouldn't be possible unless Democrats regain the majority in January 2027. Many focused on criticizing Trump for striking Iran without authorization from Congress and seeking to force votes on the matter.

"We've got to be realistic about what we can do and what we can't, and the distraction of having an artificial discussion about something that's just not going to happen doesn't bode well for the actions we need to really be watching, like cuts to Medicaid," said Rep. Troy Carter (D., La.) on Monday.

Hours after Trump's comments, a majority of Democrats joined with Republicans in a 344-79 vote to block an impeachment proposal from Rep. Al Green (D., Texas). On impeachment, the House Republicans' campaign arm said Democrats "are the boy who

cried wolf: loud, desperate, and completely unserious."

In an interview, Ocasio-Cortez defended her perspective.

"I think there are some individuals in the party who think we need to roll over and play dead until an election," she said, while she focuses on showing voters how Democrats would act if in charge.

There is a risk in fully opposing the attacks, one Democratic strategist said, as they could end up being viewed as a successful disarming of a dangerous regime. Preventing Iran from obtaining nuclear weapons has been a bipartisan goal.

Lawmakers expected more information from intelligence officials in briefings, pushed to Wednesday from Tuesday for the Senate, enabling Defense Secretary Pete Hegseth and Secretary of State Marco Rubio to attend, and scheduled for Friday for the House.

Asked about impeachment Monday, House Minority Leader Hakeem Jeffries (D., N.Y.) demurred, emphasizing the need for briefings from the administration and a possible vote on a war-powers resolution.

"There is not an appetite with leadership to go through this," said Rep. Shri Thanedar (D., Mich.), who threatened to force an impeachment vote earlier this year and faced significant backlash from colleagues.

The House impeached Trump in 2019 over his pressuring Ukraine to investigate the Biden family, and in 2021 over his role in the Jan. 6 Capitol riot. Both times, he was acquitted in the Senate.

One House Democratic aide said moderates are hesitant to throw the I-word around at the risk of cheapening its meaning. The Constitution reserves impeachment for "high crimes and misdemeanors."

Democrats were more inclined to back a resolution meant to prevent future Iran strikes without congressional support. By Monday evening, more than 65 had signed on.



Alexandria Ocasio-Cortez

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U.S. NEWS

Abortion Ban Led to Risk For Republican

Rep. Cammack says ‘fearmongering,’ not Florida law, caused doctors to hesitate

By KATY STECH FERREK

Rep. Kat Cammack arrived at the emergency room in May 2024 terrified by what she had just learned: Her pregnancy could kill her at any moment. It would only get worse. The Florida Republican needed a shot of methotrexate to help expel her ectopic pregnancy, in which there is no way for the embryo to survive. Her state’s six-week abortion ban had just taken effect. She said doctors and nurses who saw her said they were worried about losing their licenses or going to jail if they gave her drugs to end her pregnancy. She began arguing her case. The staff resisted, she said, even though doctors earlier that day estimated she was just five weeks pregnant. There was no heartbeat, and her life was at risk. She pulled up the state law on her phone for hospital workers to read. She said she called the governor’s office late at night for help, but no one picked up. Hours later, doctors finally agreed to give her the methotrexate, Cammack said. The Florida ban, which took effect May 1, 2024, made abortions illegal after six weeks with limited exceptions. It didn’t ban procedures for ectopic pregnancies, but concern about the law’s wording made doctors hesitant, said patients and physicians. Months later, Florida regulators gave guidance to make clear that doctors should intervene in cases

such as Cammack’s. Pregnant again and due this summer, Cammack said the politics of the incident linger with her. While Cammack opposes abortion and co-chairs the House Pro-Life Caucus, she supports exceptions for reported cases of rape and incest in the first trimester and in instances in which the mother’s life is at risk. Cammack doesn’t fault the Florida law for her experience. Instead, she accuses the left of scaring medical professionals with messaging that stressed that they could face criminal charges for violating the law. She said she feels those efforts gave medical staff reason to fear giving drugs even under legal circumstances. “It was absolute fearmongering at its worst,” she said. Abortion-rights advocates say the law created the problems. While Florida regulators say ectopic pregnancies aren’t abortions and are exempt from restrictions, the law doesn’t define ectopic pregnancy, and it isn’t always easy for doctors to tell where an embryo has implanted, said Molly Duane, a senior attorney at the Center for Reproductive Rights. **Serious enforcement** Asked whether abortion-rights groups contributed to confusion, Duane said Florida regulators had stressed how seriously they planned to enforce the ban. She said blaming medical workers echoes the “playbook of antiabortion extremists that for decades have been blaming and villainizing doctors.” Dr. Alison Haddock, president of the American College of Emergency Physicians, said



Florida Republican Rep. Kat Cammack, pictured this month, got a shot of methotrexate to help expel her 2024 ectopic pregnancy.

it is common for doctors in states that have restricted abortion access to worry “whether their clinical judgment will stand should there be any prosecution.” She called early pregnancy care, including instances of ectopic pregnancies, a “medically complicated space” where uncertainty in diagnoses and treatment plans is common. “This has been a real stress point for a lot of our physicians,” she said. In a 90-minute interview, Cammack, 37, spoke publicly about her miscarriage for the first time. She said she hopes sharing her experience steers conversations toward common ground. “I would stand with any woman—Republican or Democrat—and fight for them to be able to get care in a situ-

ation where they are experiencing a miscarriage and an ectopic” pregnancy, she said. In her first year in Congress, she testified about her family’s ties to the issue. Her mother, a stroke survivor, was told by doctors to terminate her pregnancy with Cammack, warning that it put her at risk of another stroke. She went on to deliver Cammack without problems. From her office couch on Capitol Hill, Cammack recounted her health scare, pausing several times to clutch her third-trimester belly and count baby kicks. Last year, she and her husband, Matt Harrison, began trying to have a baby. On May 21, she woke up bleeding heavily. She pulled out a pregnancy test that came with the ovula-

tion kit she ordered off Amazon. It was positive. “Then it’s this emotional roller coaster of, ‘Oh, my God. Am I pregnant? And am I losing the baby?’ ” she said. Her doctor confirmed that she might be miscarrying. There was no treatment to offer. So Cammack said she put on “the biggest maxi pad” she could find and got on a plane to D.C. She loaded her schedule with decoy dentist appointments to slip away for blood draws to test the level of pregnancy hormones, which continued to rise. On May 31, back in Florida, a doctor found the embryo implanted where the fallopian tube meets the uterus, considered a cornual ectopic pregnancy. “If this ruptures, it’ll kill you,” he told her. Medical professionals said surgery to remove the embryo put her at risk of losing her uterus. She opted for the shot of methotrexate, which blocks folic acid needed by the em-

bryo to grow. **Outnumbered** Cammack said she believes her perspective is an important counterweight on policy issues among House Republicans, where the average lawmaker age is nearly 60 and men outnumber women by around 6 to 1. One of her male Republican colleagues “almost sunk under the table” when she mentioned breast-feeding to him recently. As a member of the Committee on Energy and Commerce’s health subcommittee and founder of the Republican Women’s Caucus, Cammack has criticized what she sees as low federal spending on research and development related to women’s health. She voted to pass President Trump’s tax and spending megabill but said concerns she had about its cuts potentially leading to hospital closures weren’t fully addressed.

An Ugly Texas Senate Primary Is Giving the GOP a Headache

When deciding whether to seek re-election next year, Texas Sen. John Cornyn said one consideration rose above all: A desire to thwart the other GOP hopeful, state Attorney General Ken Paxton.

By Elizabeth Findell, Lindsay Wise and Mark Maremont

“I refuse to let someone of his character—or lack of character—represent Texas in the Senate,” Cornyn said in an interview. “I consider this to be drawing a line in the sand.” Texans are gearing up for an ugly primary between Cornyn, a two-decade senator, and Paxton, a MAGA combatant who has prevailed in Texas politics despite repeated accusations of legal and ethical wrongdoing. Their party is gearing up for a headache. Republican leaders fear nominating Paxton, who has an edge with the furthest-right voters, could hand Democrats their best opportunity for a win in Texas in decades. With that in mind, Senate Majority Leader John Thune (R., S.D.) and Sen. Tim Scott of South Carolina, chair of Senate Republicans’ campaign arm, both asked President Trump to endorse Cornyn before Paxton announced his campaign. Cornyn himself asked, too. But Trump has so far refused to endorse either Cornyn or Paxton. A representative for Paxton’s campaign declined to answer questions. In a statement, the attorney general called Cornyn’s attacks desperate and fake. Cornyn, a onetime Texas Supreme Court justice, has a staunchly right-wing voting record but has grappled with the Trump-era perception that he isn’t MAGA enough. He was booed at the state party convention in 2022, after helping negotiate a bipartisan gun-safety bill in the wake of the elementary school shooting in Uvalde, Texas. Paxton, who has been helped by Christian oil billionaires, is known for filing dozens of lawsuits

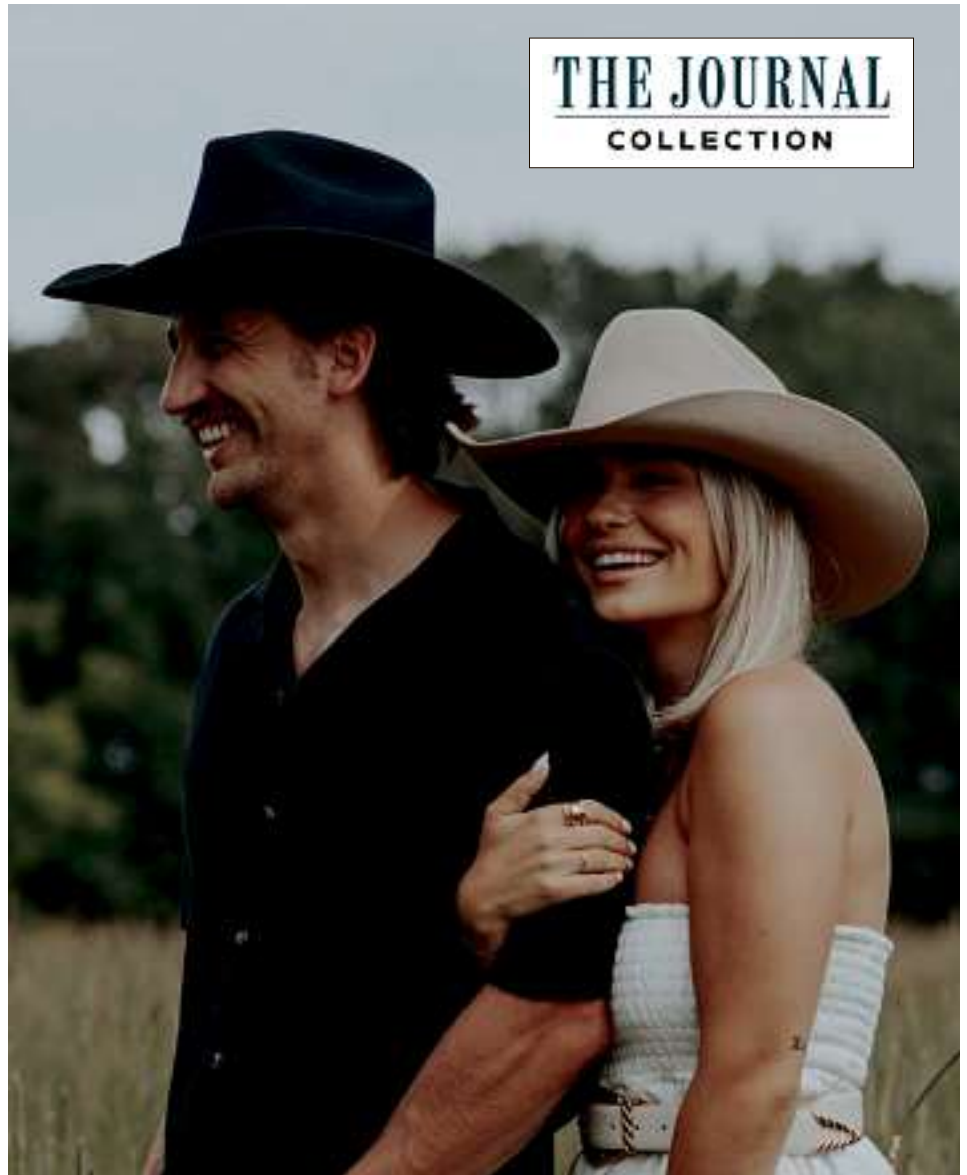


Ken Paxton, left, is looking to unseat Sen. John Cornyn.



against the Biden administration. In 2020, he sought to block the electoral votes of four other states in an effort to overturn Trump’s loss. Rep. Wesley Hunt, a Houston-area congressman, has met with national Republicans about a possible candidacy. A person familiar with the conversations said Hunt made the case that only he can win both a primary and a general election without draining GOP coffers. Cornyn said he would be willing to step aside for the right candidate to defeat Paxton, but he doesn’t believe Hunt could win. Paxton was re-elected twice while under indictment on securities fraud charges. Prosecutors dropped the charges last year in exchange for Paxton paying \$271,000 in restitution to the alleged victims.) Eight of his top-ranking deputies reported to the Federal Bureau of Investigation that Paxton was illegally using his office to benefit a donor. (Paxton denied the allegations, and they didn’t result in charges.) In 2023, Paxton became the third official in Texas history to be impeached. The state Senate acquitted and reinstated him. Earlier this year, a judge found that Paxton had improperly fired four of the aides who reported him to the FBI and awarded them \$6.6 million in damages. Cornyn has said he intends to make a campaign issue of Paxton’s history, including a

property-buying spree he and his wife, a state senator, underwent after the pandemic. The couple own at least 10 residential properties, most purchased since he was elected attorney general in 2014. Most recently, documents reviewed by The Wall Street Journal indicate that Paxton and his wife represented on mortgage documents that at least one of the homes they own in Austin was their principal residence, even as they lived, voted and held office in the Dallas area from a house on which they receive a home-stead tax break. Misrepresenting the Austin property as a principal residence, which typically results in a lower interest rate on the loan, could constitute mortgage fraud, real-estate experts said. Paxton’s campaign wouldn’t comment on the property. Polls have shown Cornyn behind among primary voters. One survey in May by Texas Southern University found Paxton leading both Cornyn and Hunt, but with the narrowest margins in hypothetical matchups with Democrats. A survey earlier in the month by the Senate Leadership Fund showed Cornyn 16 points down in the Republican primary, but Paxton likely to lose to Democrat Colin Allred in the general election. Allred, a former congressman who challenged Sen. Ted Cruz last year, hasn’t said whether he will run for the seat.



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WORLD NEWS

A Weakened Iran Remains Lethal

Tehran likely will rebuild conventional arsenal and possibly its nuclear program

DUBAI—Israel and the U.S. delivered powerful blows to the pillars of Iran's theocracy, degrading nuclear and missile capabilities, the highest military echelons and institutions of governance. Yet the regime, while weakened, is still intact, capable of

By Sudarsan Raghavan, Omar Abdel-Baqui and Laurence Norman

recuperating and emerging more dangerous and unpredictable. A fragile cease-fire hasn't alleviated tensions that soared during more than a week of war.

Israeli and U.S. warplanes pummeled Iran's nuclear supply chain and Israel killed 11 veteran nuclear scientists. They destroyed Iranian missile launchers, air defenses, state media and prison buildings. But Tehran still has a pathway—albeit a risky one—to a nuclear weapon.

"The regime is wounded, but still lethal," said Behnam Ben Taleblou, an Iran expert at the Foundation for Defense of Democracies, which promotes relations with Israel in Washington. "Any victory lap now, despite the real successes, the real military successes, would still be premature."

Iran's two known uranium-enrichment sites were hit hard. Damage assessments are still being done at the Fordow facility the U.S. struck with "bunker buster" bombs to reach deep under a mountain. U.N. atomic energy agency chief Rafael Grossi said Monday he suspects it was seriously damaged.

Iran's oldest enrichment site at Natanz was hit harder. Grossi said all its centrifuges might have been wiped out. Israel and



A Maxar Technologies satellite image shows damage at Iran's Isfahan nuclear-technology center after the U.S. airstrikes.

the U.S. also knocked out facilities capable of converting uranium into a form in which it can be enriched and turning fissile material into uranium metal. Factories for centrifuge parts were destroyed.

Yet, the attacks likely left Tehran in control of the main ingredients for a bomb. U.S. officials have signaled Iran still has control of about 400 kilograms of highly enriched uranium it has produced since 2021. The whereabouts of the stockpile aren't known—Grossi said it could have been moved from a facility in Isfahan before it was bombed.

"The country's nuclear program remains large and distributed with significant redundancy in expertise and leadership," said Nicole Grajewski, a fellow in the Nuclear Policy Program at the Carnegie Endowment for International

Peace. Iran "could develop a smaller, focused capability sufficient for weapons production."

Israel also targeted Iran's conventional weapons, leaving the nuclear targets vulnerable to attack. Israeli Prime Minister Benjamin Netanyahu has said Israel destroyed about half of Iran's missile launchers. Israel has said it disabled dozens of Iranian air-defense missile batteries and destroyed their production sites. Israel estimates Iran began the war with 2,500 ballistic missiles on track to possess 8,000 within two years.

"Israel was shooting at the archer rather than the arrow," said Fabian Hinz, a research fellow for missile technologies and drones at the International Institute for Strategic Studies.

Building more launchers and restoring air defenses that Israel first struck last year will take time, analysts said.

"What Israel bought itself is time," said Michael Horowitz, an Israel-based geopolitical analyst. "The question is for what?"

Israel could face renewed menace from Iran's proxy militias, known as the Axis of Resistance. Lebanon's Hezbollah, once Iran's most powerful allied militia, is still reeling from a punishing Israeli military campaign last year that decimated its leadership and military. The Houthis in Yemen largely sat out this month's conflict.

Iran could seek to rouse them now.

"As Iran figures out what is going to be the anchor of its deterrence strategy going forward—and the role of its proxy network—then it is in their interest to preserve whatever is left of Hezbollah," said Randa Slim, a fellow at the Johns Hopkins University-based Foreign Policy Institute.

But, Slim said, "There is a sentiment among Hezbollah supporters that Iran wasn't there for them when they needed them most."

On Tuesday, Iran's theocratic leaders declared victory over Israel. But the regime could be headed for internal turmoil as ambitious officials vie to fill power vacuums and seek recrimination for intelligence and security failures that left Iran vulnerable to attack.

Some hard-line members of Iran's parliament are calling for the regime to build a nuclear weapon to deter future attacks. Iran's leaders might determine that is too great a risk for now.

"This is potentially just a pause and escalation can kick up at any time unless a proper deal is done," said Sanam Vakil, director of the Middle East and North Africa program at Chatham House in London.

Cease-Fire Appears To Hold

Continued from Page One

It isn't just allies who were bypassed. U.S. officials who would normally play a role during such a crisis were also left out of the loop, administration officials said.

Almost immediately after the U.S. B-2 strikes, Trump called Netanyahu and told him it was time to end the war, a senior administration official said.

Trump's message: The U.S. had completed its military mission and would cease offensive operations and Israel needed to do the same, the official said.

Vice President JD Vance has described the events of recent days as a new U.S. foreign-policy doctrine focused on clearly defining national interests, aggressively negotiating to achieve them and the use of overwhelming force if necessary.

The force in this case was a fleet of B-2 stealth bombers that struck underground Iranian nuclear sites at Fordow and Natanz with a total of 14 30,000-pound Massive Ordnance Penetrator bombs. It achieved what the Israeli military—despite gaining air superiority over Iran more than a week earlier—was unable to do. The underground facilities at Fordow were likely very significantly damaged and the enrichment plant at Natanz was hit, the International Atomic Energy Agency said.

During the conflict, Israeli cities sustained several hits from Iranian ballistic missiles, and Iranian military targets were subjected to widespread bombing. Neither side wanted the war to go on much longer, at least at that intensity, and both were eager for a way out that they could portray as a victory. By then, Israel had hit what

it considered the most important Iranian military targets and saw limited upside in a continued air campaign, people familiar with Israeli government thinking said.

Iran, meanwhile, had been exchanging separate messages with Washington via Arab intermediaries for days.

On Saturday evening, Trump's Middle East envoy Steve Witkoff, informed several Arab countries that a U.S. strike on Iran was imminent, Arab officials said. After the attack, at Trump's direction, Witkoff exchanged direct messages with Iranian Foreign Minister Abbas Araghchi, the senior administration official said.

Witkoff told Araghchi that Iran needed to come back to the negotiating table, saying the U.S. could inflict more damage on the country, the official said.

Arab leaders also told Iran it was time to offer concessions to Washington, but Iran's foreign minister responded that Iran wouldn't negotiate under fire and wouldn't abandon its nuclear program, Arab officials briefed on the diplomacy said.

Once Fordow, Natanz and a separate site in Isfahan were struck by the U.S., Iran's top military commander vowed to retaliate, saying the U.S. had violated its sovereignty.

Tehran's move, a limited missile salvo fired at Al Udeid air base in Qatar, seemed designed to avoid further escalation.

Around noon on Monday, moments before the missiles launched, Iranian officials called Qatar to deliver a warning that the base would be hit, Middle Eastern officials familiar with the situation said. Qatar relayed the Iranian message to the U.S.

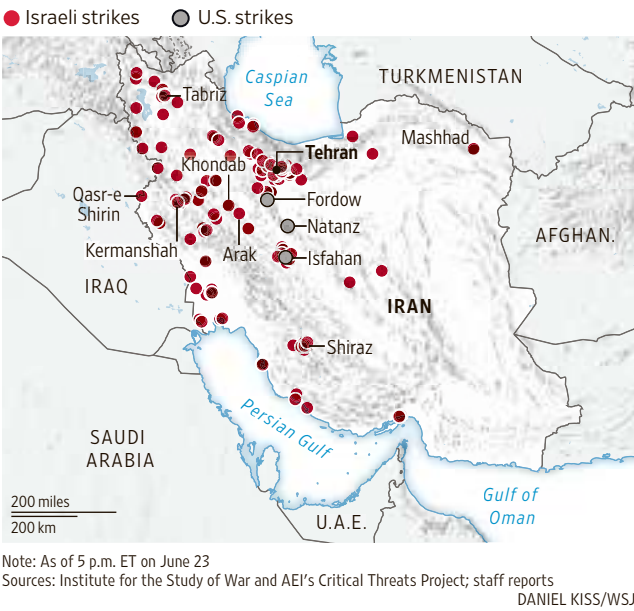
U.S. officials told Qatar later Monday that Washington also anticipated the attack, and that the U.S. didn't plan to retaliate, U.S. and Middle East officials said. Iran passed messages to Qatar that the attack would target solely the base, not the civilian areas of Qatar, those officials said.

That gave the U.S. military, which had removed aircraft



A rescue team works at the site of a deadly Iranian missile strike in southern Israel's Beer Sheba.

Israeli and U.S. strikes in Iran since June 13



Note: As of 5 p.m. ET on June 23. Sources: Institute for the Study of War and AEI's Critical Threats Project; staff reports. DANIEL KISS/WSJ

and many troops from the base, sufficient time to move remaining personnel, and for the U.S. Embassy in Doha to warn U.S. citizens to "shelter in place."

Qatar then closed the country's airspace to commercial flights as it awaited the Iranian barrage—a total of 19 missiles, Qatar said. All were intercepted by air defenses, except one that fell harmlessly near the base. The interceptors collided with the missiles, leaving streaks in Doha's summer night sky.

Qatari Prime Minister Mohammed bin Abdulrahman al-Thani said on Tuesday that his country had received prior intelligence that allowed the country and the U.S. to prepare.

Shortly after the barrage, Vance spoke with the Qatari prime minister around 5 p.m.,

and Trump spoke with Emir Tamim bin Hamad al-Thani minutes later, a person familiar with the calls said. Trump asked the emir if he would call Iran and ask if the Iranian government was open to a cease-fire. He obliged, and Iran agreed.

Trump—who just hours earlier publicly contemplated regime change in Iran—announced the cease-fire after the calls, posting on social media: "CONGRATULATIONS TO EVERYONE!"

Diplomats who would normally provide talking points for calls with regional leaders weren't asked for help, U.S. officials said.

Despite Trump's social-media victory lap, Israel and Iran were still exchanging further blows. Four hours before the cease-fire was set to take effect at 7 a.m. local time Tues-

day, Israel launched a massive wave of strikes in Tehran, killing hundreds of security-force personnel, Netanyahu said on X.

Among the targets was the headquarters of Iran's Organization of Defensive Innovation and Research, a defense ministry research institution, the Israeli military said.

Minutes before the cease-fire deadline, an Iranian missile struck a seven-story residential building in the city of Beer Sheba, killing four people—one of the deadliest episodes of the war for Israeli civilians. Rescue workers the next day combed through piles of rubble at the site.

Three more missiles were fired from Iran after 7 a.m., without causing casualties or damage, Netanyahu said. Israel threatened further retaliation.

"In light of the severe violation of the cease-fire carried out by the Iranian regime, we will respond with force," warned Lt. Gen. Eyal Zamir, the Israeli military's chief of the general staff.

Trump was surprised to learn Tuesday morning that the cease-fire was in danger. He stepped out on the South Lawn before boarding a helicopter on his way to a NATO summit in Europe and rebuked both countries for threatening the cease-fire, especially the U.S.'s closest Middle East ally.

After boarding a helicopter for a short flight to his presidential plane, Trump tapped out an all-caps warning to Israel: "DO NOT DROP THOSE BOMBS. IF YOU DO IT IS A MAJOR VIOLATION. BRING YOUR PILOTS HOME, NOW!"

Thirty-eight minutes later, following a call with Netanyahu, Trump announced the Israeli warplanes were turning around. "Nobody will be hurt, the Ceasefire is in effect!" Trump posted on social media.

Netanyahu said Israel destroyed a radar installation near Tehran and, following the call from Trump, refrained from further attacks. Israel had "achieved all of its objectives for the war," he said.

Iran's Supreme National Security Council proclaimed that it had delivered a "crushing response to every act of hostility by the enemy" and "shattered the enemy's primary strategic goal."

Briefings Delayed In Congress

The classified briefings on Iran for House and Senate lawmakers that were scheduled Tuesday afternoon were abruptly canceled, angering Democrats who have criticized the Trump administration for failing to provide key details about this past week-end's strikes.

"It's outrageous. It's evasive. It's derelict," said Senate Minority Leader Chuck Schumer (D, N.Y.). "There is a legal obligation for the administration to inform Congress about precisely what is happening. What are they afraid of? Why won't they engage Congress in the critical details?"

The Senate briefing was pushed to Wednesday, a move that will enable Defense Secretary Pete Hegseth and Secretary of State Marco Rubio to attend.

House lawmakers haven't been informed of their new briefing date.

—Katy Stech Ferek

U.N. Presses Site Inspections

U.N. atomic energy agency chief Rafael Grossi has written to Iranian Foreign Minister Abbas Araghchi in his quest to regain access for international inspectors to Iran's nuclear facilities and its enriched uranium stockpile.

"IAEA inspectors have remained in Iran throughout the conflict and are ready to start working as soon as possible, going back to the country's nuclear sites and verifying the inventories of nuclear material," the International Atomic Energy Agency said on Tuesday.

"Resuming cooperation with the IAEA is key to a successful diplomatic agreement to finally resolve the dispute over Iran's nuclear activities," Grossi said.

He reaffirmed that there had been "no radiological impact to the population and the environment in neighboring countries" from the U.S. and Israeli strikes.

—Laurence Norman

Trump: China Can Buy Iran Oil

President Trump said China can buy Iranian oil, despite his administration's imposition of sanctions designed to stop such trade. The U.S. has sanctioned Chinese refineries, port operators and other firms for importing Iranian crude as part of its campaign against Tehran.

The announcement, however, raises legal questions, said Eddie Fishman, a former senior State Department sanctions official. "Trump can waive the sanctions if he judges it is vital to the national interests of the United States, but he would need to formally submit a waiver to Congress first," he said.

By far Iran's biggest source of foreign revenue in recent years is its oil sales to China. Iran used various circuitous routes to make the sales to China, raising the costs for Iran. China formally stopped marking Iranian oil imports as coming from Iran in 2023.

—Georgi Kantchev and Laurence Norman

Gulf Shipping Still At Risk

Houthi militants aren't bound by the truce between Israel and Iran, said Mohammed al-Bukhaiti, a senior political official and spokesman for the Yemeni rebels. Military operations against Israel will continue "until the aggression against Gaza stops and the siege is lifted," he told The Wall Street Journal.

Despite the cease-fire, the maritime industry should remain on high alert, said the Joint Maritime Information Center, which informs shippers on behalf of the U.S. and U.K. Navies.

"Underlying geopolitical tensions remain unresolved," it said.

The report recommends keeping security measures such as emergency plans to reroute or relying more heavily on radar-based navigation, "given the prevalence of electronic interference."

—Saleh al-Batati and Benoit Faucon

WORLD NEWS

Iran Attack Sparks Retaliation Concerns

U.S. federal officials urge vigilance amid an environment of heightened threats

By SADIE GURMAN
AND DUSTIN VOLZ

WASHINGTON—Federal law-enforcement officials are on high alert for domestic retaliation in response to the U.S. bombing in Iran, warning of potential Tehran-backed plots and cyberattacks. Federal Bureau of Investigation officials in cities including New York, Los Angeles, Chicago and Philadelphia were told on Monday that they should shift resources toward Iran and domestic threats, after manpower in recent months had been focused on the Trump administration’s priority of immigration en-

forcement, a person familiar with the matter said. FBI leadership in a week-end internal email instructed field offices to monitor intelligence and stay in close contact with the Defense Department and National Guard, as military facilities could be targets of retaliation. In a Sunday conference call, officials from the FBI and Department of Homeland Security said they hadn’t seen the Iranian regime call for violence in the U.S. in response to the strike but urged their state and local counterparts to be alert, a person on the call said. An FBI official told attendees the bureau was closely monitoring its intelligence network. DHS issued a bulletin on Sunday warning the public that the domestic threat level was higher because of the Iran conflict, which it said could

spur hate crimes by violent extremists against perceived Jewish or pro-Israel targets, as well as Iranian state-backed cyberattacks. “The risk of Iranian plotting has only increased. The FBI and Justice Department have to be extremely vigilant going forward to detect and disrupt these plots before they are carried out,” said Matt Olsen, head of the department’s national-security division during the Biden administration. The danger comes as the Trump administration has shifted domestic law-enforcement priorities to focus on combating illegal immigration, even directing counterterrorism teams to spend their time helping with arrests and deportations. Some current and former employees worried the diversion of resources to immigration enforcement would weaken the FBI’s ability to



Demonstrators in Tehran on Tuesday held up signs featuring anti-American slogans.

thwart more-pressing threats. The FBI declined to comment on its operational decisions. In some locations, federal agents joined immigration officials in searching for Iranians who had overstayed their visas or were otherwise in the country illegally, people familiar with the matter said, a tactic that can also be used to

gather intelligence on potential plots. A Homeland Security spokeswoman said the agency “has been full throttle on identifying and arresting known or suspected terrorists and violent extremists that illegally entered this country” but said such roundups of undocumented immigrants happen daily and weren’t specifi-

cally focused on Iranians. In New York and Washington, D.C., police said they had ramped up their presence at religious institutions and cultural diplomatic sites. “What takes place on the global stage often is found on our local streets here in New York. And so, we must be prepared whenever there’s an action,” Mayor Eric Adams said.

U.S. Bombing Adds to Economic Uncertainty at Home

By JEANNE WHALEN

The U.S. bombing of Iran and direct involvement in Israel’s conflict has added a fresh dose of uncertainty to a U.S. economic picture that was already looking pretty muddled. Recent gyrations in policy and global events have left economists and consumers in a state of confusion. On Monday night, just hours after Iran’s retaliatory strike on a U.S. base and while talk of regime change was still in the air, President Trump announced a cease-fire deal between Iran and Israel. Add the geopolitical whipsaw to Trump’s on-again/off-again tariff plan and to deportations that sparked mass

protests and spooked the hotel and agriculture industries. Businesses have slowed hiring considerably, partly out of concern about tariffs and rising costs, but they aren’t engaging in big layoffs and the unemployment rate remains low. Even the Federal Reserve, the steward of the U.S. economy, is torn on where things are headed and whether to cut interest rates. “If you were to ask me, give me a description of the United States economy, it’s ‘pervasive uncertainty,’” said Joe Brusuelas, chief economist at RSM, an audit, tax and consulting firm. “There is too much risk on the table right now. We just don’t know in which direction we are truly headed.” Nick Bloom, an economics

professor at Stanford, oversees an index that tracks economic uncertainty in the U.S. and globally, based on the number of news articles expressing the sentiment. Readings in recent months have soared, hitting quadruple the long-running average, he said. “The Iranian conflict will fit exactly in this, this kind of deluge,” Bloom said. “Every theater of economics and politics seems to be impacted by political and economic uncertainty.” The danger of that is if it hampers investment and hiring, he said. “If you are running a business or you are thinking about going out and buying a car or buying some new clothes, if you are uncertain about the future, you pause,” he said.

Economists said they were encouraged by the conflict’s muted impact on oil prices. U.S. benchmark crude started climbing after Israel began bombing Iran on June 13 but has turned down, falling 7% on Monday, to \$68.51 a barrel. Despite threats, Iran hasn’t blocked tanker traffic in the Strait of Hormuz, through which about 20% of the world’s oil-supply flows, according to the U.S. Energy Information Administration. A conflict that did cause oil prices to surge would risk igniting another round of inflation at a delicate time for the U.S. economy. A 10% rise in oil prices would cause the core components of the Federal Reserve’s preferred inflation

gauge, the personal-consumption-expenditures index, to rise by 0.04 percentage point, according to analysis by Goldman Sachs. The bank also estimates that a \$10-per-barrel increase in oil prices would lower U.S. GDP growth by 0.1 percentage points, after balancing the drag on consumption against the economic boost from investment in the energy sector. Trump has badgered the Federal Reserve to cut interest rates, arguing that the Fed is needlessly inflating federal borrowing costs. Any new hints of inflation heating up again could make it harder for the Fed to justify a rate cut in the months to come.

On Monday, Trump cautioned against increases in oil prices. “Everyone, keep oil prices down,” he wrote on social media. “I’m watching. You’re playing right into the hands of the enemy.” The U.S. economy isn’t as vulnerable to Middle Eastern conflict as it was during the Arab oil embargo of the 1970s. Still, the potential for escalation in the conflict with Iran adds uncertainty to an economic outlook that was already confusing many economists and consumers. Most economists expect tariffs to lift prices over the coming months, causing new handwringing at the Fed about how quickly to cut rates.

Moscow Fails to Back Tehran

By THOMAS GROVE
AND BOJAN PANCEVSKI

President Vladimir Putin of Russia met his Iranian counterpart at the Kremlin at the start of the year to sign a new strategic partnership to seal the budding alliance between the two countries that had spent the last decade trying to undermine the U.S.-led world order. Now, after a tenuous cease-fire ended more than a week of punishing Israeli and U.S. airstrikes, that partnership is doing Tehran little good. When Putin met with Iran’s top diplomat, Abbas Araghchi, on Monday, the Kremlin leader gave a stony-faced assessment of the U.S. strikes. He called the attacks unjustified and unprovoked, and said Russia wanted to help the Iranian people. But the Kremlin leader made no mention of military support in his public remarks ahead of the talks. Instead, he suggested they discuss an exit ramp out of the conflict. “This gives us a chance to...think together about how it would be possible to get out of this situation,” Putin said. Israeli strikes targeted Iran’s nuclear program, missiles and top military figures, with the U.S. joining over the weekend by using its most powerful bunker busters. Iran, meanwhile, has gotten little more than rhetorical support from its most powerful backers, including Russia and China. The partnership between Moscow and Tehran has been a thorn in the side of Western interests in Europe and the Middle East. The two cooperated for nearly a decade in Syria to keep President Bashar al-Assad in power. And after Moscow fumbled the initial stages of its invasion of Ukraine, Iran boosted Russia’s war effort with ammunition, artillery shells and thousands of drones. But Moscow is unlikely to return the favor. With Iran facing its most existential challenge in decades and even signals from President Trump about regime change, Russian military aid is unlikely to come through, analysts said. While the strategic partnership reached between the two



President Putin met with Iranian Ambassador to Russia Kazem Jalali, right, and Iranian Foreign Minister Abbas Araghchi.

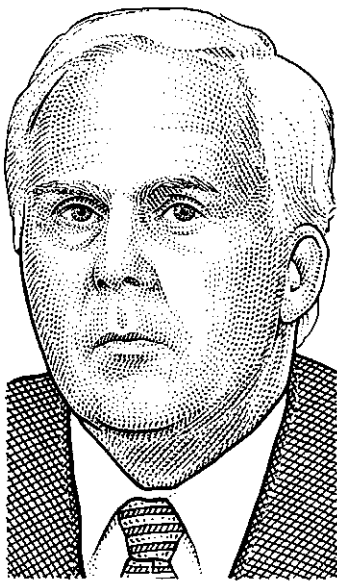
countries didn’t include a mutual defense pact, it did strengthen intelligence sharing and prohibit the countries from helping each other’s enemies in conflicts. “Iran can ask Russia to back it up in retaliation to the U.S., but Moscow will never accept it,” said Nikolay Kozhakov, an expert on Russian-Iranian relations and a professor at Qatar University. The move underscores the transactional nature of even Putin’s strongest partnerships as the Kremlin is mired in Ukraine and vulnerable to Western sanctions. He wants to avoid an escalation of violence that could end badly for Iran and Russia. He also wants to preserve an on-again-off-again relationship with Israel and his ties with Trump, who has held back on sanctioning Russia despite the Kremlin’s resistance to engaging in substantive peace talks with Ukraine. That is unlikely to satisfy—or surprise—Iran, which has faced disappointment from the Russians before. The month after the Oct. 7, 2023, Hamas-led attack killed more than 1,200 Israelis, the Iranian government said it completed a deal for Moscow to supply Sukhoi Su-35 jet fighters, Mi-28 attack helicopters, S-400 air-defense systems and Yak-130 training jets. The only delivery it got was the training jets. Production problems and diplomatic pressure from other Gulf countries prompted Russia to withhold more sensitive and powerful technology, said Nicole Grajewski, a fellow with the Carn-

egie Endowment for International Peace and author of a book on Iran and Russia. Last year, Israeli strikes took out some of Iran’s best air-defense systems that had been provided by the Russians. In the months that followed, Russia was either unable or unwilling to replace them. On Monday, Araghchi asked Putin for new air-defense systems and help in restoring its nuclear energy network, according to a person briefed on the talks. Last week, when pressed by reporters about why Russia wasn’t supplying arms to help Iran counter Israel’s attacks, Putin said Iran hadn’t made any specific new requests. Iran is the most recent Russian partner to experience a cold shoulder from Moscow. Armenia, which has a mutual-defense treaty with Russia, got no help from Moscow as its forces in the breakaway Nagorno-Karabakh region of Azerbaijan were decimated by Baku’s troops in 2020 and 2023. The debacle accelerated Armenia’s fundamental shift toward partnership with the U.S. Similarly, when Syria’s Assad was toppled last year, Putin merely offered asylum to the former strongman. “Putin often turns his back on his autocratic friends when they need him,” said Fabrice Pothier, a former top adviser to North Atlantic Treaty Organization leadership. Putin has sought to position himself as a potential mediator. Trump has dismissed that, saying he should focus on mediating the Ukraine war.

In Memoriam

Frederick W. Smith

1944-2025



We celebrate the life of Fred Smith, the visionary founder and longtime CEO of FedEx, who passed away at the age of 80.

Mr. Smith was also a founding member of The Wall Street Journal CEO Council, where he was always willing to share his unique insights with others. He leaves behind a legacy of innovation, leadership, and global impact.

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FROM PAGE ONE

Strikes Cost Iran Months On Program

Continued from Page One
“Those targets were obliterated,” he said on Tuesday morning. Some independent nuclear security experts have also said they believe that Iran sustained significant to severe damage to its nuclear program.

Secretary of Defense Pete Hegseth also challenged the intelligence report. “Based on everything we have seen, and I’ve seen it all, our bombing campaign obliterated Iran’s ability to create nuclear weapons,” he said, adding: “Anyone who says the bombs were not devastating is just trying to undermine the president and the successful mission.” Trump posted Hegseth’s comments on social media.
The administration delayed a classified briefing about Iran that had been scheduled for lawmakers

Tuesday. That has led some in Congress—mainly Democrats—to question whether U.S. intelligence matches up with public statements from Trump, a Republican.
The strikes over the weekend shut the entrances to underground facilities at two of the sites, but didn’t collapse their underground structures, the report said, according to an official familiar with the assessment.
One of the people familiar with the intelligence said that the facilities were degraded, but not severely, and that Iran still retained the ability

to enrich uranium. Iran might have also moved enriched material from the sites before they were destroyed, and might have other covert sites to enrich uranium, the person said.
Early last week, days before the U.S. strikes on Iran, a senior U.S. intelligence official said the consensus intelligence community view at the time was that Israel’s bombing campaign had already set back Iran’s nuclear program by five to six months.
The U.S. strikes targeted three key Iranian nuclear

sites: Natanz, Isfahan and Fordow. U.S. B-2 stealth bombers dropped a total of 14 30,000-pound GBU-57 Massive Ordnance Penetrator bunker-buster bombs at targets including Fordow, which has an underground nuclear facility. U.S. submarines also fired Tomahawk cruise missiles at the Isfahan site.
The director general of the International Atomic Energy Agency, Rafael Mariano Grossi, said on Monday that the strikes likely caused “significant damage” at Fordow, but that no one, including the agency, was in a position to

fully assess the damage at the underground site.
A fuel enrichment plant was hit at Natanz, Grossi told the IAEA board of governors on Monday. At Isfahan, other buildings were hit, as were entrances to tunnels used for storing enriched nuclear material, he said.
The strikes followed days of Israeli bombing at Iranian military and government sites. Israel and the Trump administration said the strikes were intended to stop Iran from acquiring nuclear weapons. Iran has said its nuclear program is peaceful.

Clients Struggle To Collect

Continued from Page One
Some of those plaintiffs, including two represented by women’s rights lawyer Gloria Allred, Bloom’s mother, have been waiting about six years.
David, who left the U.S. even before the final verdicts rolled in, has denied all the allegations of workplace misconduct, dismissing some of the alleged behavior as workplace high-jinks and accusing the lawyers of orchestrating the cases for financial gain.
“Even if I had all the wealth in the world, I wouldn’t give them a penny anyway,” he said in an interview. “Why would I do that?”

work. Bloom provided a written statement that she said was from Jones, her other client who sued David, saying she was pleased with her firm.
Allred said her firm does civil litigation and isn’t a collections firm. She declined to discuss clients, and provided statements from Khan and Reeves indicating they were pleased with Allred’s firm and the firm they hired to enforce the judgments.
Nicholas Sarri, co-managing partner of JML Law, said the firm is working on a contingency basis and hasn’t been paid either. Dordick said sexual-assault judgments against individuals are often difficult to collect, and defended the way his firm highlighted the jury verdict. “We’re not advertizing that it was collected,” he said.

‘Go full Karen’

David, who is 57 years old, was born in Nigeria to a wealthy Greek family that holds a major stake in Coca-Cola HBC, a bottling business in 29 countries across Europe and Africa. He has owned luxury homes in California, London, Switzerland and Greece. He launched several media ventures in Los Angeles.

David shared medical evaluations with the Journal that indicated he has been diagnosed with a traumatic brain injury and paranoia. The damage to his brain, he said, contributes to impulse control issues and angry outbursts that make him “go full Karen.”

He cited the brain injury in court and on his Instagram feed where he lambastes lawyers and the California court system. He also has staged and filmed public encounters with lawyers. In a YouTube video posted in 2022, he confronted Allred in a parking lot and yelled expletives at her while she loaded up her car.

David, who isn’t a U.S. citizen, said immigration issues have prevented him from re-entering the country in recent years. He said he recently filed a lawsuit in Antigua accusing former employees and various lawyers of fraudulent litigation, suppression of exculpatory evidence and psychological abuse. He also questioned the credibility of the Journal and threatened to add the newspaper to the Antigua lawsuit.

One of his properties, a beachfront home in Malibu, Calif., was the subject of an extended standoff between David and one of the lawyers chasing his assets. In 2023, a court-appointed receiver took possession of the house. The property was sold last year for less than what was owed on the mortgage, according to the receiver.

Collection lawyers identified a U.S. bank account with roughly \$3.7 million. After a mortgage lender on the Malibu home took a portion, Bloom’s client Jones split the remaining amount with Allred’s clients, who used most of that money for their lawyers’ cuts and fees related to the collection effort.
Lawyers also seized more



ZACK WHITMAN FOR WSJ

‘No one knows that I’m not a multimillionaire and that I don’t have a dollar to my name.’

Elizabeth Taylor, who won a sexual-harassment case

than \$3 million from the sale of a Swiss chalet that David co-owned, and nearly all of those funds went to fund the collection effort, documents show.

More than \$13 million was set aside from the sale of a property David owned on the Greek island of Spetses, but more than half of that was slated to pay lawyers, according to documents.

Themis Sofos, a lawyer for David in Greece, said he is appealing the enforcement of the U.S. judgment in Greece.

Taylor met David in 2015 after responding to a Craigslist ad for a job at FilmOn, one of his businesses. She said that David had groped her and held her upside down by the ankles, among other things, and she had reported him for sexual harassment. David denied either sexually harassing or otherwise mistreating her.

She hired Bloom in early 2017 and introduced the firm to Jones, another employee with allegations against David, she said. Two other employees who had allegations against David—Reeves and Khan—hired Allred’s firm.

Taylor expected her trial to go first, but Jones’s case did so. Taylor said she didn’t know the order could affect her chances of recovering money. Bloom denied that it did.

During three separate trials in 2019, juries awarded Jones and Allred’s two clients a total

of about \$73 million. That September, a jury failed to reach a verdict on Taylor’s sexual-harassment and wrongful termination claims, resulting in a mistrial.

Taylor was devastated. She said Bloom told her the jury didn’t side with her because she was unlikable on the stand, and that only attractive people win trials. Bloom denied saying that.

Taylor said she wouldn’t have pursued the case had she known it would dominate her life. She said she was expected to reply to outreach by the Bloom firm within 24 hours. “I kept being told a few more months, and a sudden it was years,” she said.

Bloom said her firm always updates clients about their cases, as they did with Taylor in early 2020 when they learned David was making moves to avoid paying judgments or when they encountered delays. She said her firm hasn’t charged Taylor for more than 4,000 hours of legal work or more than \$200,000 in expenses.

It wasn’t until 2023, nearly eight years after Taylor was fired from David’s company, that her case went to trial again, and the jury awarded her \$8.4 million.

Bloom’s firm arranged for Joseph Chora, a lawyer whose firm specializes in enforcing judgments by tracking and

seizing assets, to collect on the \$11 million verdict won by her other client, Jones, which led him to pursue the Malibu house. He also testified as an expert witness when Taylor’s case against David went to trial for the second time.

At the trial, Chora estimated David’s net worth to be between \$2 billion and \$3 billion. He said David used limited-liability companies, trusts and other tactics to prevent his firm from enforcing the judgment. David has money for spending, Chora said, including \$130,000 to clone his dying Doberman, Vader.

In an interview, Chora said David pulled most of the equity out of his Malibu house and transferred assets to a trust in South Dakota that he said was for his children. That frustrated collection efforts, he said. “Alki David had millions of dollars,” he said. “How much exactly, I don’t know.”

David has disputed Chora’s characterization of his wealth, and said he once paid a journalist to get on a billionaire list.

Collections industry

Allred, Bloom and other trial lawyers typically outsource efforts to collect civil judgments.

Plaintiffs, on top of what they pay lawyers handling their lawsuits, must pay for time spent by the judgment enforcers, or give them a cut of any amounts collected. The plaintiffs have to cover some costs upfront, so they sometimes turn to firms that finance such work. Those specialty funders often take a first

cut of any recoveries.
To collect the 2019 judgments against David, Allred’s two clients turned to Oren Warshavsky, a lawyer at BakerHostetler who specializes in international asset tracking. To fund that effort, those clients turned to Omni Bridgeway, a firm that funds litigation.

When BakerHostetler eventually seized more than \$3 million from the sale of the ski chalet in Switzerland last year, most of the proceeds went to pay back Omni, documents show.

Omni declined to discuss specific clients, but said funders typically are entitled to priority repayment because they provide risk capital that clients aren’t obligated to repay unless funds are recovered.

BakerHostetler’s Warshavsky also declined to comment on clients, but said that when the firm works on a contingency basis, it receives “significantly less than the client’s share.”

Zirpel, the whistleblower, said that after he won his 2021 case his lawyers at JML Law pointed him to Chora’s firm. He said he was surprised to find out he was expected to pay 36% of the money recovered to Chora’s firm, in addition to the 50% he already agreed to pay his trial lawyers. Chora’s firm also expected him to pay thousands of dollars in investigative and other costs. Zirpel said he decided not to hire that firm.

By the time Taylor’s second trial was set to begin in late 2023, it was clear that collecting from David would be difficult. Taylor said she felt that Bloom would help her obtain any money she won because that’s what Bloom told her.

In an Instagram video in May of that year, Bloom said, “Under our system of justice, paying judgments is not optional.” Bloom said her firm had been pursuing David since 2019 for her other client and that it was on the verge of taking his house. “We will pursue him until we get every dollar for our client,” Bloom said in the video.

Taylor said she was surprised when Bloom’s law partner, Arick Fudali, told her in a series of calls starting that October that she was unlikely to get any money. He told her, she recalled, that she would need to find a judgment enforcement firm, and she shouldn’t use Chora because he already was working for Bloom’s other client, Jones.

Taylor said she became distraught on the calls, questioning why the law firm helped collect for another client. Fudali, she said, played down Bloom’s social-media comments and said Chora’s collections efforts had been largely unsuccessful and costly.

In November 2023, Bloom told Taylor in an email that they should try to settle with David if given the opportunity. “You must understand that it is extremely unlikely (if not impossible) that even if you win, you would ever receive any money from Alki David,” Bloom wrote. “Further, it would cost you money out of your own pocket to pay a debt collection attorney to try and collect from him—potentially hundreds of thousands of dollars.”

But David wasn’t serious about settling, Taylor said.

Bloom declined to discuss conversations with Taylor but said: “Most firms would have dropped a client after learning she almost lost a jury trial because the jury did not find her credible” and after learning that it would be “next to impossible” to recoup their costs on the case. “But we kept fighting for her.”

That December, a Los Angeles jury awarded Taylor \$8.4 million. Bloom filmed videos with Taylor shortly after. In one, Bloom said: “What I do for a living is bring money to victims, and I’m very proud of it...I take money from the bad guys, and I give it to good people like Elizabeth.”



Images from a YouTube video showing Alki David confronting lawyer Gloria Allred in a parking lot.



Inside Complex, Petty Prenups Of the Super Wealthy’s Mergers

Lawyers lift the lid on the pre-wedding agreements as Jeff Bezos and Lauren Sánchez head to the altar. Amazon’s founder didn’t negotiate one before his previous marriage.

By DALVIN BROWN

When Jeff Bezos and MacKenzie Scott divorced in 2019, they didn’t have a prenuptial agreement to govern the division of their assets. She received a stake in Amazon valued at more than \$35 billion.

Now, as the world’s third richest man prepares to marry Lauren Sánchez in a multiday Venetian extravaganza, onlookers can’t help but wonder whether there is a prenup and what it looks like.

It couldn’t be learned whether they have one. A spokesman for Bezos declined to comment.

But divorce attorneys say Bezos, now worth over \$200 billion, would be mad not to have one. The reason is simple: It is one of the most important tools the ultrawealthy use to protect their fortunes.

Attorneys say that prenups are only becoming more common for people of all wealth levels. For those with net worths that are nine figures or larger, these agreements become sophisticated legal instruments to protect assets, business empires and family dynasties.

Prenups can dictate who gets access to the private jet, how the thoroughbred horses are cared for and who gets to say what about the divorce on social media. The embedded confidentiality agreement can even prohibit disclosing the existence of the prenup itself, says Doug Julian, co-founder of HelloPrenup, a prenup website.

Ultrawealthy prenups must ad-



Jeff Bezos and Lauren Sánchez are set to wed this weekend in Venice. A spokesman for Bezos declined to comment on any prenup.

dress assets that can’t be easily split or sold, such as startup equity that can’t be traded in the public markets; carried interest in private-equity funds; royalty streams from intellectual property and family trusts with complex distribution rules.

Without proper planning in a prenup, the illiquidity of these assets can lead to painful trade-offs. Selling company shares to fund a settlement can trigger massive capital-gains taxes. Dividing voting shares may shift control of a company. Transferring assets be-

tween spouses can create unexpected tax bills.

For the ultrawealthy, negotiating a prenup often focuses on preserving lifestyle and acknowledging the relationship’s importance, while keeping business interests and major assets off the table in a divorce.

“You don’t want them to have access to anything that would significantly change their wealth,” says Robert Cohen, a New York attorney whose firm handles dozens of prenups annually for clients worth over \$100 million.

Cohen, like other attorneys in-

terviewed for this article, didn’t work with Bezos or Sánchez.

Ultrawealthy individuals have multiple homes in different states and countries. That means they have legal exposure in multiple places. A divorce could be filed anywhere.

The stakes are high: A prenup that is enforceable in New York might be tossed in London. That is why top-tier prenups often include choice-of-law clauses, locking in which jurisdiction’s rules apply regardless of where a divorce unfolds.

“We have the agreements vetted by lawyers in those jurisdictions to make sure there’s not going to be a problem,” says Cohen. “I recently worked on a case where we had to consult lawyers in eight different jurisdictions—all over the world.”

Prenups can lay out who in a divorce supervises the packing of personal belongings, or can require a spouse to move out within 30 days.

Some clients demand their prenups stipulate that a spouse maintain a specific weight—say, within 20 pounds of what it was on their wedding day—or exercise four times a week during the marriage. Others want financial penalties for cheating: one attorney described a client seeking a \$1 million payment for each affair.

Randall Kessler, an Atlanta-based divorce attorney, recounts one professional basketball player client who insisted his prenup acknowledge that “NBA players are known to have affairs” so cheating couldn’t trigger costly penalties.

Judges may view behavioral clauses like weight requirements as overly invasive or punitive. They can also create endless disputes.

Courts also typically won’t honor prenuptial terms that dictate child custody or support.

Still, these agreements often reflect an anxiety about losing control.

“Every prenuptial agreement is a power play,” says Nancy Chemtob, a New York divorce attorney. “It’s exciting for them to have this control.”

The leverage often goes to whoever cares less about the marriage. “If you’re willing to walk away, you hold all the cards,” Kessler says.

Divorce lawyers say they detect inklings of deeper insecurities in this maneuvering. “Very wealthy people are typically accustomed to being in total control of every aspect of their life,” says Jodi Furr Colton, a Florida attorney. “They often don’t deal well with discomfort and uncertainty.”

Most ultrawealthy clients aren’t trying to leave their spouses with nothing. “I find that they’re often willing to provide enough in the prenup so it won’t be a big negotiation,” says Cohen.

Prenups can include “sunset clauses” where the agreement expires after 10 or 20 years—a way to acknowledge that long marriages grow into genuine partnerships. These days, ultrawealthy clients increasingly prefer stepped agreements, where a spouse might receive \$5 million if they divorce after five years of marriage and \$20 million after 10, attorneys say.

One thing these agreements can reliably deliver is silence. While courts may toss sweeping confidentiality demands, narrowly written nondisparagement clauses typically hold up.

High-profile couples often use them to bar ex-spouses from sharing intimate details, financial records, or embarrassing stories with the media.

“Wealthy people are insecure, just like you and me,” says Peter Walzer, a California family law attorney.

“They want to be loved. The wealth becomes an impediment because they’re afraid of being taken advantage of,” he said.

From Amazon Stock to Property To Jets, a Look at Mogul’s Wealth

Jeff Bezos used to drive a 1997 Honda Accord and repurposed surplus wooden doors as desks. Now he is one of the wealthiest people in the world.

His vast sums have allowed Bezos to spend on passion projects such as Blue Origin rockets, and a Venice wedding to fiancée Lauren Sanchez that some estimate could cost \$15 million to \$20 million.



Total wealth

Bezos is among the richest billionaires, according to The Wall Street Journal, which in February estimated his net worth at \$263.8 billion.

■ Bezos owns about 8.6% of Amazon, a percentage valued at roughly \$190.56 billion as of early June, per FactSet.

■ In 2024, Bezos sold about \$13.5 billion of Amazon shares.

■ The billionaire’s private investment firm, called Bezos Expeditions, manages his personal wealth and investments. It has around \$107.8 billion of assets, the Sovereign Wealth Fund Institute estimated. The firm’s website said it

has invested in companies such as Airbnb, Uber Technologies, Perplexity and the Washington Post, as well as space-transportation company Blue Origin.

Real estate

Bezos is the country’s 23rd-largest landowner, with 420,000 acres across the U.S., according to the Land Report, a trade publication. He has also spent hundreds of millions of dollars on homes, including:

◀ The Warner Estate in Beverly Hills, Calif., at left, which he paid \$165 million to buy in 2020.

■ A 14-acre compound in Maui that cost Bezos \$78 million in 2021.

■ Three properties in Indian



Creek—an exclusive island near Miami—that Bezos bought for a total of \$234 million in 2023 and 2024

■ Three apartments at 212 Fifth Avenue in Manhattan, costing a collective \$80 million in 2019.

Jets and a superyacht

Bezos has become a collector of fancy planes. He also owns a huge yacht that he primarily parks in Port Everglades, Fla.

■ The 417-foot-long superyacht, named Koru, cost at least \$500

million, according to luxury lifestyle publication Robb Report.

Its support vessel, the Abeona, cost an additional \$75 million and features a helipad, the publication said.

▲ Bezos owns two jets and two helicopters, according to Jack Sweeney, who tracks celebrity jets. Bezos’ Gulfstream G650ER jet costs more than \$50 million, while his G700, above, sells for around \$75 million.

—Meg Tanaka and Sebastian Herrera

PERSONAL JOURNAL.

By HELENA GETAHUN-HAWKINS

For millions of fans of the K-pop band BTS, the date June 14, 2022 is seared into memory. It was the day the band announced that it would be going on hiatus to pursue solo projects. Soon after, members confirmed plans to do their mandatory service with the South Korean military.

Kaylei Brown, a 25-year-old veterinary technician from Atlanta, feared the hiatus might mark the end of the group. “Any ARMY would immediately know what a chaotic, terrible experience that was,” said Brown, using the acronym for BTS fans that stands for Adorable Representative M.C. for Youth.

HYBE, the band’s label, said in fall 2022 that the band would reconvene “around 2025 following their service commitment.” Now, the worst of it appears to be over: All seven members have now completed their military service. Fans hope that means a reunion could be on the horizon.

“I’m going to be on cloud nine this weekend,” said Brown, who is traveled to New York to celebrate the discharge of her favorite band member, Suga, and the band’s anniversary with her friends.

Since its debut in 2013, the Korean-pop boy band, whose initials stand for Bangtan Sonyeondan—Bulletproof Boy Scouts in Korean—has captured the hearts of millions of fans around the world with songs like “Dynamite” and “Boy With Luv.” The seven-person group has performed at the Grammy Awards, topped the Billboard Hot 100 and received an invitation to visit the White House.

In South Korea, all able-bodied men are required to complete military service for a minimum of 18 months, starting at 18 years old. The government has allowed some prestigious athletes and musicians to sit out military service in the past. In 2020, the government amended the conscription law, allowing accomplished artists to postpone their military service.

The band’s eldest member, Kim Seok-jin, known as Jin to fans, delayed his service by less than two years, beginning his service in December 2022. The rest of his bandmates eventually followed. Since 2024, members have been trickling out of the military, five of them discharged in June.

As fans celebrate the end of their military service, new solo music releases and the band’s anniversary,

K-Pop Fans Rejoice as BTS Completes Its Military Duty

All seven members of the popular boy band have completed their conscription in South Korea; After a three-year hiatus for the group, fans are ready for a reunion and new music



Above, RM (left) and V celebrate after completing their service. At left, fans waiting for the BTS members after their discharge.

June has been a busy month for ARMY.

As of Tuesday, there has been no official statement from HYBE, the band’s label, on when exactly BTS will release music together again. The company has not responded for comment.

J-Hope, a rapper with the group, released a new single, “Killin’ It Girl,” with American rapper GloRilla on June 13.

The same day, Sherrie Chavez, the operator of Hana Cafe, part of the K-pop event space Hana House in Brooklyn, N.Y., hosted a celebration for the band’s anniversary. There were many tears, she said, as, earlier in the day, fans had watched all seven members reunite at a J-Hope concert in Seoul.

On June 20, in honor of Suga’s discharge, Chavez hosted another celebration at the event space. It featured New York’s only “photoism” booth, a Korean photo booth which contains templates so fans can take realistic photos of themselves and their favorite K-pop idols.

“They are a bright light for people,” Chavez said of the band members. Fans, she says, feel a “big weight” off their shoulders now that all the band members are able to reunite.

Jackie Alvarez is the chief financial officer of the nonprofit US BTS ARMY, which acts as a news source for many fans. She spends an average of 10 to 15 hours a week updating fans on their merchandise drops, encouraging them to stream music releases and hosting weekly streaming parties. She says she’s even warned colleagues, “be prepared for me to be speaking nonstop BTS for the next month or so.”

CHUNG SUNG-JUNG/GETTY IMAGES; HEON-KUN/UPA-EFE SHUTTERSTOCK; SHUTTERSTOCK

On This Island, Horses Rule—for Better and for Worse

Continued from Page One plants,” said José Silva, the gardener.

Three days of work and \$450 were lost—thanks, as always it seems, to the equines that give this 21-milelong strip in the Caribbean its nickname, Isla de Caballos: Horse Island.

“You sacrifice so things look right and then these animals, which have no owner, come in and tear things up,” González said.

Vieques, a short ferry ride from the eastern coast of Puerto Rico, is overrun by the horses—both a symbol of its heritage and a major headache. Nearly 3,000 roam freely, outnumbering most other things in this community of barely 8,000 people.

First brought to the island by Spanish conquistadors, the horses now run along the island’s narrow country lanes, rummage through garbage and amble into gardens. They park themselves in front of stores, use their hooves to bust pipes for a drink of water and introduce themselves to startled tourists on white-sand beaches.

Visitors often leave delighted. “I’m a nature girl. I love animals,” said Jasmine Ruiz, an actress from New York who vacationed in Vieques in December. “And when I got there, it was so cool to see them. They’re on the side of the road. They’re grazing. There’s so many of them.”

Mayor José Corcino isn’t so enamored.

A former police officer attuned to danger, Corcino says the horses sometimes get hit by cars. They leave droppings wherever they go. And he worries the ticks they carry could cause disease.

“Little by little they procreated until today it is a big and serious problem that we have with the horses,” Corcino said.

For decades, the horses mostly roamed the two-thirds of the island that the U.S. Navy used for bombing exercises and weapons testing.

Residents celebrated when the Navy pulled out in 2003 after years of protests. But the military’s presence, it turned out, had helped keep the horses largely contained. Once its fences came down, the horses were suddenly everywhere.

Many of the horses actually have owners, according to officials. But without the money to feed them or put them in a stable, they let them run loose.

“Our generation, you had the horses at your house,” said Erica

Boulogne, 46, who grew up with eight horses. “Now, people let them go. They let them run free so they can have access to food and water.”

Owners are required to take care of the animals under threat of fines, though sanctions are rare. Another

‘They’re on the side of the road. They’re grazing. There’s so many of them.’

rarity: someone taking responsibility when a horse feasts on freshly pruned flowers or collides with a car.

“Many people have accidents and don’t report it to the police because they know no one will pay,” said Luis González.

The musician was driving home one night in 2022 after performing at a dance when “suddenly, a bunch of horses came out of nowhere,” the 50-year-old recounted. “I thought I’d hit a wall.”

The horse he had hit died. His van, worth \$6,000, was a total loss.

Officials say no humans have been seriously injured in the collisions,

but vehicles do get damaged and, in a few cases, injured horses have had to be put to sleep.

That’s not to say the horses aren’t beloved by the residents of Vieques. Spotting a horse running through the surf is an experience few ever forget. Some children ride the horses to school. There are even riding schools and a racing circuit.

“What’s wrong with the horses of Vieques?” asked Johnny Colon. “To me, there is no problem.”

The 41-year-old and his wife offer horseback tours for tourists and have a riding school for children. “The horses are part of our culture, they represent happiness,” he said. “I don’t see anything bad about it, though some people get upset because they mess up the garbage.”

Islanders, with help from the Humane Society and other organizations, have done what they could to bring the problem under control.

A few years ago, that included firing contraceptive darts from compressed-air rifles. Educational campaigns have sought to ensure residents keep their horses fed and penned up. The latest plans come from Puerto Rican Sen. Carmelo Ríos, who is trying to drum up public funding to create a sanctuary on Vieques to care for the horses.

“They are abandoned,” he said. “They do have needs. They do get sick.”

Ruiz, the actress who visited in December, said she doesn’t see what the big fuss is about. She suggests residents drive more slowly to avoid collisions, and says homeowners should stop worrying about their lawns.

“I thought they were so cute,” she said about the horses. “I really, really loved it, and it made my stay so much better. And there were a lot of chickens, too, chickens everywhere.”

EMMA P. RODRIGUEZ FOR WSJ



At Caracas Beach, a horse waits for a possible snack as a tourist guards her family’s belongings.

ARTS IN REVIEW

MUSIC REVIEW | MARK RICHARDSON

How the Boss Stayed Busy

Full of surprising experiments in genres and styles, a boxed set of previously unreleased material from the 1980s, '90s and beyond offers a new perspective on Bruce Springsteen's art and career

For years, the line on Bruce Springsteen in the 1990s was that he was either creatively adrift or set music aside while raising his children. Either way, he'd lost relevance. The pair of albums he released in 1992, "Human Touch" and "Lucky Town," had a handful of excellent songs between them, but they mostly comprised down-the-middle singer-songwriter rock fare. "The Ghost of Tom Joad" from 1995, an acoustic record in the vein of 1982's "Nebraska," was a curveball, and some fans consider it a major work. But the timing was off, and it didn't quite fit in a decade defined by a new generation's alternative music. It wasn't until Mr. Springsteen returned with 2002's "The Rising," an E Street Band LP shaped by the attacks of 9/11, that he fully reclaimed his place in popular music, and he hasn't lost his grip on it since.



Mr. Springsteen, right; his new seven-disc set, "Tracks II: The Lost Albums," comes out Friday.

With the arrival of the large and expensive boxed set "Tracks II: The Lost Albums" (Columbia), out Friday, we have a better sense of how Mr. Springsteen spent what was perceived to be downtime: He made strong albums and didn't release them. Three of the seven LPs included in this set were conceived and at least partly recorded in the '90s and a fourth is rooted in his experiments during the decade. Along with this bounty, there's a collection of material cut between "Nebraska" and 1984's blockbuster, "Born in the U.S.A.," plus two sets of more recent vintage. Taken as a whole, "Lost Albums" offers an intriguing glimpse of an alternate career for Mr. Springsteen, one a little more freewheeling, where he zigzags between genres and styles.

As a songwriting showcase, "L.A. Garage Sessions '83" is a snapshot of Mr. Springsteen at the peak of his powers. One could imagine almost every song on it serving as a cherished deep cut on "Born in the U.S.A." The disc includes an intriguingly spare demo version of "My Hometown" from that record, and a different version of the haunting "Shut Out the Light," the B-side for that album's title-track single. But while the material is terrific, the sound is frustratingly lo-fi—Mr. Springsteen's voice is coated in reverberation and slapback echo, and the instrumentation sounds distant and thin. Still, "L.A. Garage Sessions '83" would on its own be a major release.

Almost as strong, and much better sounding, is "Streets of Philadelphia Sessions," which gathers songs written around the time of Mr. Springsteen's 1994 hit of that title. Moody synths and drum loops predominate, and the feeling of music made by a lone, isolated figure lends thematic weight. On tracks like "Blind Spot" and "We Fell Down," the mix of atmosphere and steady rhythmic pulse, along with the shadowy exploration of troubled relationships, suggests the expansive electro-folk

Sarah McLachlan was making during this period.

Two very different albums, "Somewhere North of Nashville" and "Inyo," connect directly to "The Ghost of Tom Joad." The former was cut simultaneously with "Joad" and was at one point considered for release alongside it as part of a longer album. But where "Joad" was ultra-spare and downcast, the other product of the sessions is often raucous and celebratory. Pedal steel guitarist Marty Rifkin is the star of the show—his warm and gliding

lines are high in the mix, and animate roadhouse-rock numbers like "Tiger Rose" and "Delivery Man."

Several tracks on "Inyo" can be traced to the same period, and others were written around the time of Mr. Springsteen's 2005 acoustic set "Devils & Dust." These are narratives that explore the desperate lives of impoverished Mexican and American characters in the American Southwest. Rapidly strummed nylon-string guitars and an occasional horn section connect the songs to the region's folk styles,

and while the notion of Mr. Springsteen singing mariachi music looks highly questionable on paper, he pulls it off, his commitment to the material transcending kitsch.

The "Faithless" album, originally written as a soundtrack to a movie that was never made, also finds Mr. Springsteen exploring unfamiliar terrain. The story was apparently a spiritually minded western, and in notes included in the box Mr. Springsteen mentions being inspired by Ry Cooder's work on such films as 1982's "The Border." Several evocative instrumentals will put images of desert vistas and rolling tumbleweeds in your mind, and many of the songs Mr. Springsteen sings, such as "Where You Going, Where You From," are steeped in religious imagery and backed by a choir that sounds as if it's on loan from a roadside chapel.

All the records discussed so far are surprisingly rich in melody. Mr. Springsteen's lyrical acumen has remained sharp throughout his career, but he's been less consistent with memorable tunes. "Twilight Hours," recorded at the same time as Mr. Springsteen's 2019 album "Western Stars," highlights some of his shortcomings in this regard. It's an ambitious concept, with Mr. Springsteen paying tribute to the grandly orchestrated pop of the late 1960s and early '70s—think early Scott Walker or Burt Bacharach. But while the arrangements are lovely and Mr. Springsteen admirably and con-

Much of this material comes from what has often been thought of as a fallow period for the rock star.

vincingly sings at the extremes of his range, these tunes wouldn't have cut it on AM radio when heard next to the Carpenters, and together they lack the thematic unity of "Western Stars."

The final disc in the set, "Perfect World," collects mostly rock numbers from across the past few decades, including several co-written with and previously recorded by Pittsburgh singer-songwriter Joe Grushecky. It's better than Mr. Springsteen's 2014 LP "High Hopes," which was itself a hodgepodge, but it feels a little tacked on next to the genre experimentation elsewhere in the set.

When "Lost Albums" was first announced, it was hard to get excited by so much unreleased music drawn from Mr. Springsteen's quietest decade. If what came out was just OK, how much could we hope for from what he kept in the vault? Given those modest expectations, the result is a triumph.

Mr. Richardson is the Journal's rock and pop music critic. Follow him on X @MarkRichardson.

TELEVISION REVIEW | JOHN ANDERSON

'My Mom Jayne': A Daughter's Tribute

IT MIGHT BE ARGUED that Hollywood sex symbol Jayne Mansfield is more famous now for being the mother of Mariska Hargitay than for her own status as a prototypical '50s bombshell and star of such films as "The Girl Can't Help It." Ms. Hargitay's tenure as Olivia Benson on "Law and Order: SVU," after all, has lasted twice as long as her mother's entire film career. But Mansfield, who died in a violent car crash in 1967, does occupy a singular if amorphous place in the pop-culture pantheon, and Ms. Hargitay's mission as director and producer of "My Mom Jayne" is multi-fold: rehabilitate her mother's reputation as one of the "dumb blondes" who rode the wake of Marilyn Monroe (Diana Dors and Mamie Van Doren were others); examine Mansfield as an example of manufactured Hollywood product; and come to grips with her own trauma concerning parentage and inheritance. It is a very personal documentary, a designation that can connote the good, the not-so bad and the distinctly uncomfortable.

"My Mom Jayne" has it all, including a puzzle that Ms. Hargitay pursues throughout. Revealing the payoff, such as it is, to "My Mom Jayne" would be a spoiler, though it seems to be common knowledge to members of the Mansfield fan base-cum-cult. But even without the family tie, Ms. Hargitay would have a terrific subject on her hands. In the archival interviews used throughout (the editing by J.D. Marlow is first-rate), Mansfield is as open as she can be about having used her "pin-up" assets, as she calls them, to advance her career. She had aspirations to be a serious actress, although it was probably her physical attributes that helped relegate her to the daffy blonde roles for which she was overqualified. She had excelled academically as a young woman, studying languages as well as piano and violin, and we get to see her perform on both during Ms. Hargitay's film. Do you play well, TV host Jack Paar asks, as Mansfield prepares to perform a short violin piece. "I play," she responds, a mo-



ment that is self-deprecating, deadpan and charming.

Ms. Hargitay was a 3-year-old child when her 34-year-old mother died—a child no one realized at first was tucked in the wreckage of the car, under the passenger seat. (The more gruesome details of the crash, some of which are strictly rumors, are left unaddressed here.) Mansfield was 3 when her own father suffered a fatal heart attack at the wheel, and she, too, was in the car. No one pretends this is some cosmic link between mother and

Mariska Hargitay with her mother, Hollywood star Jayne Mansfield, who died in a car crash in 1967.

daughter, but Ms. Hargitay looks for connections, because she has no real memories of her mom. Her older half-sister, Jayne Marie, the child of Mansfield's marriage to publicist Paul Mansfield in 1950, provides far more in terms of real-time recollections of Jayne, as do Ms. Hargitay's older brothers, Miklós and Zoltán, whose father was Hungarian athlete and body-

builder Mickey Hargitay, easily the most sympathetic character in the entire film.

At about two hours, "My Mom Jayne" feels a bit bloated, with the emotional beats played too long and too often and being a bit obvious besides. Ms. Hargitay also treats her mother's story like a mystery when it was really anything but—Mansfield knew what she had, used it to her best advantage, was nobody's fool, liked men enough to marry three times if not always wisely, and was willing to play her personal life out in tab-

loid headlines if it served her aims as an actress. That she left her daughter with a messy legacy is unquestionable, as is the fact that she never freed herself from the stereotypes connected to being blond, built and beautiful. But it could also be argued that she never really got the chance.

My Mom Jayne
Friday, 8 p.m., HBO

Mr. Anderson is the Journal's TV critic.

SPORTS

By JARED DIAMOND

Travis Lallemand, the baseball coach at Crowder College for the past two decades, remembers the exact moment he realized Jacob Misorowski was unlike anyone he had ever seen in the junior college ranks.

It was a little after 10 a.m. in Grand Junction, Colo., on May 29, 2022, and Misorowski was pitching at the JUCO World Series. His first fastball of the morning crackled toward the plate at a blistering 101 mph.

Before long, word began to spread through town that there was a kid on the mound at Suplizio Field blowing hitters away with triple-digit heaters—and he had to be seen to be believed.

“We started with 4,000 that day,” Lallemand says. “I bet there were 9 to 10,000 in the ballpark by the time our game ended.”

It turns out the people in the stands that day were among the first to discover what the rest of the baseball world is just starting to learn—never in the history of the sport has there been a pitcher with abilities quite like Misorowski.

In his major-league debut for the Milwaukee Brewers earlier this month, the 23-year-old Misorowski worked five innings without allowing a hit. He followed up that performance last Friday by carrying a perfect game into the seventh. In the process, he became the only starter since at least 1900 to begin his career with 11 hitless innings. Through two starts, he has more wins (two) than hits allowed (one).

He has done it by unleashing some of the most dominant stuff ever recorded on a baseball field. Misorowski’s fastball has averaged 99.7 mph, the hardest among all starters. He’s had two pitches clocked at above 102. His slider has averaged 94.6 mph, a full 4 mph harder than anyone else.

If there is any comparison to what Misorowski is doing, it might be last year’s rookie pitching sensation Paul Skenes—who happens to be Misorowski’s opponent Wednesday. The hotly anticipated matchup between these young flamethrowers will offer a glimpse at the kind pitching prowess that not long ago would’ve been unfathomable.

The Rookie Sensation Who Throws 103 MPH—and Has Been Almost Unhittable

Ever since Jacob Misorowski made his major-league debut for the Milwaukee Brewers this month, he’s been making MLB batters look silly



Brewers rookie Jacob Misorowski has pitched 11 innings in the majors, recording 11 strikeouts and just one hit.

“I’m not comparing them,” Brewers manager Pat Murphy says. “I’m just saying he has those types of qualities that make you think of a guy like Skenes.”

Misorowski grew up in a Kansas City suburb and had initially hoped to sign a pro contract directly out of high school. But when the Covid-19 pandemic canceled his

senior season in 2020, he changed course to attend junior college, preserving his eligibility to be drafted the next year.

That didn’t work out, either. He

suffered a knee injury that cost him virtually all of his freshman season and forced him to return to Crowder, a community college 30 minutes southeast of Joplin, Mo., in a city called Neosho.

It was the best thing that happened to him.

After two seasons away, he overpowered the JUCO circuit as a sophomore, striking out 16 batters per nine innings. In one start against Jefferson College, he whiffed 18. His fastball, which was around 95 mph in high school, had now reached triple digits.

Misorowski planned to transfer to LSU, where he would’ve joined forces with Skenes, who pitched for the Tigers in 2023. Instead, the Brewers made sure he never enrolled. They took him in the second round of the 2022 draft and “came with an offer where I was like, ‘I can’t say no to this,’” Misorowski said.

The Brewers paid him a bonus of \$2.35 million—more than double the recommended amount for the 63rd overall selection.

They felt like they had to, Brewers general manager Matt Arnold said, because if Misorowski had gone to LSU and continued his trajectory, “This guy had the ingredients to go in the top five of the draft.”

Suffice to say the Brewers haven’t regretted their investment. After struggling with his command at times in the minors, the 6-foot-7 Misorowski has started to put everything together, combining his otherworldly power with finesse.

He had a 2.13 ERA in Triple-A this season, where his fastball was clocked at 103 mph, and he’s been even better since arriving in Milwaukee. All told: 11 innings, one hit, 11 strikeouts.

“He puts you on the edge of your seat every pitch in a way where you want to see what’s next,” Arnold says.

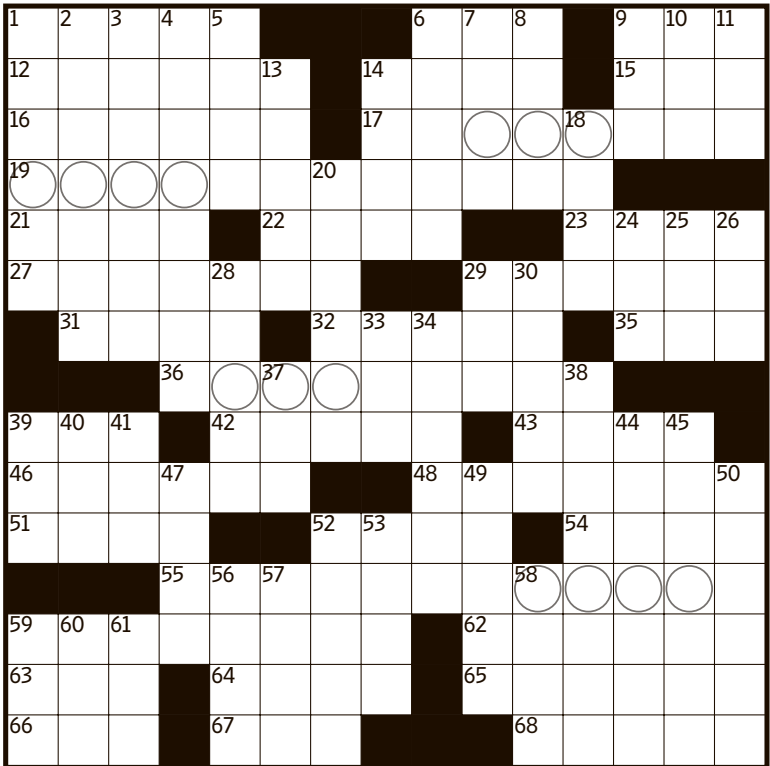
What’s next is a date with Skenes in a showcase of two of the most powerful right arms ever to grace a MLB mound.

In an alternate reality, Skenes and Misorowski could’ve been teammates at LSU. On Wednesday, they will share a major-league field.

“Facing a pitching staff with Skenes and Misorowski on back-to-back days,” Lallemand says, “I think you’d rather face a firing squad at that point.”

ESSE JOHNSON/MAGN IMAGES

The WSJ Daily Crossword | Edited by Mike Shenk



- 26 Knob for string tension
- 28 Hymn of praise
- 29 Run out of juice
- 30 Virtual greeting
- 33 Original “Veronica Mars” airer
- 34 Peloponnesian War winner
- 37 Crosses (out)
- 38 Ref’s whistle after the play
- 39 Talent show segment
- 40 ___-mo
- 41 Gluttonous sort
- 44 Michelle’s successor
- 45 Heat of the moment?
- 47 Go on strike
- 49 “Guitar Town” singer Steve
- 50 Handled
- 52 “Luther” star Elba
- 53 Comet’s appearance, perhaps
- 56 Way out there
- 57 Parent company of Converse
- 58 Makeup of underwater forests
- 59 Seek a treat, maybe
- 60 In the past
- 61 Chip shop fish

BOOMERANG EFFECT | By Zhouqin Burnikel

- | | | | | |
|------------------------------|---|-------------------------------------|-------------------------------------|---------------------------------|
| Across | 32 Scoring result? | 62 Come a little closer | 8 “u r hilarious!” | 47 Go on strike |
| 1 Preachy pamphlet | 35 Relay segment | 63 “Me, me, me” trait | 9 “Just as I suspected!” | 49 “Guitar Town” singer Steve |
| 6 Cardinal cap letters | 36 Alluring trait | 64 Comparable | 10 AI Sharpton nickname | 50 Handled |
| 9 “What ___ friends for?” | 39 Brick oven residue | 65 Page of “The Umbrella Academy” | 11 Unit in history class | 52 “Luther” star Elba |
| 12 Bat mitzvah language | 42 Big name in life insurance | 66 Original content creator? | 13 Club in a sand trap | 53 Comet’s appearance, perhaps |
| 14 Cyclotron particle | 43 Freeway entrance | 67 Hi-___ images | 14 Declare openly | 56 Way out there |
| 15 Preferred pronoun option | 46 They have big shoes to fill | 68 Texas home of Frito-Lay | 18 Dumbbell exercise | 57 Parent company of Converse |
| 16 Dress | 48 Brews from the leaves of rooibos shrubs | | 20 Page layout | 58 Makeup of underwater forests |
| 17 Blood vessel to the heart | 51 Roman wrap | Down | 24 Caterpillar roll ingredient | 59 Seek a treat, maybe |
| 19 Mocking words of sympathy | 52 Slightest trace | 1 “In other words...” | 25 Enjoyed a caterpillar roll, e.g. | 60 In the past |
| 21 Cyclotron particles | 54 Otherwise | 2 Updates, as a factory | | 61 Chip shop fish |
| 22 Oscar night dress | 55 Brown v. Board of Education, for one | 3 It can help in getting a six-pack | | |
| 23 Bring in | 59 Have exactly the wrong effect, and what 17-, 19-, 36- and 55-Across all have | 4 Baby bedding buys | | |
| 27 Unexpected hit | | 5 1,000 times giga- | | |
| 29 Take out | | 6 Hardly lenient | | |
| 31 Miss, in Mex. | | 7 Award for “A Strange Loop” | | |

Previous Puzzle’s Solution

JAKES ASAHIT ARK
AWARE LOGIC PEA
NORSECOURSE HAT
UKE SHERA BARRY
SENORA AERO
RED DIT CREDIT
SAWED ORING TICU
ERAS UNITE ATOM
ACT CRUSH GLENS
RHESUSTHESIS
REBA ISONIC
TIPPI TESLA ACA
ADO SPINALFINAL
ILL TENDS FOAMY
LEO STASH ESSEX

America’s Ryder Cup Captain Faces a Selection Conundrum: Himself

By ANDREW BEATON

KEEGAN BRADLEY had just driven home from the Travelers Championship last summer and put his children to bed when he plopped down in his chair and began looking forward to a few weeks off.

That’s when his phone started buzzing with a call that left him completely stunned: Bradley had been tapped as the U.S. Ryder Cup captain, making him the youngest American to assume the role in over half a century.

Ever since, Bradley has spent the last year obsessing over how to assemble a team of Americans to wrest the cup back from Europe at Bethpage Black in September. Along the way, he has been serenaded as “Captain America” by fans wherever he goes.

But at the Travelers Championship this past weekend, he had to start confronting an uncomfortable reality: One of the players he should pick is named Keegan Bradley.

When Bradley, 39 years old, won the Travelers with a birdie on the final hole on Sunday, it warped the calculus for an American roster that is riddled with question marks. Bradley had previously said he wouldn’t pick himself, but even he acknowledged afterward that it’s something he now has to consider.

“I never would have thought about playing if I hadn’t won,” he said. “This definitely opens the door.”

Bradley, the winner of the 2011 PGA Championship, was a surprising choice as captain from the outset. After playing on the team in 2012 and 2014, he nearly made it again in 2023, only for Zach Johnson to leave him off the roster in favor of players who had accrued fewer points.

But what made Bradley’s selection so odd wasn’t how long he had been absent from the team. It was his age.

Ryder Cup captains are typically so far past their primes that they never factor into team selection as players.

Bradley’s appointment made him the youngest American in the job since 1963, when a 34-year-old Arnold Palmer captained the U.S. team.

Now Bradley has to decide if he wants to follow in Palmer’s footsteps in another way—that year, he was also the last player captain.

What makes the situation particularly thorny is the process for picking the roster. Six players qualify automatically

World Golf Ranking pegs him as the game’s No. 7 player, while the analytics website Data Golf places him at No. 9, the fifth highest position of any American.

He’s also finding his form at just the right moment. Sunday’s win means Bradley has placed in the top-10 in three of his last four events. This the highest he’s ever stood in the world rankings.

That makes Bradley nothing like the elder statesmen who typically occupy the captain’s chair. Luke Donald, his counterpart, is 47 years old and long removed from his heyday. Johnson, Bradley’s predecessor, was ranked lower than 200th when he took charge.

That’s an epiphany Bradley had at the PGA Championship last month, when fans kept chanting “U-S-A, U-S-A” whenever he was nearby. “I don’t think any player in the history of the game has experienced what I’m experiencing,” he said. “I’m a Ryder Cup captain, [and] in my eyes still one of the best players in the world trying to win majors and tournaments.”

Bradley says he has tried to feed off the crowd’s energy, including on the final hole on Sunday when he was feted like a superhero. He also knows there’s one place that is certain to be even louder a few months from now: Bethpage Black for the Ryder Cup.



Keegan Bradley was a surprise choice as Ryder Cup captain.

BILL STREICHER/REUTERS

OPINION

New Life for Nonproliferation



BUSINESS WORLD
By Holman W. Jenkins, Jr.

A Trump walk-off home run already seemed a faint possibility last week given the distress the Israelis inflicted on the Iranian regime. Now it seems barely far-fetched after Iran's conspicuously token attack Monday on a U.S. base in Qatar, followed hours later by a Trump cease-fire that actually seems to be holding.

If so, Donald Trump the Peacemaker may have ended not only the war but Iran's nuclear threat. Garlands would descend upon his shoulders from the fair-minded. That'll be nice for him. The bigger payoff would come when he's long retired, and only if future U.S. leaders and allies are as determined as Mr. Trump seems to be in cutting off the rise of nuclear rogue states.

A tweet ought to have you questioning the intelligence of the American elite. It was provided by Obama veteran Ben Rhodes: "Trump's message to the world: if you have nukes like North Korea I'll trade love letters with you, if you don't I'll pull out of agreements you're keeping and bomb you during diplomacy."

Good heavens. North Korea had the bomb and the means

to deliver it thanks to the ineffective diplomacy of the Clinton and George W. Bush administrations. That's exactly what we're trying to avoid with Iran. And Mr. Trump is following the same path now he followed then, offering friendship but zero compromise on giving up their nukes.

In a more perfect world, Pyongyang would be the next stop for our B-2s. In a less perfect world, Mr. Trump at least makes a start on correcting the poor incentives in the West's Russia dealings. Vladimir Putin has been allowed to understand he can end the Ukraine war whenever he wants. The West will let him keep what he has. He won't be punished, he will be rewarded with sanctions relief.

The West will do nothing to destabilize his regime because of his nukes.

This is an inducement to keep fighting to see what else he might gain.

A week ago I would have bet on a can-kicking Iran settlement from Mr. Trump. A can-kicking certainly would have come from his 2024 opponents. Joe Biden's puppeteers would have had no choice because Mr. Biden couldn't serve as the face of an overtly risk-taking strategy. Kamala Harris's leadership attributes? Not evident in the presidential campaign.

With his Iran actions, Mr. Trump makes clear he dominates his coalition rather than being dominated by it. He enjoys an idiosyncratic legiti-

macy, having repeatedly been raised up by the voting public in defiance of universal establishment resistance.

That resistance continues. If puppies and unicorns spring forth now from a democratizing Iran, the permanent state would be no less bent on discrediting a Trump presidency.

Which brings us to an irony. "If you follow regularly what is said by those who are in charge of the federal government right now, there is a

In a better world, the B-2's next stop would be Pyongyang.

weak commitment to . . . our understanding of how a liberal democracy is supposed to work," intoned President Obama to an audience of Long Island swells last week.

The problem is real. Mr. Obama's concern is fake, a partisan weapon. In fact, no politician has been more victimized by the lying of the U.S. government than Mr. Trump even as he remains wildly careless himself in many of his claims.

His re-elevation to the presidency, moreover, was the direct, head-smacking consequence of the means by which the establishment, starting with the Obama administration, tried to suppress him, culminating in the Biden fiasco of 2024.

Mr. Obama has shrunk in his postpresidency. He will

shrink further when history reckons with this part of his record.

Mr. Trump was already rated our worst president by historians almost before he took his first oath of office. On present trend, though, he won't leave 535,000 Americans marooned in a futile war as LBJ did. He won't lose 36,500 because he failed to make U.S. enemies aware of our red lines as Truman did.

His term will be a mixed bag like any president's but he's already done more than the last three to adapt the U.S. to the changing strategic reality of the world.

The Constitution will survive despite Democrats constantly insisting otherwise to justify their own behavior. Indeed, a streak of recklessness has characterized Mr. Trump's critics, who had so much to criticize legitimately but preferred self-exploding lies and exaggerations. If you want to feel sorry for an astronaut and military veteran, listen to Democratic Sen. Mark Kelly's interview with NPR on Monday desperately trying to benefit from any reverse the U.S. might yet experience in its Iran showdown.

Mr. Trump seemingly hinted at a bomb targeted at Iran's supreme leader to give encouragement to talks. U.S. vulnerabilities aren't just troops at bases in the region. Ten former FBI officials issued a warning letter about unusual numbers of young single men entering the country during the Biden open border.

BOOKSHELF | By Melanie Kirkpatrick

An Agent Of Society

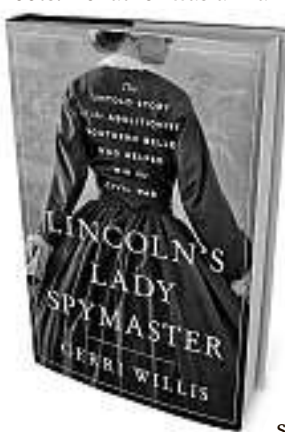
Lincoln's Lady Spymaster

By Gerri Willis
Harper, 288 pages, \$28.99

Elizabeth Van Lew was rich, beautiful, charming and plugged into 19th-century Virginia high society, whose aristocracy included President Jefferson Davis. Motivated by her abhorrence of slavery and opposition to the dissolution of the Union, Van Lew (1818-1900) used her elite social position to set up a spy ring that helped the North win the Civil War.

In "Lincoln's Lady Spymaster," Gerri Willis relates with verve and rich detail the extraordinary story of Van Lew's espionage career. With the help of liberal quotations from Van Lew's diary, the author brings to life her subject's generous yet pugnacious personality and her moral certainty about the dangerous life she chose. Ms. Willis, an anchor for Fox Business, is the author of two previous books on personal finance.

Van Lew's pro-Union attitudes grew out of her Northern roots. He father was an "ambitious New Yorker from Long



Island" who established a successful hardware business in Richmond, Va. Her maternal grandfather served in the Continental Army during the Revolutionary War and was one of the first members of the Pennsylvania Abolition Society, which, in 1790, petitioned Congress to abolish slavery. Elizabeth's parents sent her to school in Philadelphia, where she was exposed to antislavery views.

Her career as a spy began early in the war when she persuaded prison officials to let her deliver food, books and clothing to captured Union soldiers. It wasn't long before she realized that some prisoners had information that could be valuable to the Union's war effort. She also overheard sensitive information from prison officials, who weren't always careful when speaking around a Southern lady.

She devised clever ways of smuggling information out of the prison. Messages were sewn into clothing or stashed in a shoe's hidden compartment. The bottom of a custard cup, intended for hot water, was repurposed into a tool of the spy trade. A book loaned to a prisoner could be returned with vital information penciled in between the lines.

For prisoners who broke out, the Van Lew mansion became a stop on the escape route; fugitives would hide in a secret room on the third floor until it was safe to go. When detectives searched her house for incriminating evidence of anti-Confederate operations, Van Lew played the gracious hostess, diverting their attention by inviting them for tea and applesauce cookies downstairs.

She used her intimate knowledge of Richmond's social scene to identify, organize and train Union sympathizers. A clerk in the adjutant general's office provided information about troop movements. Several of the city's German residents, who were generally opposed to slavery, joined her team. Local farmers gave escapees beds for the night. But the nucleus of Van Lew's ring was composed of slaves and freemen, Ms. Willis writes. A free black man who worked at a Confederate prison helped POWs break out. Others volunteered as couriers, delivering information behind Union lines.

Legend has it that Van Lew arranged to lend one of her own household slaves, Mary, to Confederate first lady Varina Davis. Mary was told "to scour the desk of Jefferson Davis, memorizing the details of his letters and maps" and at night transcribe them, Ms. Willis relates. Mary then would pass along her notes to a seamstress who was part of the Van Lew ring, or hand them off to a trustworthy baker on his early-morning delivery run. The signal that Mary had something to report was a piece of red clothing clipped to the clothesline of the executive mansion.

Elizabeth Van Lew of Richmond, Va., was a Southern belle with Northern sympathies. She secretly aided the Union war effort.

As the years ground on, Van Lew took more risks, providing some of the most critical intelligence of the war. Her reports "helped the Northern commanders determine the timing of the war's final critical assault," Ms. Willis describes, with "each of her missives painting a detailed picture of the Rebel capital and the strength and location of Confederate army forces." The author does a superb job of detailing the menacing environment in which Van Lew operated—at a time, Ms. Willis writes, when the country was "gripped by unreason and hate."

In setting the context for Van Lew's actions, Ms. Willis provides brief, serviceable accounts of well-known historical events, such as John Brown's failed attempt to incite a slave uprising at Harpers Ferry and John Wilkes Booth's conspiracy to assassinate Lincoln. New to me was the Dahlgren Affair. When Ulric Dahlgren, a young Union colonel, was killed in 1864 while leading a raid on Richmond, on his person were found orders to hang Davis and torch the city. Southerners were enraged by the orders (which may have been forged), while Northern sentiments were set aflame by the Confederates' mistreatment of Dahlgren's corpse. An irate Van Lew risked exposure by organizing a midnight plot to exhume Dahlgren's mutilated body, rebury it in a secret location and hold a funeral. (Today Dahlgren rests at Laurel Hill Cemetery in Philadelphia.)

Van Lew survived the war without discovery of her extensive spy operations. She had an early scare when the Richmond Examiner published an article noting that she and her mother were "giving comfort to the miscreants who have invaded our sacred soil." After that, she was careful to display outward loyalty to the Confederacy, even to the extent of giving a home to the new head of a prison complex and his family.

But her most effective shield was the idealized image of feminine incapacity held by the society of the day. No one would suspect a Southern belle of spying for the North.

Ms. Kirkpatrick is a former deputy editor of the Journal's editorial page and a senior fellow at the Hudson Institute.

Van Lew on Slavery

"Slave power crushes freedom of labor. Slave power is arrogant—is jealous and intrusive—is cruel—is despotic—not only over the slave, but over the community, the State."
—Elizabeth Van Lew

After the Strike, Iran Remains Unpredictable



POLITICS & IDEAS
By William A. Galston

but an honest assessment of the situation raises as many questions as it answers.

Assessing even the immediate effects of military actions is difficult—the notorious "fog of war" problem. In a speech Saturday, the president claimed the strike had "completely and totally obliterated" the nuclear facilities at Fordow, Isfahan, and Natanz. On Sunday, Pentagon officials said the sites had sustained "extremely severe damage," leaving open the possibility that parts remained intact. In an interview on NBC's "Meet the Press," Vice President JD Vance managed to have it both ways, saying "we destroyed the Iranian nuclear program," then retreating to the claim that the program had been set back "substantially."

A major uncertainty is the fate of the Fordow facility, much of which was built hundreds of feet under a mountain. We know that U.S. bombers dropped several 30,000-pound "bunker buster" bombs on this site, some of which hit at or close to a vulnerable point.

Did the bombs reach For-

dow's underground caverns containing more than 1,000 centrifuges? Aerial inspection can't give us the full answer. According to the New York Times, an initial assessment by the Israeli military found that the facility had sustained "serious damage" but wasn't destroyed. We don't know for sure. Nor do we know whether the Iranians had already removed enriched uranium from the site and dispersed it, as credible reports suggest.

The attacks were intended to set back Iran's nuclear program and convince the country's leaders that their pursuit of nuclear weapons is futile. While it may have this effect, it could convince the regime that racing to build a bomb is its best hope of survival. The amount of enriched uranium that may have been transferred from Fordow to unknown facilities could be enough to build nuclear weapons if these facilities hold the equipment needed to transform it into weapons-grade material. We don't know.

Mr. Trump seems to be hoping for a repetition of his 2020 killing of Quds Force commander Qassem Soleimani, which didn't trigger a massive Iranian response. It's possible that Iran will lick its wounds and quietly accept the cease-fire with Israel Mr. Trump announced on Monday, vindicating his "one and done" strategy. It's also possible that the Islamic Revolutionary Guard Corps and other hard-liners are biding

their time before mounting an aggressive response to the U.S. bombing.

Tehran has military and economic levers. The U.S. has major military facilities in the Middle East, which Iran could attack, as it did when it struck a U.S. base in Qatar Monday. Ayatollah Ali Khamenei could order the IRGC to interdict international shipping in the Red Sea, and Yemen's Houthis could support

Tehran might keep a peace deal, but it could just be buying time to retaliate.

the regime by threatening missile strikes. Iran could also go after soft U.S. targets around the world.

Taking this road would likely prove self-destructive for Tehran, but it remains a possibility. If the Iranians spurn a potential peace deal and retaliate, the Trump administration would have to get more deeply involved for longer. This could trigger bad memories of "endless wars" in the region, risking a loss of public support.

On the one hand, a substantial majority of Americans believe Iran's nuclear program poses a serious threat to the U.S. On the other, in an Economist/YouGov poll days before the strike on Iran, only 16% of Americans supported military action while 60% opposed it,

including 53% of Republicans.

If Mr. Trump was expecting the strike to trigger a rally around the flag, he must be disappointed. A survey conducted within 24 hours of the attack found that while 68% of Republicans swung behind the president's decision, Democrats and independents remained largely opposed. Only 35% of Americans thought he did the right thing.

The public's skepticism was likely tied in part to the sense that Iran has the capacity and the intention to retaliate against the U.S. Seventy-one percent said they expected Iran to attack U.S. bases in the Middle East, and 54% said they expected Iranian attacks on U.S. soil. This poll was conducted before Mr. Trump's announcement of a pending cease-fire between Iran and Israel, and Americans' sentiments may change if the cease-fire holds. Still, it's unclear whether a promise not to attack the U.S. is part of the deal, and meaningful retaliation on American interests would diminish its positive effect on public opinion.

Mr. Trump must hope that developments convince skeptics that he did the right thing. This could happen, but only if the Iranians have truly been deterred from responding in ways that suck the U.S. into a wider conflict. While events have played out favorably for the president since the bombing, he continues to bet his administration's standing on an unpredictable future.

The Key to the Young Male Vote: Beer

By Scott Johnston

Democrats are spending \$20 million to understand the great mystery of young men—probably the simplest creatures on earth. Here's an idea for you, Democrats: lower the drinking age, at least for beer.

Congress established a federal drinking age of 21 in 1984 to combat drunk-driving fatalities, of which there were 21,000 in 1983. States were coerced with the threat of withheld highway funds. They caved in quickly. Louisiana was the last holdout.

Since then, the rate of drunk-driving deaths has dropped almost 50%. Mothers Against Drunk Driving, a powerful lobby, will tell you it's because of the age increase, but does anyone really think college-age kids have stopped drinking because it's illegal?

In reality, drivers of all ages have responded to much tougher enforcement and severely increased penalties.

Back in the day, it was, "Get home safe, son." Now it's the slammer for a night and huge fines. Technology has also changed, creating safe alternatives. Uber wasn't an option in the 1980s.

Democrats should embrace a reduction in the drinking age. (Republicans too.)

It's time to lower the drinking age. Current law is not a deterrent, and it has had negative cultural effects, particularly on our nation's campuses. Start with the binge drinking of hard alcohol. Beer, the college beverage of choice since the first student was forced to read Sartre, has faded away. It's too bulky to sneak into your dorm room. Vodka is today's poison. It's clear and mixes with about anything.

Not surprisingly, this has made campus drinking a bigger problem than ever. When I was in college, I didn't hear of anyone going to the hospital because he drank too much beer—and people tried.

The higher age has also affected college culture, and not in a good way. In the halcyon early 1980s, we had big, campuswide events. It was very social and egalitarian.

In fact, my very first day, Yale's president, Bart Giamatti, welcomed all freshmen to his house with an open bar. Imagine! Now, students squirrel away, pregaming, consuming what they want in places they won't be caught by resident assistants and other mandated busybodies. This has made college social life cliquy and balkanized, self-selecting mostly along demographic lines. DEI administrators, take note.

In 2008, 130 college presidents signed a petition that declared "twenty-one is not working" and urged "an in-

formed and dispassionate public debate." They saw the damage firsthand and have been forced to set up expensive compliance regimes. Complicating matters, most seniors and some juniors can legally partake, creating a schism between haves and have-nots.

A change is needed. Democrats, this is your opening. Republicans, it could be yours too. Lowering the age for beer would steer college kids toward safer forms of consumption.

The best part is that it's the right thing to do. Eighteen-year-olds can legally drive, sign contracts, get married, take a bullet in foreign wars—everything except have a beer. It's inconsistent and patronizing, and it's time to change it. As long as we treat alcohol like forbidden fruit, the thrill remains.

Mr. Johnston's novels include "Campusland" and "The Sandersons Fail Manhattan."

OPINION

REVIEW & OUTLOOK

After the ‘Cease-Fire,’ Tests for Iran

President Trump brought the Middle East’s “12-Day War” to an end with a hammer blow to the Iranian nuclear program and then diplomatic pressure. The attack made the U.S. and the region safer, but did the diplomacy? The answer depends on how Mr. Trump plays it from here.

If the cease-fire is a prelude to Iranian concessions, then it will be an historic step toward a larger peace. Iran would dismantle what’s left of the nuclear program and end its proxy warfare across the region in return for an end to sanctions.

But if the cease-fire is a way for Mr. Trump to call it a day by handcuffing Israel, it will give Iran time to rebuild and retool for the next round of war. That kind of cease-fire would be an historic mistake and squander the gains of the last fortnight.

Israel had established air supremacy over Iran and was striking the regime’s instruments of domestic repression. Iran had no substantial reply to U.S. strikes on its most valuable assets. Yet it was allowed a cease-fire without any public commitments. This raises the question of Iranian intent after the shooting has stopped. If the regime still plans to build nuclear weapons and destroy Israel, then Mr. Trump’s “Peace and Harmony” is a desert mirage.

Mr. Trump could offer two tests of the regime’s willingness to change. First, will it grant the International Atomic Energy Agency’s inspectors immediate access to examine its nuclear sites? If not, Iran has no intention of dismantling what remains, especially since it isn’t clear how much enriched uranium Iran retains.

Second, will Iran publicly recognize Israel’s right to exist and renounce its desire to wipe the Jewish state off the map? That’s the Iranian regime’s forever war. If its leaders won’t renounce it, they aren’t interested in peace, only in tapping along Mr. Trump until they can recover and fight again. That’s something the President needs to know to prosecute the peace.

Vigilance will be required to secure the war’s gains, and the signs Tuesday from Mr. Trump are cause for concern. Israel and Iran exchanged

serious fire in the hours before the cease-fire, as is common, but Iran fired three missiles after the truce went into effect. In response Mr. Trump unloaded his anger on . . . Israel, for planning to retaliate.

“I understand that Israel is angry about one missile that didn’t hit anyone. They need to calm down now,” he said Tuesday. That’s the essence of what Israelis call the Oct. 6 mind-set—from before Oct. 7, 2023, which rightly changed how Israel thinks about its security. When Hezbollah tested the Jewish state after their November cease-fire by firing two mortars, Israel responded with 40 air strikes. Hezbollah has since stayed quiet.

By coming down hard on Israel, Mr. Trump solidified his cease-fire. But he also sent Iran the message that the U.S. will restrain Israel to preserve quiet. That won’t convince Iran never to rebuild its nuclear facilities, as Mr. Trump promises. Iran needs to know that Israel has its backing to stop any renewed nuclear effort before it becomes deadly.

Mr. Trump also wrote on Truth Social that “China can now continue to purchase Oil for Iran.” A senior White House official says this merely acknowledged that oil from the Strait of Hormuz won’t be disrupted, and wasn’t a signal of sanctions relief. Sanctions are crucial leverage to change Iranian behavior. On Tuesday Iran’s nuclear chief said that his agency is assessing the damage to its nuclear industry and is making arrangements to restore it.

The President seemed to treat Israel and Iran as two equivalent threats to his diplomacy. “We basically have two countries that are fighting so long and so hard that they don’t know what the f— they’re doing,” Mr. Trump said. Here’s what they’re doing: Iran fights because it is devoted to Israel’s destruction. Israel fights because it is devoted to not being destroyed.

Israel took on the bulk of the risk and the fighting against Iran, which dramatically improved America’s position in the region. The U.S. contributed by doing what only it can. Now the peace is up to Mr. Trump—is he offering Iran a reckoning or a reprieve?

Trump can demand that Tehran let in the IAEA and drop its forever war.

Brandon Johnson’s Hot Summer Nights

Chicago’s Brandon Johnson isn’t America’s worst mayor for nothing. He works hard at it. Consider his veto Friday of a teen curfew ordinance that would have let Chicago police disperse late-night gatherings or “teen takeovers” that get out of hand.

The policy, passed by the City Council 27-22, was intended to prevent the violence and public disorder that have plagued Chicago in recent years as tent cities sprawled and crime crested. But Mayor Johnson said that he won’t support “a policy that we already know historically leads to criminalization and incarceration. Why on God’s green earth would I actually repeat the sins of those who came before us?”

Well, teen curfews on the city’s parks and streets lead to incarceration only when police must contend with unruly crowds that become dangerous and refuse to disperse. Mr. Johnson’s view that a curfew leads to “criminalization” is a tacit acknowledgment that the teen takeover crowds are prone to lawbreaking.

Chicago’s permissive crime environment has

led to more incidents of wilding among teenagers, and with tragic consequences. In March a 15-year-old boy was shot in Chicago’s Streeter-ville neighborhood during a teen takeover. In 2023 two people were shot and 15 arrested when a teen mob took over downtown.

Critics say the restriction on public gatherings might trigger First Amendment concerns, but the curfew isn’t a bar on public gatherings, only allowing police to disperse those that become unruly. Most parents would prefer to see their children shuffled along home than get caught in a summer melee. Using curfews to disperse unruly crowds is a safer way for law enforcement to manage violent flare-ups on summer nights.

Mr. Johnson says crime rates in Chicago have been falling, as they have across the nation, but the improvement isn’t an excuse for refusing to keep city streets calm at night. Chicago residents are watching to see if the city can regain some of the common sense it has lost during Mr. Johnson’s tenure.

Chicago’s mayor vetoes a measure intended to keep children safe.

Closing the SALT Business Loophole

Senate Republicans appear to be acquiescing to demands by House Republicans from high-tax states to raise the \$10,000 limit on the state-and-local tax deduction to \$40,000. In return for this gift to spendthrift progressive states, they should at least close a giant loophole in the cap.

The \$10,000 cap on the state-and-local tax deduction was one of the 2017 GOP tax reform’s main achievements. But the dirty little secret is that many wealthy denizens of high-tax states aren’t affected since three dozen states have created a loophole for owners of and partners in pass-through business entities.

Here’s how it works: Small-business income typically flows to the owners and partners, who pay tax on it at the individual income rate. However, the Trump Treasury Department in 2020 let pass-throughs pay state taxes on their earnings at the entity level, which would be fully deductible on federal tax returns.

States, in turn, give pass-through owners or partners a tax credit commensurate to their stake in the business to offset their individual tax liability. Individuals are then supposedly held harmless—paying no more in state or federal tax than they did before the \$10,000 cap took effect.

Consider a small business with two partners that have an equal equity stake. A state would assess tax on the pass-through’s earnings, typically at the highest marginal tax rate. If the pass-through pays \$100,000 in state tax, each partner would get a \$50,000 credit to offset his state income-tax liability on his share of the business’s earnings.

This example isn’t illustrative of all cases since partners in pass-through entities often live in different states with disparate tax regimes. Massachusetts only gives owners a credit worth 90% of a pass-through’s tax payments. In Wis-

consin, pass-throughs pay a flat 7.9% tax rate, which is higher than the state’s top marginal rate of 7.65%. Though individuals may pay more in state tax because of the work-around, they are still better off because they can fully deduct their SALT bills.

This loophole has created enormous distortions in the tax code and arbitrary winners. Partners in law and accounting firms, hedge funds, consulting shops and physician practices can fully deduct their state-and-local income taxes. Not so lawyers, accountants, consultants, investment bankers or doctors on employer payrolls.

The House tax bill attempts to crack down on such SALT workarounds by eliminating the benefit for most white-collar professions while maintaining it for restaurants, manufacturers and plumbers. But the Senate Finance draft caps the workaround benefit at \$40,000 or half of a pass-through’s state tax payments, whichever is greater.

Alas, both effectively bless the workarounds, which undermine the 2017 reform. Democrats in New York enacted their state workaround when they raised the state’s top rate to 10.9% from 8.82%. Many of the highest earners saw their overall tax bills decline because of the workaround, blunting the political impact.

The workaround enables and encourages states to raise their top marginal rates. Some Republicans say prohibiting the workaround will result in a tax increase on small business. The solution, then, is to increase the 20% pass-through deduction (the House bill increases it to 23%) or lower the top marginal rate.

If Republicans from high tax states insist on raising the \$10,000 cap, they should at least end the carve-outs. The worst outcome would be a higher cap with a huge loophole for the friends of Gavin Newsom and J.B. Pritzker.

If the deduction cap rises, at least eliminate the state workarounds.

LETTERS TO THE EDITOR

The Islamic Republic Has Taken Iran Hostage

Bartle Bull’s piece “Iran’s Mediocre Supreme Leader” (Houses of Worship, June 20) captures the slick phoniness of Ali Khamenei. He is an avatar of the entire Islamic Republic, which is a farce from top to bottom.

The regime presents itself as the guardian of Iran while plundering its oil for an insular few and neglecting to provide basic water infrastructure to the rest. Rather than invest the nation’s wealth in its citizens, the mullahs have wasted billions on a nuclear-weapons program. It despises the civilization it claims to lead. For nearly half a century the ruling class has tried to erase the cultural, intellectual and moral foundations of Iran and replace them with imperial ideas about jihadist conquests from Najaf to Karbala. In its fanaticism, the regime even cracks down on the annual celebration of one of Persia’s greatest figures, Cyrus II, calling the event a “Zionist plot.”

Every Iranian understands the leadership. Mr. Khamenei most of all knows what he is: a middling cleric elevated by raw politics, without scholarly authority or moral standing. As Mr. Bull notes, his career is built on the manipulation of religion to justify power.

For decades, Iranian dissidents have tried to explain this reality to the world. The regime survives through repression and distractions from abroad, not through any sincere base of support. But the West has been so traumatized by its experiences with

“nation building” that it tends to conflate Iran with its neighbors.

My homeland is a modern country with an overwhelmingly young, educated and America-loving population. Iranians who come to the West thrive in its markets. My nation’s history, literature, culture and political traditions complement and admire those of America and its allies. These characteristics are deep—they predate the Islamic Republic and will outlast it.

Yet criminally, Iran’s gross domestic product per capita is \$4,500. It should be \$45,000. With its natural resources, talent and global connections, the country belongs on the same level as the most successful in the world. Instead, it languishes, impoverished.

Thankfully I trust that this won’t always be the case. Mr. Khamenei’s mediocrity isn’t an accident—it defines the system. The regime elevates the small and the dishonest, silences the bold and punishes excellence. It can’t be reformed because it was never built to succeed. It will collapse eventually, at which point Iranians can realize their goals of dignity, freedom and the right to build a future in their own name.

After Mr. Khamenei’s regime is on the ash heap of history, the U.S. and the international community will find no better friend in peace and prosperity.

REZA PAHLAVI
London

Mr. Pahlavi is the eldest son of Shah Mohammad Reza Pahlavi.

Pride When the U.S. Army Goes Rolling Along

Regarding “Patriotism and Protests Stir the Nation” (U.S. News, June 16): I want to land firmly on the “pro” side and thank President Trump and the organizers. Every aspect of the parade touched me personally.

My father enlisted in January 1944 and served in the Army until his death in 1973. While in the Counter-intelligence Corps, he was awarded multiple medals including a Bronze Star, and he is buried in Arlington National Cemetery. I spent most of my childhood overseas, where an Army parade was a very anticipated and celebrated event, in part because there were none of the usual community activities enjoyed in civilian America. The parades always included marching soldiers in perfect cadence, a color guard carrying the

U.S. and regimental flags, a military band playing patriotic songs. At Christmas since there were no department stores featuring Santa Claus, he would arrive in a helicopter on the parade grounds.

An Army parade is a tribute to the soldiers and their families, in recognition of their service and sacrifices. It also serves to remind civilians that our country is worth fighting for, and within our nation are men and women who are willing to give their lives for its founding principles. While watching the parade from home I glanced at the nearby table where my father’s folded casket flag rests, and I felt so proud that he was part of this amazing legacy.

ELLEN NITKOSKI SAPPINGTON
Apollo Beach, Fla.

Cool Heads Prevailed in the Strait of Hormuz

Your editorial “Iran’s Strait of Hormuz Gambit” (June 23) rightly notes the waterway’s importance. Much of the global economy depends on the 20% of the world’s oil supply that travels through the strait.

Yet even as the Iranian parliament voted to close the strait, the shipping industry reacted with remarkable sanginity. Oil prices rose, and maritime insurers’ long-standing requirements for voyages through the strait remained in place, but ships sailed through at an almost-normal pace. On June 20, 104 ships transited, and on June 21, 122 ships did so. On June 22, as the U.S. bombed three Iranian nuclear sites, 117 sailed through. In June 2024, an average of 114 ships transited the strait each day. The shipping industry has learned to distinguish between threats and realities, knowing that Iran depends on the passage too. The industry also knows that the Iranian regime remembers the chaos and hardship caused by the 1980s “Tanker War” between Iran and Iraq. The 451 attacks, most of which were carried out by Iraq, struck 340 ships, killed 116 seafarers and caused enormous disruption to merchant shipping.

The industry calculated that Iranian

leaders would act out of self-interest and leave the strait open—precisely what Tehran did. The regime chose instead to retaliate with modest strikes on U.S. bases in Qatar and Iraq.

The past is famously no guarantee for the future, and preparing for a potential Iranian blockade was a prudent step. But if we focus on a Hormuz blockade as an almost given, we risk whipping global markets into an unhealthy frenzy each time tensions flare up. And they will flare up again.

ELISABETH BRAW
Atlantic Council
Washington

Colonial Privileges for Thee?

Regarding Allysia Finley’s “How Progressive Government Set the Stage for the L.A. Riots” (Life Science, June 16): One of the recent progressive talking points has been that pro-immigration uprisings are acceptable because California and other southwestern states were “originally Mexican land.” Never mind that the Mexicans were only on that land because they also colonized, displacing and dispossessing Native Americans themselves. Apparently leftwing radicals think such an inconvenient truth can be overlooked and forgiven.

This Brit wants to know: Come the next Democratic administration, will the party maintain that principle by arranging for the cession of the 13 colonies back to the U.K.? Or do some colonial empires get privileges over others?

ROBERT FRAZER
Salford, England

Pepper ... And Salt

THE WALL STREET JOURNAL



“I can trace my ancestors back to the common shrew.”

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OPINION

U.S. Credibility Returns to the Middle East

By Karen Elliott House

President Trump’s dramatic weekend strike may or may not have obliterated Iran’s nuclear potential, but it has restored U.S. deterrence and credibility. Ayatollah Ali Khamenei, leader of a theocracy that held the Mideast in a grip of terror for nearly half a century, is cowering in an underground bunker. He fears even to use a cellphone lest Israel’s superior intelligence and air power combine to eliminate him along with his nation’s nuclear ambitions.

While Israel obviously is the big winner from the war it launched against Iran just over a week ago, Saudi Arabia stands to emerge as the other major regional beneficiary.

Apart from Israel, Saudi Arabia is the region’s big winner. Its crown prince is eager to modernize.

Gone is Iran’s “Axis of Resistance,” which encircled the region and tormented Saudi Arabia. Of all the regimes in the Middle East, only Israel, the “little Satan,” and Saudi Arabia, the “small and puny Satan,” were earmarked for elimination. Iran coveted not only Saudi Arabia’s oil but, more important, its guardianship of Islam’s two holiest sites, Mecca and Medina.

On Monday the wounded and frightened Iranian regime lashed out

with a missile attack on a U.S. air base in Qatar. Tehran could also seek to retaliate by closing the Strait of Hormuz or unleashing its terrorists to attack Americans. But Israel, Saudi Arabia and other Mideast partners now have ample demonstration of U.S. reliability, which has been in short supply for a decade. Mistrust of the Biden administration led Crown Prince Mohammed bin Salman, known as MBS, to hedge his bets by establishing diplomatic relations with Tehran in 2023. And hoping to ward off any Iranian retaliation against the kingdom now, the Saudi foreign minister quickly tweeted the country’s “great concern” for the “sisterly Islamic Republic of Iran.” But make no mistake: Riyadh is thrilled.

With a single blow, Mr. Trump restored America’s reputation in the region. At the same time, Russia and China, Iran’s supposed loyal allies, look impotent watching their partner being mauled. Equally important for the Saudis, the humiliation of Mr. Khamenei, the great leader of Shism, explodes the myth that God is on the side of Islamists. If, as seems likely, the 86-year-old ayatollah is either killed or sidelined, the Islamic Revolutionary Guard Corps, which underpins the theocracy, will likely keep Iran’s 90 million economically deprived citizens under control with force, not appeals to Allah.

A wounded Iran also bolsters Saudi Arabia’s goal of stabilizing Syria. MBS persuaded Mr. Trump to recognize Syria during his recent



DAVID GOTHARD

visit to the kingdom. This allowed Damascus to secure international economic help to stabilize its nascent government. Israel, too, seeks a stable Syria and is asserting its right to control a larger slice of southern Syria to protect the Golan Heights, which Israel occupied in 1967 and annexed in 1981.

To the extent that Iran’s government now needs to focus internally rather than externally, Saudi Arabia’s agenda for development at home and political influence in the region will be freed from fear of its rival. If the U.S. and Israel persist in destroying not only the regime’s nuclear ambitions but also its ballistic-missile program, the largest in the region, the crown prince will emerge as the key Arab leader. With a population of 30 million, the kingdom is

far larger than any of the wealthy Gulf Arab states. Egypt’s population is nearly four times Saudi Arabia’s, but Cairo long ago lost most of its regional influence.

MBS’s ambition more than matches the kingdom’s economic resources. In less than a decade, he has transformed Saudi Arabia’s culture and economy, among other things by freeing the kingdom’s educated women to work in any job, not merely teach in girls’ schools. He is bent on transforming the country, breaking its dependence on oil revenue and developing income from tourism, sports and minerals. He wants Saudi Arabia to be a top five global economy by 2050. It’s now ranked 16th.

To achieve his lofty goals, the crown prince is investing heavily in

artificial intelligence. He is determined to transform Saudi Arabia into a global AI hub capable of competing with the U.S. Low-cost energy gives the kingdom an advantage given the industry’s gargantuan power needs. With Iran’s ability to make mischief in the Middle East seriously diminished, MBS is free to pursue his vision of using Saudi capital and Israeli technology to create a commercial zone connecting Asia to Europe. All this portends the eventual recognition of Israel by Saudi Arabia, one of Mr. Trump’s major goals.

Doubtlessly there will be more bumps in the road. Nothing in the Middle East comes easily. A 1977 visit to Jerusalem by Egypt’s President Anwar Sadat triggered great optimism about a new Mideast built on Arab-Israeli peace. Islamists assassinated Sadat in 1981, and nearly a half-century later, regional peace remains elusive. But with Iran no longer able to play the Palestinian card, and with growing alignment between Saudi and Israeli development strategies, the crown prince, who got where he is by cunning and courage, not cautious calculation, seems certain to follow his core creed. “If you don’t stand out, you might as well disappear,” he told me once. “If you see something to do, do it.” Do it regardless of what others think.

Ms. House is a former publisher of the Journal and author of “The Man Who Would Be King,” forthcoming in July.

What Public Schools Could Learn From Fred Smith



UPWARD MOBILITY
By Jason L. Riley

ties. Like other visionary businessmen, however, Smith’s legacy almost certainly will be how he made his riches rather than how he spent them.

It’s fashionable these days to dump on “oligarchs.” Sen. Bernie Sanders and Rep. Alexandria Ocasio-Cortez have drawn large crowds at left-wing political rallies denouncing the supposed villainy of billionaire moguls. But many of our greatest industrial pioneers—from Thomas Edison and Andrew Carnegie to Bill Gates—amassed their fortunes by increasing social mobility and enriching the lives of others.

The Ford Foundation has spent billions of dollars on poverty initiatives, human-rights advocacy and other selected causes, yet Henry

Ford’s most significant achievement was developing the moving assembly line in the 1910s, which transformed manufacturing. Ford made automobiles accessible to America’s burgeoning middle class, expanded job opportunities, and accelerated the expansion of related rubber and steel industries.

John D. Rockefeller likewise grew fabulously wealthy by revolutionizing an entire industry while improving the lives of others in the process. The rise of Standard Oil led to cheaper prices for oil and oil byproducts, including kerosene and gas. More goods could be transported over greater distances at lower cost and in less time. The everyday man could illuminate his home at night and no longer had to stop working when the sun went down. Rockefeller’s money gave us the University of Chicago, Colonial Williamsburg, and New York City’s Museum of Modern Art, but his ambition made immeasurable contributions to U.S. productivity.

Smith didn’t invent parcel delivery. Directly and indirectly, however, he made mail service more efficient and reliable than it had been before FedEx was launched in the early 1970s. By then, postal delivery was

facing a crisis. Costs were rising, and service was poor. The Post Office Department, predecessor to the U.S. Postal Service, hadn’t upgraded its equipment in decades, and it ran a deficit of more than \$1 billion.

Smith saw an opportunity. The U.S. Postal Service had a monopoly on certain types of mail delivery. The result, as ever, was bureaucratic inertia and mismanagement. Customers suffered because they could be

The FedEx founder gave the Postal Service the competition it needed to become better at its job.

taken for granted. Smith came up with a way to deliver documents faster and more reliably. He was so successful that the company’s name eventually became a verb—“I’ll FedEx you the package overnight”—and it changed forever the way billions of people in hundreds of countries send and receive parcels.

The Postal Service had no choice but to respond to the challenge. It

invested in technological upgrades—including, eventually, on-line tracking and mobile apps—and improved on-time delivery rates and customer satisfaction. More mailing options led to more and better services to meet market demand.

The FedEx experience has long served as a model for education reformers, who liken the Postal Service to the traditional public-school system. Needed improvement won’t come from within the education establishment, they argue, unless outside pressure is brought to bear in the form of charter schools, parochial schools, vouchers, tax credits and other innovations.

Mike Feinberg, who co-founded the KIPP charter school network in the 1990s, has said that Smith’s company was a major inspiration. “FedEx didn’t hurt the post office. It made it better,” Mr. Feinberg once told a reporter. “I want the monopoly mindset broken up,” he has also said. “Without competition, neighborhood schools behave like monopolies, delivering low quality at high cost.”

Empirical studies have supported these claims. Research by Caroline Hoxby, an economist at Stanford, demonstrated that schools respond

positively to deregulation and competition in the same way that other sectors do. Deregulation of the trucking industry in the 1970s resulted in faster and more-specialized customer service than before at the same price. Competition from foreign automakers has enhanced the quality of domestic vehicles.

“In parcel services, the introduction of competition improved productivity not only because the private firms (United Parcel Services, Federal Express, DHL Worldwide Express, etc.) had higher productivity and productivity growth,” Ms. Hoxby wrote. “The competition also induced the U.S. Postal Service to raise substantially its own productivity.”

The goal of school reformers isn’t simply to create more alternatives for parents but also to provide incentives for underperforming schools to improve or risk losing students to better schools. The most efficient way to improve K-12 education is to make schools compete for students. As Fred Smith and so many other successful entrepreneurs well-understood, more competition makes organizations strive to do better. Less competition breeds complacency.

Support for Trump in a NATO Front-Line State

By Jillian Kay Melchior

Tallinn, Estonia
President Trump wants America’s European allies to spend more on defense. So has every other recent president, but this one is expressing it in “brutal ways,” says Estonia’s Foreign Minister Margus Tsahkna. Which is fine with him: “That’s the position I like, and Estonia likes—really.”

“You didn’t pay? You’re delinquent?” Mr. Trump riffed during a February 2024 campaign rally. “No, I would not protect you. In fact, I would encourage them”—the Russians—“to do whatever the hell they want. You gotta pay. You gotta pay your bills.”

Mr. Tsahkna says Mr. Trump poses “a rightful question: Why do U.S. people need to pay for European defense? If you see the figures, it’s totally out of balance.” The former and future president’s remarks rattled America’s friends across the Atlantic, but Mr. Tsahkna says Mr. Trump’s ultimatum has also given European leaders political cover to raise defense spending: “On a strate-

gic-communications level, it gives us a lot of opportunity to say that he’s not coming to help.”

Europe hit snooze after Russia invaded Georgia in 2008 and Ukraine in 2014. Even after Russia’s full-scale invasion in 2022, the continent’s initial response was lethargic. “My question has been, and the Estonian question, always: What does it take to wake up?” Mr. Tsahkna says. “I would have been more happy if it would have had happened like 10 years ago.”

In January Mr. Trump said North Atlantic Treaty Organization members should increase defense spending to 5% of gross domestic product. On Monday NATO Secretary General Mark Rutte said the “key deliverable” of this week’s summit would be a new defense-investment plan that raises the benchmark to that level. He said NATO members want a “fairer” alliance—in addition to a “stronger” and “more lethal” one.

Earlier NATO announcements about the new 5% target suggest that 1.5% can go to defense and security-related projects like infrastructure or resiliency, but 3.5% is for core military spending. On Mon-

day Mr. Rutte described “a fivefold increase in air defense capabilities,” “thousands more tanks and armored vehicles,” and “millions of rounds of artillery ammunition,” among other improvements.

Unlike some of Mr. Trump’s critics, Mr. Tsahkna doesn’t view the U.S. as a fickle ally: “There was a first part as well” to the American president’s ultimatum. The key word was “if.” Poland and the Baltic states were already pulling more than their weight, and next year Estonia will spend 5.4% of GDP on its military.

Mr. Tsahkna notes that during the notorious February Oval Office meeting between Mr. Trump and Ukrainian President Volodymyr Zelensky, the U.S. president reiterated his commitment to the security of Poland and the Baltics: “These assurances they have said on all different levels to us, and we see as well the U.S. troops in the Baltic region.” In March Secretary of State Marco Rubio determined the U.S. will continue providing the Baltics with grants and loans to purchase weapons. Mr. Tsahkna is confident that NATO would respond militarily if Russia ever tried

to seize even a small Estonian border village.

What about Vice President JD Vance’s concerns that Europe is failing to live up to its professed democratic values? At the Munich Security Conference in February, he criticized

The Estonians already spend more than 5% of GDP on defense. They want other allies to do so.

Germany, Romania, the U.K. and Sweden for infringing free speech and other political rights. But he had no such complaint about Poland or the Baltics.

Estonia’s high defense spending reflects its citizens’ commitment to freedom and democracy, Mr. Tsahkna suggests. Estonia emerged from World War II as a Soviet constituent state. “We remember the killings, the deportations,” Mr. Tsahkna says. “I’m born in 1977, and we had no right to celebrate Christmas. Our national

flag—it was the highest crime to have it at home. We have decided that we will never let it happen again, whatever the costs are.”

Mr. Tsahkna suggests Vladimir Putin “is actually afraid of Trump” and draws a contrast with Barack Obama: “Obama failed totally in Syria with the red lines, so-called, of using chemical weapons.” In April 2017, Damascus carried out “a well-organized test” of the new Trump administration in the form of the Khan Shaykhun chemical attack. “There was 59 Tomahawk [cruise missiles] as a response,” Mr. Tsahkna recalls. “Everyone understands that Trump is backing up his words by force well.” (I met Mr. Tsahkna before the U.S. strike on Iran’s nuclear facilities.)

Mr. Tsahkna observes that Mr. Trump “has this kind of style” during foreign-policy negotiations where “he is punching the others out of balance and then starting to negotiate.” The exception is Russia, which Mr. Trump is “offering a very peaceful process and asked Putin what he wants.”

Why? “For Trump it’s not Ukraine, it’s not even Russia—it’s about China,” Mr. Tsahkna says. “There is some kind of idea as well that maybe it is possible for the U.S. to bring Russia out from the China influence.”

The foreign minister is skeptical: “We don’t see that Putin wants to have any kind of peace.” If Mr. Putin fails to reciprocate Mr. Trump’s respect “the price may be high” for Russia, Mr. Tsahkna says—though he allows that “we don’t know that.” Still, the president has made peace in Ukraine a prominent objective of his second term. If Mr. Putin defies without consequence, Mr. Trump will lose some of the fearsome credibility that has underpinned foreign-policy successes.

Ms. Melchior is a London-based member of the Journal’s editorial board.

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Notable & Quotable: Kagan

Robert Kagan writing for the Atlantic, June 21:

You would never know, as *The New York Times* churns out its usual policy-option thumb-suckers, that the United States is well down the road to dictatorship at home.

That is the context in which a war with Iran will occur. Donald Trump has assumed dictatorial control over the nation’s law enforcement. The Justice Department, the police, ICE agents, and the National Guard apparently answer to him, not to the people or the Constitution. . . . And, most relevant in Iran’s

case, he is actively and openly turning the U.S. military into his personal army, for use as he sees fit, including as a tool of domestic oppression. . . . When he celebrates the bombing of Iran, he will be celebrating himself and his rule. The president ordered a military parade to honor his birthday. Imagine what he will do when he proclaims military success in Iran. The president is working to instill in our nation’s soldiers a devotion to him and him alone. Imagine how that relationship will blossom if he orders what he will portray as a successful military mission.

WORLD NEWS

Trump Set for a Win on NATO Spending

Europeans, Canada commit to more than double their military investment

By DANIEL MICHAELS
AND ALEXANDER WARD

THE HAGUE—Amid continuing repercussions of U.S. airstrikes on Iran’s nuclear facilities, President Trump is poised to claim one of the biggest foreign-policy wins of his second term: a pledge by NATO allies to more than double their military spending.

On his way to the summit, Trump shared on his Truth Social platform a message he received from NATO Secretary-General Mark Rutte praising not only his “decisive action in Iran,” but his getting the defense-spending deal.

To be formally announced Wednesday, the agreement almost collapsed over last-minute objections from Spain. Negotiations also continued until recent days over how the summit communiqué would address the issues of Ukraine and Russia. Europeans have wanted strong statements on both, echoing past North Atlantic Treaty Organization declarations, but the Trump ad-



Heads of state and government of the 32-member alliance, with other officials and one queen.

ministration had resisted. The concluding document will have just five paragraphs, according to diplomats, and will effectively say that NATO is united and commits to the spending boost, with only passing mention of the war in Ukraine. The document will call Russia a threat, according to the diplomats. Europeans pushed hard to include that, arguing it is vital for justifying big increases in military spending, the diplomats said.

Many officials at NATO still worry that Trump will do something unexpected, as at past NATO summits. Asked on Tuesday whether he was still committed to supporting Article Five of NATO’s founding treaty—which stipulates that an attack on one member is considered an attack on all—Trump was vague.

“There’s numerous definitions of Article Five,” he told reporters on Air Force One. “I’m committed to being their friends. You know, I’ve become friends with many of those leaders, and I’m committed to helping them.” Officials say an unstated goal of the gathering is simply to conclude without incident or disruptive disagreement. Still, the prospect of agree-

ment and unity—if only around limited goals—is an unexpected turn for many involved, considering Trump’s repeated excoriating of NATO. Trump’s attendance was even in doubt following the U.S. bombing of Iran. Iran, which is outside NATO’s remit, won’t be on the agenda but is likely to be a hot topic on the sidelines. When Trump early this year said allies should raise military outlays to 5% of economic output from 2%, many European diplomats and former U.S. NATO officials dismissed the idea as unachievable. But NATO’s European members and Canada, which Trump has long criticized for low military spending, also wanted to avoid giving him reason to disengage from the 32-country alliance. Rutte, in coordination with U.S. NATO Ambassador Matthew Whitaker and other diplomats, developed a plan to hit Trump’s target while working to fulfill new military plans being developed in response to renewed Russian aggression. Those plans, prepared by NATO’s military staff, envision expanding Europe’s combat capabilities to levels not seen since the Cold War. Officials said realizing the blueprints

would cost around 3.5% of gross domestic product for Europeans and Canada, up from the 2% target set in 2014. The rise to 3.5% was already a stretch for most members when Trump proposed 5%. Rather than rejecting the higher figure, Rutte in March pitched a new approach: The additional 1.5% of GDP would be spent on generally nonlethal investments vital to military activities and homeland defense but outside NATO’s traditional definition of military spending. Defense-related fields include support for armament manufacturing, boosting cybersecurity, and adapting critical infrastructure. Rutte’s idea quickly gained support as ambitious but realistic for most NATO members. “The 5% commitment is the single most important step NATO can take to ensure it remains strong and ready for the future,” Whitaker said Monday. “This summit is really about NATO’s credibility.” Spain’s objection to the 5% target prompted intense negotiations over the weekend, ending with a compromise that appears to have papered over differences, at least temporarily, but left many people close to NATO feeling that alliance unity had been harmed.

Car Carrier Sinks in Pacific

By COSTAS PARIS

The Morning Midas car carrier sank in the Pacific Ocean late Monday, weeks after a fire started on a deck that was carrying electric vehicles. The ship’s sinking leaves investigators with few clues to what caused the blaze. The 600-foot-long vessel had been adrift since June 3, when a fire broke out and forced the crew to abandon the ship. London-based Zodiac Maritime, the ship’s owner, said fire damage, compounded by heavy weather, caused the

vessel to sink about 400 miles off the Alaska coast. The Morning Midas was carrying 3,000 cars, including about 800 electric vehicles, said Zodiac Maritime. Most of the vehicles on the Morning Midas, including the EVs, were manufactured in China and bound for Mexico, The Wall Street Journal earlier reported. The lithium batteries used in many electric vehicles are highly flammable. No ship fires have been directly blamed on EVs. In 2022, a 60,000-ton cargo ship carrying thousands of

luxury cars sank in the Atlantic Ocean after a fire burned for nearly a week. Experts contracted to salvage the ship—the Panama-flagged Felicity Ace—said the presence of a large number of lithium-ion batteries likely caused the fire to spread and complicated efforts to extinguish it. In a report last month, insurer Allianz warned of the dangers of shipping vehicles containing lithium-ion batteries, citing several fires and near misses in the maritime and logistics industries that were linked to batteries.



Smoke rose from a fire aboard the cargo vessel Morning Midas on June 3.

WORLD WATCH

GAZA
At Least 44 Killed Trying to Get Aid
Israeli forces and drones opened fire toward hundreds of Palestinians waiting for aid in separate incidents in southern and central Gaza early Tuesday, killing at least 44, witnesses and hospitals said, as health authorities announced the number of Palestinians killed in the war has risen above 56,000. The food-distribution sites run by an American contractor, with U.S. and Israeli government support, have been scenes of violence and chaos since opening last month. Palestinian witnesses and health officials say Israeli forces have repeatedly opened fire on crowds heading to the sites for food, killing hundreds. The military says it has fired warning shots at people it said approached its forces in a suspicious manner while going to the sites.
—Associated Press

UKRAINE
Russian Hit Leaves 26 Civilians Dead
Russian drones, missiles and artillery killed at least 26 civilians and injured more than 200 in Ukraine, officials said Tuesday, as President Volodymyr Zelensky sought guarantees at a NATO summit of further help. Russian forces have struck civilian areas throughout the three-year war. More than 12,000 Ukrainian civilians have been killed, according to the United Nations. Ukraine has also hit residential areas in Russia. A Russian missile attack on Dnipro hit multiple civilian sites in the central Ukrainian city around midday Tuesday, officials said. Russia shelled residential neighborhoods and infrastructure across the southern Kherson region, while in the Sumy region in the northeast, a drone attack late Monday killed three civilians, local authorities said.
—Associated Press

MOZAMBIQUE
Insurgents Abduct Dozens of Children
At least 120 children have been kidnapped by jihadist insurgents in northern Mozambique in recent days, Human Rights Watch said Tuesday. They are reportedly being used by an Islamic State-linked group known locally as al-Shabaab to transport looted goods, provide labor, and in some cases serve as soldiers or be forced into marriage. Mozambique has been battling the Islamist insurgency in Cabo Delgado province since 2017, with help from troops sent by Rwanda, South Africa and other regional partners. In 2020, the insurgents carried out attacks in which they beheaded dozens of people, including children. The violence has displaced more than 600,000 people and spilled into neighboring provinces, according to the United Nations.
—Associated Press

INDONESIA
Fallen Hiker Found Dead on Volcano
A young Brazilian hiker who fell hundreds of meters from the ridge of an Indonesian volcano and was trapped there for almost four days was found dead on Tuesday, Brazil’s government said. Her story has riveted her home country, with millions following the dramatic search-and-rescue efforts since news broke of her fall. Juliana Marins, 26 years old, began summiting Mount Rinjani with a guide and five other foreigners on June 21 when she fell some 2,000 feet, authorities said. The rescue team said it found the body beside a crater using a thermal drone after four days of searches complicated by harsh terrain and weather. Marins, a dancer who lived outside Rio de Janeiro, had been traveling across Asia since February, her family said.
—Associated Press

Political Uncertainty Clouds Thai Rate Call

By AMANDA LEE

Thailand’s central bank makes its rate decision on Wednesday against a tense backdrop marked by political tension at home and uncertainty abroad. Last week’s exit of the second-largest party in Thailand’s ruling coalition has left Prime Minister Paetongtarn Shinawatra’s Pheu Thai Party hanging by a thread, amid calls for her resignation, some analysts say. “Political uncertainty now casts a pall on an already weak economy,” Vishnu Varathan of Mizuho Securities said in a note, adding that it exacerbates the threat posed by tariff-related tensions. Some analysts say the Bhumjaithai Party’s withdrawal followed political infighting, but the final straw was a scandal over a leaked phone call with former Cambodian leader Hun Sen.

There is a lack of trust in Shinawatra after the call, in which she allegedly criticized the Thai army, DBS senior economist Chua Han Teng said in a recent note. The political instability has rattled financial markets, with Thailand’s benchmark SET Index marking its lowest close in over five years on June 19—the day after the Bhumjaithai Party announced its defection. The index is down by over 20% this year, weighed by weak business confidence and a sluggish economy. Thailand’s latest bout of political turbulence comes as external headwinds, including U.S. tariffs and Middle East tensions, add volatility.

On Monday, as global markets reeled from an escalation in the Israel-Iran conflict, Thailand’s stock exchange implemented temporary measures to curb volatility. It

cited unrest in the Middle East, flagging concerns about regional stability and global economic trends. Although oil prices, after jumping, have retreated on hopes of a cease-fire, uncertainty lingers. As a net oil importer, Thailand is vulnerable to swings in crude prices. Udith Sikand at Gavekal Research noted that the country’s net oil deficit is nearly 7.5% of gross domestic product, raising the risk that its modest current-account surplus will slip into deficit, as it did in 2022. Still, low inflation gives Thailand some buffer against an oil-driven shock. The central bank’s policymakers will also be weighing the looming deadline for the U.S.’s “reciprocal” tariffs to take effect.

Thailand could also face a 36% duty under U.S. President Trump’s measures, if it fails to secure a trade deal with the U.S. The Bank of Thailand has warned that the lack of clarity on tariffs makes assessing the economic outlook more challenging, with both direct and indirect implications for the economy. With time running out, domestic politics could distract the Thai government away from U.S. negotiations, which have made limited progress, Nomura economists said in a note. Domestic political uncertainty may also weaken Thailand’s bargaining power, said Erica Tay, an economist at Maybank. The renewed political volatility does little to brighten the outlook for Thailand’s already tepid growth. With the economy at a critical juncture, political issues may prevent policymakers from tackling long-term challenges such as high household debt, Maybank’s Tay said.

A party’s exit from the ruling coalition has rattled financial markets.



RISING EXCITEMENT: A rearing horse drew cheers Tuesday at the St. John Festival in Ciutadella on the island of Minorca.

BUSINESS & FINANCE

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U.K. Set to Rein In Google Search

Antitrust regulator says changes would be its first steps to improve competition

By ADRIÀ CALATAYUD

The U.K.'s antitrust authority said it has proposed to designate Google as having strategic market status in general search and search advertising, paving the way for

measures that could change how the U.S. tech company operates.

The move comes under the umbrella of a new U.K. law governing the digital economy. The Digital Markets, Competition and Consumers Act gives antitrust officials new powers to rein in Big Tech companies. **Alphabet**-owned Google became the first company probed under the law in January, shortly after the rules came into force at the begin-

ning of the year.

The Competition and Markets Authority said Tuesday that it has proposed the so-called designation of strategic market status for Google. This means the regulator would be able to introduce measures aimed at addressing certain aspects of how the search engine works if the decision is confirmed after a consultation.

Early priorities include requiring screens to give users

the choice between different search providers and ensuring that businesses appearing on Google search are treated with fair ranking principles, the regulator said.

The CMA also plans to prioritize measures aimed at providing more transparency and control for publishers whose content appears in search results and portability of consumer-search data, it said.

The regulator will now seek feedback on its proposal be-

fore making a final decision in October, it said.

Google will continue working constructively with the CMA, the company's senior director for competition, Oliver Bethell, said.

The outcome of the CMA's proposed decision could have significant implications for businesses and consumers in the U.K., he said.

"We're concerned that the scope of the CMA's consider-

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Oil Falls, Stocks Rally After Mideast Cease-Fire

By ALEXANDER OSIPOVICH AND CAITLIN MCCABE

Oil prices slid further and the S&P 500 approached a record on Tuesday after President Trump brokered a shaky cease-fire between Israel and Iran, fueling hopes that the Middle East could avoid a protracted regional war.

Benchmark U.S. oil futures fell 6% to settle at \$64.37 a barrel, below where they stood when Israel launched a surprise attack on Iran's nuclear program and military leadership earlier this month, kicking off the hostilities.

The drop extended Monday's 7.2% decline in U.S. oil prices, and it accelerated after Trump said Tuesday morning that China could continue to purchase Iranian oil, a sign he might be open to easing pressure on Iran. His administration has imposed numerous sanctions designed to impede Iranian oil sales.

Stocks in the U.S. and overseas rallied after Trump announced the cease-fire Monday evening. The truce came as a relief to investors who had feared broad economic fallout after the U.S. joined the Israeli campaign over the weekend, dropping powerful bombs on Iranian nuclear sites. But Tehran's retaliation—a missile barrage aimed at a U.S. base in Qatar—caused no casualties, and it appeared to be aimed at avoiding escalation.

The S&P 500 climbed 1.1% on Tuesday, to within 1% of the record closing high it reached in February. The Dow Jones Industrial Average advanced 507 points, or 1.2%.

The technology-heavy Nasdaq Composite rose 1.4%. Its sister index, the Nasdaq-100, advanced 1.5% to set a record.

Tuesday's gains were broad-based, as investors piled into shares of economically sensitive companies. Cruise operator **Carnival** jumped 6.9%. Chip makers **Intel** and **Advanced Micro Devices** both gained more than 6%. Shares of **Robinhood Markets** jumped 7.4%. Energy stocks were the main losers

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Boeing And FAA Faulted in Door-Plug Blowout

By ALLISON POHLE

Federal investigators said that **Boeing's** failure to provide adequate training, guidance and oversight for its manufacturing operations was to blame for the door plug that flew off a Boeing 737 MAX plane last year.

The National Transportation Safety Board also found that ineffective regulatory enforcement contributed to the accident, which terrified passengers and crew on an Alaska Airlines flight year but didn't result in any deaths or serious injuries.

Boeing is still grappling with fallout from the incident, which led to more stringent federal oversight of Boeing's manufacturing operations and leadership changes at the company.

The NTSB held a public meeting Tuesday to share findings of its investigation into the door plug blowout.

"An accident like this only happens when there are multiple system failures," NTSB chairman Jennifer Homendy said at the meeting.

The door plug left Boeing's factory in Renton, Wash., without four bolts needed to keep its fuselage panel in place.

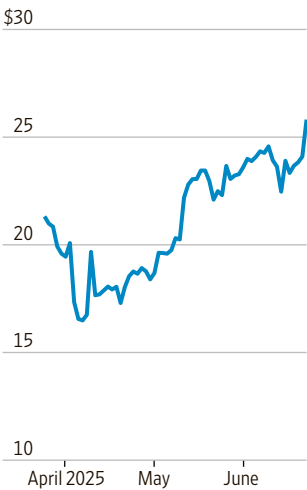
The panel had shifted upward during prior flights the aircraft made after it went in service, but not enough for crew to notice during preflight

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The Miami-based cruise line on Tuesday said it now expects full-year adjusted net income of \$2.69 billion.

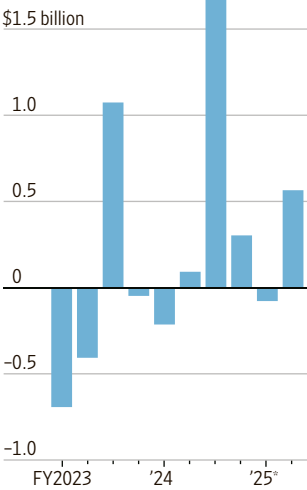
Carnival share price



*Most recent quarter ended May 31

Sources: FactSet (shares); S&P Capital IQ (income)

Net income



Carnival Results Beat Expectations

By CONNOR HART

Carnival Corp. raised its outlook for the year as it logged higher-than-expected profit and revenue in its fiscal second quarter, boosted by strong demand and consumer spending.

The Miami-based cruise line on Tuesday said it now expects full-year adjusted net income of \$2.69 billion, or \$1.97 a share, up from a prior

outlook of \$2.49 billion, or \$1.83 a share. Analysts polled by FactSet expect adjusted net income of \$2.58 billion, or \$1.88 a share.

For the current quarter, Carnival guided for adjusted net income of \$1.8 billion, or \$1.30 a share, compared with Wall Street views for adjusted net income of \$1.84 billion, or \$1.33 a share.

Chief Executive Officer

Please turn to page B6

Cable vs. Wireless War Lowers Internet Price

By PATIENCE HAGGIN

Cable companies and mobile carriers are in a bitter battle for your home internet bill—and it is driving prices down.

This spring, major home-internet providers including **Verizon**, **Comcast** and **T-Mobile** launched a flurry of price-lock guarantees, promising steady rates for as long as five years. **Charter** unveiled a three-year deal last year.

Cable companies have struggled to retain internet subscribers since mobile carriers began offering more affordable 5G fixed-wireless internet service in 2018. Fixed

wireless, which relies on cell towers instead of cables, brought competition into markets where cable companies had long enjoyed being the only game in town. Now both types of providers are growing more aggressive to attract—and keep—customers.

"The cable companies went from gaining subscribers and raising rates every year to declining subscribers and giving people price locks," said John Hodulik, a UBS analyst. "They're seeing churn rise in their broadband subscriber base. And they're trying to nip that in the bud."

Fixed wireless can some-

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Krispy Kreme said it will no longer sell its doughnuts at McDonald's. **B3**

PROPERTY REPORT

Amazon is investing \$54 billion in the U.K. to expand warehouses and boost AI. **B6**

Insurers Are 'Under Siege' By Notorious Hacking Group

By ANGUS LOTEN AND JAMES RUNDLE

A group of hackers suspected to be behind recent data breaches at **Marks & Spencer**, Victoria's Secret and other retailers appears to be setting its sights on insurance companies.

Aflac, one of the largest insurance companies in the U.S., is investigating a cyberattack on its systems that might have exposed claims information, health details, Social Security numbers and other personal data.

An Aflac representative on Monday told The Wall Street Journal that the attack was

"perpetrated by a highly sophisticated and well-known group that has the insurance industry under siege."

No malware or ransomware was deployed and the firm's operations haven't been interrupted, the representative said.

Erie Indemnity and Philadelphia Insurance this month reported similar attacks.

All three companies were hit within the same five-day period.

"At this time, the full scope and potential ultimate impact on the company are not known," Aflac said Friday in a securities filing.

In an update last week, Erie

said it had regained control of its system and was "working around the clock to restore access for customers, agents and employees."

Erie on Monday said to date "there is no evidence of ransomware and no indication of ongoing threat actor activity."

Philadelphia Insurance has "transitioned from containment of the threat to recovery of our business operations," according to the firm's latest update.

On Monday, online links to the firm were routed to the same temporary webpage with contact information for core

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BUSINESS & FINANCE

Wireless,
Cable in
Price War

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times cost half as much as a cable-provided internet plan. Though network congestion and other connectivity issues can be an issue for some users, the lower price point has been luring cable customers away.

T-Mobile, Verizon and AT&T added a combined 3.7 million fixed-wireless customers in 2024. Meanwhile, Comcast's Xfinity and Charter's Spectrum lost more than 900,000 subscribers.

"Our pricing wasn't breaking through in the marketplace," said Steve Croney, chief operating officer for Comcast's connectivity and platforms business. He said the company's five-year price lock, introduced in April, competes well against the telecom companies' offerings.

Frank Boulben, chief revenue officer at Verizon's consumer group, said his company has been trying to address the "pain points" customers have with cable companies, such as price hikes.

The increased competition has driven down the cost of internet service, a welcome break for consumers when prices are rising for many other essential products. The price of home internet service fell 3.1% in May from a year earlier, while the overall consumer-price index rose 2.4%, according to the Labor Department.

Richard Young in Walnut Creek, Calif., used to subscribe to cable and internet provider Astound Broadband but called it "the last straw" when his home internet bill reached just under \$100 last year. He switched to T-Mobile in October and took a \$50-per-month fixed-wireless plan.

"Astound constantly raised costs and fees to the point it was frustrating," Young said. He had been skeptical that T-Mobile's home internet service would be as stable as his old provider but hasn't had any major issues since switching.

Astound Broadband Chief Executive Jim Holanda said the company offers low-cost packages for customers who use less data, and its price increases often accompany the plan's value proposition.

Verizon, AT&T and T-Mobile are winning converts at a faster pace than many anticipated, said Jonathan Chaplin, a managing partner at equity research firm New Street Research. Charter agreed to buy Cox last month for \$21.9 billion in equity and assume \$12 billion of its outstanding debt, in part to acquire scale to better compete with fixed wireless. But fixed-wireless growth can't last indefinitely.

The wireless networks on which they run will eventually hit capacity, limiting how many subscribers they can add. Chaplin estimates the networks can support around 19 million total fixed-wireless subscribers—which he predicts they will reach in about five years, accounting for planned network expansions. When that limit is reached, cable companies may regain the upper hand and keep growing their fiber customer base, Chaplin said.

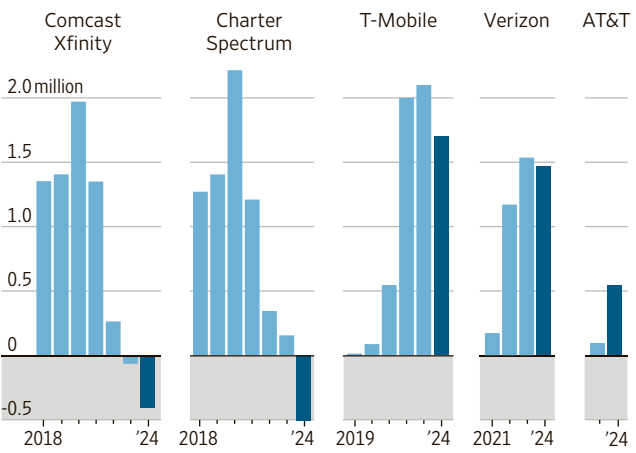
Wireless companies are preparing for that moment, too. AT&T, Verizon and T-Mobile have all been investing in fiber-based wired networks via build-outs and acquisitions. AT&T is bringing new customers in with fixed wireless, with the long-term goal to convert them to fiber-based service, said Erin Scarborough, who runs that company's broadband initiative.

Verizon's Boulben said his company would focus on selling fiber service to customers as it becomes available to them.



While fixed wireless gains customers, cable providers such as Comcast's Xfinity (a Philadelphia store, above) have lost subscribers.

Net change in cable and fixed-wireless home internet subscribers



Note: U.S. figures. Xfinity and Spectrum include cable broadband; T-Mobile, Verizon and AT&T include fixed wireless.
Source: the companies

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BUSINESS NEWS

Krispy Kreme Deserts McDonald's

Partnership to sell treats at chain failed to help doughnut maker's bottom line

By Connor Hart

Krispy Kreme said it would no longer sell its doughnuts at McDonald's restaurants, as the partnership wasn't helping the doughnut maker's bottom line.

Chief Executive Josh Charlesworth said Tuesday that the company initially partnered closely with the burger chain to bring its products to about 2,400 McDonald's restaurants across the U.S.

"Ultimately, efforts to bring our costs in line with unit demand were unsuccessful, making the partnership unsustainable for us," he said.

Krispy Kreme unveiled its partnership with McDonald's last year, as the Charlotte, N.C., chain aimed to make its doughnuts available in more places and become a national brand.

Last month, however, the company said it was reassessing the partnership's deployment schedule while it worked to achieve a profitable business model for both par-



Krispy Kreme unveiled its partnership with McDonald's last year, aiming to make its doughnuts available in more places.

ties. The disclosure came as Krispy Kreme withdrew its outlook for the year and said it would stop paying a quarterly dividend, exercising a more cautious approach amid an uncertain economic climate.

Krispy Kreme said it would now focus on driving sustain-

able growth by making its doughnuts available in more high-volume retail locations and capital-light international franchise growth.

Its doughnuts represented a small, nonmaterial part of McDonald's breakfast business, according to Krispy Kreme and McDonald's.

The Chicago-based fast-food giant noted that breakfast remained a core pillar of its business strategy, and that it would continue to focus on providing affordable and convenient breakfast options to customers.

"We had strong collaboration with Krispy Kreme and

they delivered a great, high-quality product for us," said Alyssa Buetikofer, McDonald's USA chief marketing and customer experience officer.

She noted that while the partnership met McDonald's expectations, "this needed to be a profitable business model for Krispy Kreme as well."

Job-Search Platform Sets Sales, Files for Bankruptcy

By Soma Biswas

CareerBuilder + Monster filed for bankruptcy Tuesday with plans to sell various business lines to different buyers.

The Apollo Global Management-backed company, once one of the leading job-search platforms, said it reached a deal to sell its job-board business to JobGet. Monster media properties, which include Fastweb.com and Military.com, would be sold to Valnet. And Monster Government Services, which provides software to state and local governments, would be sold to Valsoft.

CareerBuilder is actively cutting costs across its U.S. businesses and evaluating strategic options for certain international divisions, the company said.

"Like many others in the industry, our business has been affected by a challenging and uncertain macroeconomic environment," Jeff Furman, chief executive of CareerBuilder, said.

JobGet, Valnet and Valsoft will serve as stalking-horse, or lead, bidders in a court-supervised sale process, subject to higher and better offers.

The company is finalizing a \$20 million loan from Blue Torch Capital to help finance its chapter 11.

CareerBuilder said it plans to pay its vendors to its U.S. businesses in full in the normal course during its bankruptcy proceedings.

Last year Randstad NV, the world's largest employment agency, formed a joint venture between its Monster job board business and Apollo portfolio company CareerBuilder.

FedEx Outlook Subdued, Pacific Delivery Falls

By Katherine Hamilton

FedEx is expecting mixed results in its current first quarter as tariffs weigh on its international shipping business.

The package-shipping company said Tuesday it logged some of the biggest declines in shipping across the Pacific Ocean during the recently ended fourth quarter, as China-to-U.S. trade fell sharply after new tariffs were announced in April. FedEx is also cutting

some of its European workforce as it continues cost-cutting efforts and looks to navigate uncertain customer demand in the year ahead.

"There's a lot happening outside of FedEx. Trade policies are evolving and trade patterns are changing," Chief Executive Raj Subramaniam said during a call with analysts.

Shares fell 5% in after-hours trading.

FedEx expects revenue to be flat or increase up to 2% in

its fiscal first quarter. Analysts were anticipating a sales increase of about 0.6%. Earnings per share are projected to be \$2.90 to \$3.50, below the \$3.83 a share analysts were forecasting.

The company didn't provide a full-year outlook, as it has in the past.

It is anticipating tariffs will add a \$170 million cost in adjusted operating income during the current quarter, Chief Financial Officer John Dietrich

said. International demand tracked tariff headlines during the quarter, falling in early April after President Trump's tariff announcements, and remained soft through May. Management expects international challenges will continue into the next fiscal year, particularly in China and across the Pacific.

"The macroeconomic environment remains uncertain," Dietrich said. "Our outlook is therefore based on current

tariff rates, recent trends we're seeing, as well as that which we're hearing from our customers."

Subramaniam said FedEx is evaluating trade patterns and prepared to alter routes and capacity commitments if demand shifts. That evaluation is focused on Asia, Latin America and Europe. He will share details later this month about the planned layoffs in Europe, which are expected to save \$150 million annually.

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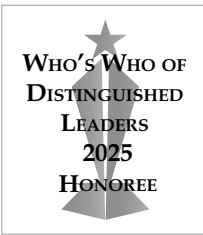
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TECHNOLOGY

Doctors’ Note-Taking AI Raises \$300 Million

Abridge app tunes in to doctor-patient talks, transcribes the conversations

By Belle Lin

Abridge, a startup that has automated doctors’ note-taking with artificial intelligence, on Tuesday said it had raised \$300 million in funding. The round, led by venture-capital firm Andreessen Horowitz with participation from Khosla Ventures, values the startup at \$5.3 billion. In February, Abridge raised \$250 million at a valuation of \$2.75 billion. The new capital infusion will go to hiring scientists, machine-learning experts and software developers who will focus on developing new prod-

ucts and building advanced AI infrastructure to support large customers, said Co-founder and Chief Executive Dr. Shiv Rao. The fundraiser comes at a time where so-called ambient-listening tech, which tunes in to the exchanges between doctor and patient and then transcribes the conversations, is gaining traction at hospitals and health systems. The technology is lauded for reducing physician burnout and allows them to spend more time focused on patients without needing to scribble notes after hours. Abridge’s technology is now used in over 150 large health systems nationwide, the startup said, expanding from just a handful a few years ago when the Pittsburgh- and San Francisco-based startup was still piloting its technology

with a few hospitals, said Rao. The rapid growth of generative AI-based services and products has meant that nearly every sector—from financial services and life sciences to the skilled trades—is starting to be transformed by the technology. But wide-scale adoption doesn’t necessarily keep step with deployment. For instance, about 800 of Yale New Haven Health System’s roughly 3,000 employed physicians are actively using Abridge’s platform, though that number is expected to double in the coming year, said Dr. Lee Schwamm, the health system’s senior vice president and chief digital health officer. But of those doctors who do use Abridge, 60% to 70% continue to do so, Schwamm said, and they report a major reduction in burnout. “It will become



Abridge’s technology is now used in over 150 large health systems nationwide.

imperative for our physicians to use it, just like we require physicians to use the electronic health record,” Schwamm said. Matt Kull, chief information and digital strategy officer of Inova Health System, said the Northern Virginia-based health system is expanding the use of Abridge’s product from its 2,000 doctors to include its 6,000 nurses. Soon, nurses will be able to walk through inpatient suites and check vitals while talking to an Abridge-connected device, Kull said. Over the past few years, Abridge’s technology has become more sophisticated alongside the advanced AI models that power it, recognizing hard-to-pronounce medical terms and also generating notes relevant to each specialty, Rao said. As part of its fundraiser, Abridge is also embedding the checking and validating of medical billing codes during patient conversations, making documentation more compliant and simplifying processes like coding, billing and auditing.

FTC Clears Omnicom-IPG Merger With No-Boycott Pledge

By Patrick Coffee

Advertising holding company **Omnicom Group** can proceed with its proposed acquisition of rival **Interpublic Group** after the companies promised not to collude on politically motivated ad boycotts, the Federal Trade Commission said. Omnicom, which owns agencies including BBDO and TBWA, in December agreed to buy IPG, whose portfolio includes McCann Worldgroup, in a transaction that would create the world’s largest advertising company. The all-stock deal values IPG at around \$13 billion and will create a conglomerate with about \$25 billion in net revenue, based on 2024 figures. Executives at Omnicom and IPG had expressed confidence that the government

would approve their plan, calling the incoming Trump administration more business-friendly. However, the FTC in March requested additional information from Omnicom and IPG, signaling a review of the deal. The commission has also been investigating whether advertising holding companies and left-leaning advocacy groups broke antitrust laws by steering ad spending away from platforms such as Elon Musk’s X. In the agreement announced on Monday, the companies pledged not to collude with other firms to move advertising dollars away from media outlets based on their perceived political or ideological alignment. The agreement doesn’t include any admission of violations by Omnicom or IPG.

“Today’s decision and order eliminates the potential for costly litigation while ensuring that Omnicom and IPG abide by the antitrust laws postmerger,” FTC Chairman Andrew N. Ferguson said. “Moreover, this agreement requires Omnicom and IPG to cooperate with the commission in any investigation relating to media-buying services—and I have already noted that investigating and policing censorship practices that run afoul of the antitrust laws is a top priority of the Trump-Vance FTC.” Omnicom also agreed not to develop so-called exclusion

lists of sites or platforms where it doesn’t recommend advertising, unless requested by individual clients, and said it would submit an annual report for the next five years demonstrating its compliance with the agreement. “This is an important step toward the completion of the proposed acquisition and creating a new era in which we help clients grow with a comprehensive range of marketing and sales solutions, incorporating both creativity and technology,” said John Wren, chief executive of Omnicom. The FTC’s approval is technically provisional, sub-

ject to 30 days of public comment and a final vote from the commission. The agreement, when final, will also release Omnicom and IPG from demands for information the commission made this month as part of its probe into alleged politically motivated ad boycotts against sites like X. Other disputes over advertising and ideology continue. After a significant pullback in advertising on X, formerly known as Twitter, the social-media company sued both marketers and watchdog organizations such as Media Matters for allegedly colluding in an illegal ad boycott. X has threatened to drag more advertisers into court if they don’t increase their spending on its platform, The Wall Street Journal reported this month.

Media Matters on Monday sued the FTC, arguing that the commission was trying to silence the group on behalf of Musk. “This is a significant free-speech issue, and Media Matters will not back down from this fight,” Chairman and President Angelo Carusone said. And probes of the Omnicom-IPG merger remain open elsewhere. Regulatory agencies in the U.K. and Australia have each opened the deal to public comment to determine whether it would violate existing laws by creating an uneven playing field among companies that offer advertising- and media-buying services. Omnicom and IPG have said they expect the deal to close during the second half of this year.

They promised not to collude on politically motivated ad boycotts.

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TECHNOLOGY

Judge Supports Anthropic’s Use Of Bought Books

By MEG TANAKA

A federal judge found the startup Anthropic’s use of books to train its artificial-intelligence models was legal in some circumstances, a ruling that could have broad implications on AI and intellectual property.

Judge William Alsup of the Northern District of California ruled Monday that Anthropic’s use of copyrighted books for AI model training was legal under U.S. copyright law if it purchased those books. The ruling is set to help shape future litigation against AI companies, legal experts said.

“The court treats the AI as akin to a human learning from copyrighted material,” said Christina Frohock, professor of legal writing at the University of Miami School of Law. “It’s fair use if you and I pick up a book and read it and develop our own thoughts,” and the court made the same conclusion about AI systems, she said.

Copyright holders including musicians, filmmakers, authors and news outlets sued companies including OpenAI, Meta Platforms, Midjourney and others over unauthorized use of their copyrighted material for AI model training.

The ruling doesn’t apply to

more than 7 million books that Anthropic obtained through “pirated” means, the judge said. Anthropic used purchased and pirated books to create a central library that it drew from to train its Claude AI models.

The company will face another trial over its use of pirated works, which doesn’t amount to “fair use” even if not all of those books were used for training. The ruling also doesn’t address the legal question of whether the answers provided by AI models violate copyright law.

Anthropic said it was pleased that the court found its use of purchased books was legal and disagreed with the decision to hold a separate trial. The company remains confident in its overall case and is evaluating all options for review, according to a spokeswoman.

Authors Andrea Bartz, Charles Graeber and Kirk Wallace Johnson filed the class action lawsuit last year, alleging the company used pirated works to train its AI systems, which are called large-language models, or LLMs.

A number of AI companies made licensing agreements with media companies and discussions for additional deals are continuing.

Insurers Report Breaches

Continued from page B1

Scattered Spider, a hacking group known to pose as employees seeking help from a company’s call center or tech support team, has a history of focusing on one sector at a time, said John Hultquist, Google Threat Intelligence Group’s chief analyst.

“I don’t think it has anything to do with any innate weakness in the sector,” Hultquist said. “It’s just the way that they organize their activity.”

Scattered Spider specializes in social-engineering operations, in which hackers pose as a co-worker or other contact to trick employees into giving up credentials, or support staff into granting them access to accounts.

Once inside, attackers can install malicious software to steal or lock data, spy on a company, or disrupt operations.

In a report Friday, cybersecurity firm Halcyon said the group “delivers sustained operational disruption, week-long downtime, steep recovery costs, regulatory penalties, brand damage, and potential existential risk to businesses of all sizes.”

“Scattered Spider doesn’t rely on malware to get in,” said Ferhat Dikbiyik, chief in-telligence and research officer at cybersecurity firm Black Kite. “They rely on human behavior. They like to be buzzed in instead of breaking in.”

On top of having the right defensive technology in place,

he said, the key question for cybersecurity teams is “can someone call in, sound confident and get exactly what they want? That’s the battleground.”

Part of the reason for the group’s success is in its members’ backgrounds.

Scattered Spider’s members are believed to largely speak English as their native language, giving them a leg up in social-engineering schemes.

Scattered Spider has a history of focusing on one sector at a time.

“Even well-trained employees can fall victim when the attacker’s approach mimics legitimate business processes,” said Randolph Barr, chief information security officer at cyber firm Cequence Security.

The weakest link isn’t the employee, Barr said, “it’s the lack of layered security controls that can detect and stop unauthorized data access in real time.”

Law-enforcement agencies in the U.S. and U.K. said Scattered Spider is behind a spate of attacks in recent years that have included digital assaults on the gambling industry, retail giants and now major insurers.

British police are investigating whether the group was behind recent cyberattacks that affected supermarket chain Marks & Spencer and the high-end department store Harrods, among others.

The group has also been linked to attacks on Caesars Entertainment and MGM Resorts International in 2023 that closed large parts of the Las Vegas Strip for days.

“The retail exploits show how effective the group is, underscoring that the threat to insurance companies is very real,” Bruce Jenkins, chief information security officer at Black Duck, a Burlington, Mass.-based application-security firm.

its search-advertising services, according to the CMA.

The regulator took into account how generative artificial intelligence is changing the search market, it said. The proposed strategic-market-status designation for Google would include AI-based features in searches, the CMA said.

The CMA said the measures outlined Tuesday would represent its first steps to improve competition in search services in the U.K., but that it plans to consider a second category of actions. The future measures would address more complex issues starting in the first half of 2026, the regulator said.

U.K. Set To Rein In Google

Continued from page B1

ations remains broad and unfocused, with a range of interventions being considered before any evidence has been provided,” Bethell said.

Google search accounts for more than 90% of all online general searches in the U.K. and more than 200,000 businesses in the country rely on

This announcement is neither an offer to purchase nor a solicitation of an offer to sell Shares (as defined below). The Offer (as defined below) is being made only by the Offer to Purchase, dated June 25, 2025 (the “Offer to Purchase”) and the related Letter of Transmittal, as each may be amended or supplemented from time to time, and is being made to all holders of Shares. THE OFFER IS NOT BEING MADE TO (NOR WILL TENDERS BE ACCEPTED FROM OR ON BEHALF OF) HOLDERS OF SHARES IN ANY JURISDICTION IN WHICH THE MAKING OF THE OFFER OR ACCEPTANCE THEREOF WOULD NOT BE IN COMPLIANCE WITH THE LAWS OF SUCH JURISDICTION. IN THOSE JURISDICTIONS WHERE APPLICABLE LAWS OR REGULATIONS REQUIRE THE OFFER TO BE MADE BY A LICENSED BROKER OR DEALER, THE OFFER SHALL BE DEEMED TO BE MADE ON BEHALF OF PURCHASER (AS DEFINED BELOW) BY ONE OR MORE REGISTERED BROKERS OR DEALERS LICENSED UNDER THE LAWS OF SUCH JURISDICTION TO BE DESIGNATED BY PURCHASER.

Notice of Offer to Purchase All Outstanding Shares of Common Stock of Verve Therapeutics, Inc. at \$10.50 per share, net in cash, without interest and less any applicable tax withholding, plus one non-tradable contingent value right (“CVR”) per share, which represents the contractual right to receive a contingent payment of up to \$3.00 per CVR, net to the stockholder in cash, without interest and less any applicable tax withholding, upon the achievement of a certain specified milestone by Ridgeway Acquisition Corporation an indirect wholly-owned subsidiary of Eli Lilly and Company

Ridgeway Acquisition Corporation, a Delaware corporation (“Purchaser”) and an indirect wholly-owned subsidiary of Eli Lilly and Company, an Indiana corporation (“Lilly”), is offering to purchase all of the issued and outstanding shares of common stock, par value \$0.001 per share (the “Shares”), of Verve Therapeutics, Inc., a Delaware corporation (“Verve”), in exchange for (i) \$10.50 per Share, net to the stockholder in cash, without interest (the “Cash Consideration”) and less any applicable tax withholding, plus (ii) one non-tradable CVR per Share, which represents the contractual right to receive a contingent payment of up to \$3.00 per CVR, net to the stockholder in cash, without interest and less any applicable tax withholding, upon the achievement of a certain specified milestone, all in accordance with the terms and subject to the conditions and other provisions of a contingent value rights agreement (the “CVR Agreement”) to be entered into by and among Parent, Purchaser, Computershare Inc., a Delaware corporation, and its affiliate, Computershare Trust Company N.A., a federally chartered trust company (the Cash Consideration plus one CVR, collectively, the “Offer Price”), upon the terms and subject to the conditions set forth in the Offer to Purchase and in the related Letter of Transmittal (which, together with the Offer to Purchase, as each may be amended or supplemented from time to time, collectively constitute the “Offer”).

Tendering stockholders who are holders of record of their Shares and who tender directly to Computershare Trust Company N.A., the depositary and paying agent for the Offer (in such capacity, the “Depositary”), will not be obligated to pay brokerage fees or commissions or, except as otherwise provided in Section 6 of the Letter of Transmittal, stock transfer taxes with respect to the purchase of Shares by Purchaser pursuant to the Offer. Stockholders who hold their Shares through a broker, dealer, commercial bank, trust company or other nominee should consult such broker, dealer, commercial bank, trust company or other nominee as to whether it charges any service fees or commissions.

Each CVR represents a non-tradable contractual right to receive a contingent payment of up to \$3.00 per CVR, net to the stockholder in cash, without interest and less any applicable tax withholding (the “Milestone Payment”), payable upon the dosing of the first human subject in the United States in a Phase 3 clinical trial for the CVR Product (as defined in the Offer to Purchase) targeting atherosclerotic cardiovascular disease (the “Milestone”), if the Milestone is achieved prior to both (i) 12:00 a.m., Eastern Time, on the date that is the tenth anniversary of the closing date of the Merger (as defined below) and (ii) the termination of the CVR Agreement. The amount paid under the CVR could be offset by up to an amount equal to (a) 50% of any (x) payments made, or to be made, by Purchaser (or its controlled affiliates) for it (or its controlled affiliates) to obtain an exclusive license or retain sole ownership under the Relevant Patents (as defined in the Offer to Purchase) due to a Final Resolution (as defined in the Offer to Purchase), and (y) attorneys’ fees, expert fees and costs, court and arbitration expenses, and similar other out-of-pocket fees and costs, in each case, reasonably incurred and reasonably documented by Purchaser (or its controlled affiliates) in connection with any Final Resolution or otherwise in connection with a dispute related to the ownership of Relevant Patents, divided by (b) the total number of CVRs held by all holders of CVRs as reflected on the CVR Register (as defined in the Offer to Purchase) as of the close of business on the date of the Milestone Notice (as defined in the CVR Agreement); provided that such offset amount will in no event exceed \$0.50. This means that the aggregate consideration per CVR could be lower than \$3.00 (but no lower than \$2.50) even if the Milestone is met.

THE OFFER AND WITHDRAWAL RIGHTS WILL EXPIRE AT ONE MINUTE PAST 11:59 P.M., EASTERN TIME, ON JULY 23, 2025, UNLESS THE OFFER IS EXTENDED OR EARLIER TERMINATED.

The Offer is being made pursuant to an Agreement and Plan of Merger, dated June 16, 2025 (as it may be amended from time to time, the “Merger Agreement”), by and among Verve, Lilly and Purchaser, pursuant to which, after consummation of the Offer and subject to the satisfaction of the conditions set forth in the Merger Agreement, Purchaser will merge with and into Verve pursuant to Section 251(h) (“Section 251(h)”) of the General Corporation Law of the State of Delaware (the “DGCL”), upon the terms and subject to the conditions set forth in the Merger Agreement, with Verve continuing as the surviving corporation and becoming an indirect wholly-owned subsidiary of Lilly (the “Merger”). At the effective time of the Merger (the “Effective Time”), each Share issued and outstanding immediately prior to the Effective Time (other than (i) Shares held in the treasury of Verve or owned by Verve, (ii) Shares owned by Lilly, Purchaser or any direct or indirect wholly-owned subsidiary of Lilly or Purchaser or (iii) Shares that are held by stockholders who are entitled to demand and properly exercised and perfected their respective demands for appraisal for such Shares in accordance with Section 262 of the DGCL) will be converted into the right to receive the Offer Price, without interest, from Purchaser, less any applicable tax withholding.

The Offer and the Merger are not subject to any financing condition. The obligation of Purchaser to accept for payment and pay for Shares validly tendered (and not validly withdrawn) pursuant to the Offer is subject to the satisfaction of the conditions set forth in Section 15 of the Offer to Purchase (collectively, the “Offer Conditions”), including the Minimum Tender Condition (as defined below), the Antitrust Condition (as defined below) and the Legal Restraint Condition (as defined below).

The “Minimum Tender Condition” means that there will have been validly tendered in the Offer and not validly withdrawn prior to the Expiration Time (as defined below) that number of Shares that, together with the number of Shares, if any, then beneficially owned by Lilly and Purchaser (together with their wholly-owned subsidiaries), would represent a majority of the Shares outstanding as of the consummation of the Offer.

The “Antitrust Condition” means that any applicable waiting period under the Hart-Scott-Rodino Antitrust Improvements Act of 1976, as amended, in respect of the transactions contemplated by the Merger Agreement (the “Transactions”), and any agreement with a governmental authority not to consummate or to delay consummation of the Transactions, has expired or been terminated.

The “Legal Restraint Condition” means that no court of competent jurisdiction or other governmental body has issued an order, decree, or ruling, enacted any law or taken any other action restraining, enjoining, or otherwise prohibiting the Offer or the Merger.

The term “Expiration Time” means one minute past 11:59 p.m., Eastern Time, on July 23, 2025, unless the expiration of the Offer is extended to a subsequent date in accordance with the terms of the Merger Agreement, in which case the term “Expiration Time” means such subsequent time on such subsequent date. The Merger Agreement does not provide for a “subsequent offering period” in accordance with Rule 14d-11 under the Exchange Act without the prior written consent of Verve.

The Board of Directors of Verve (the “Verve Board”) unanimously (i) determined that the Merger Agreement and the Transactions are advisable, fair to, and in the best interests of, Verve and its stockholders, (ii) duly authorized and approved the execution and delivery of the Merger Agreement, the performance by Verve of its covenants and other obligations thereunder, and the consummation of the Transactions upon the terms and subject to the conditions set forth therein, (iii) resolved that the Merger Agreement and the Transactions will be governed by and effected under Section 251(h) and other relevant provisions of the DGCL, and (iv) resolved to recommend that Verve stockholders accept the Offer and tender their Shares pursuant to the Offer.

Descriptions of the reasons for the Verve Board’s recommendation and approval of the Offer are set forth in Verve’s Solicitation/Recommendation Statement on Schedule 14D-9 (the “Schedule 14D-9”), which is being mailed to Verve stockholders together with the Offer materials (including the Offer to Purchase and the related Letter of Transmittal). Stockholders should carefully read the information set forth in the Schedule 14D-9, including the information set forth in Item 4 thereof under the sub-headings “Background of the Offer” and “Reasons for the Recommendation of the Company Board.”

The Merger Agreement contains provisions that govern the circumstances under which Purchaser is required or permitted to extend the Offer. Specifically, the Merger Agreement provides that: (i) if, at the scheduled Expiration Time, any Offer Condition other than solely (x) the Minimum Tender Condition and (y) any such conditions that by their nature are to be satisfied at the Expiration Time, has not been satisfied or waived, Purchaser will extend the Offer for one or more consecutive increments of up to five business days each (or for such longer period as may be agreed to by Lilly and Verve), until such time as such conditions have been satisfied or waived; (ii) Purchaser will extend the Offer for any period required by any rule, regulation, interpretation or position of the Securities and Exchange Commission (the “SEC”), the staff thereof or The Nasdaq Stock Market LLC applicable to the Offer; and (iii) if, at the scheduled Expiration Time, each Offer Condition (other than the Minimum Tender Condition and any such conditions that by their nature are to be satisfied at the Expiration Time) will have been satisfied or waived and the Minimum Tender Condition will not have been satisfied, Purchaser may elect to (and if so requested by Verve, Purchaser will) extend the Offer for one or more consecutive increments of such duration as requested by Verve (or if not so requested, as determined by Purchaser) but not more than five business days each (or for such longer period as may be agreed to by Verve and Lilly); however, Verve may not request Purchaser to, and Purchaser will not be required to, extend the Offer for more than three occasions. In each case, Purchaser will not, without the prior written consent of Verve, and will not be required to, extend the Offer beyond the Outside Date. However, if the Antitrust Condition has not been satisfied, the Outside Date would be automatically extended until the date that is 210 days from the date of the Merger Agreement in order to allow additional time to obtain the required antitrust approval. The “Outside Date” means October 14, 2025, unless otherwise extended pursuant to the terms of the Merger Agreement, as summarized in Section 11 of the Offer to Purchase.

If the Offer is consummated, Purchaser will not seek the approval of Verve’s remaining stockholders before effecting the Merger. Lilly, Purchaser and Verve have agreed to take all necessary action to cause the Merger to become effective as soon as practicable following the consummation (within the meaning of Section 251(h)(6) of the DGCL) of the Offer without a vote of holders of the Shares in accordance with Section 251(h).

Purchaser expressly reserves the right, in its sole discretion, to waive any Offer Condition or modify the terms of the Offer, in whole or in part, including the Offer Price, except that Verve’s prior written consent is required for Purchaser to: (i) decrease the Cash Consideration or amend the terms of the CVRs or the CVR Agreement; (ii) change the form of the consideration payable in the Offer; (iii) decrease the maximum number of Shares sought pursuant to the Offer; (iv) amend or waive the Minimum Tender Condition or the Termination Condition (as defined in the Offer to Purchase); (v) add to or modify the Offer Conditions in a manner adverse to holders of Shares; (vi) extend the Expiration Time except as required or expressly permitted by the Merger Agreement or provide any “subsequent offering period” (or any extension thereof) within the meaning of Rule 14d-11 under the Securities Exchange Act of 1934, as amended (the “Exchange Act”); or (vii) make any other change to the terms or conditions of the Offer that is adverse to holders of Shares.

Any extension, delay, termination or amendment of the Offer will be followed as promptly as practicable by a public announcement thereof, and such announcement in the case of an extension will be made no later than 9:00 a.m., Eastern Time, on the business day after the previously scheduled Expiration Time. Without limiting the manner in which Purchaser may choose to make any public announcement, Purchaser intends to make announcements regarding the Offer by issuing a press release and making any appropriate filing with the SEC.

Purchaser is not providing for guaranteed delivery procedures. Therefore, Verve stockholders must allow sufficient time for the necessary tender procedures to be completed during normal business hours of The Depository Trust Company (“DTC”), which end earlier than the Expiration Time. Normal business hours of DTC are between 8:00 a.m. and 5:00 p.m., Eastern Time, Monday through Friday. **Verve stockholders must tender their Shares in accordance with the procedures set forth in the Offer to Purchase and the related Letter of Transmittal prior to the Expiration Time. Tenders received by the Depositary after the Expiration Time will be disregarded and of no effect.**

For purposes of the Offer, Purchaser will be deemed to have accepted for payment, and thereby purchased, Shares validly tendered to Purchaser and not validly withdrawn as, if and when Purchaser gives oral or written notice to the Depositary of Purchaser’s acceptance for payment of such Shares pursuant to the Offer. Upon the terms and subject to the conditions of the Offer, payment for Shares accepted for payment pursuant to the Offer will be made by deposit of the Cash Consideration for such Shares with the Depositary, which will act as agent for tendering stockholders for the purpose of receiving payments from Purchaser and transmitting such payments to tendering stockholders whose Shares have been accepted for payment. If Purchaser extends the Offer, is delayed in its acceptance of Shares for payment or is unable to accept Shares for payment, then, without the prior written consent of Verve, and will not be required to, extend the Offer and the Merger Agreement, the Depositary may retain tendered Shares on Purchaser’s behalf, and such Shares may not be withdrawn except to the extent that tendering stockholders are entitled to withdrawal rights as described in Section 4 of the Offer to Purchase. However, Purchaser’s ability to delay the payment for Shares that it has accepted for payment is limited by Rule 14e-1(c) under the Exchange Act, which requires Purchaser to pay the consideration offered or return the securities deposited by or on behalf of stockholders promptly after the termination or withdrawal of the Offer. **Under no circumstances will Purchaser pay interest on the Offer Price for Shares accepted for payment in the Offer, including by reason of any extension of the Offer or any delay in making such payment.**

In all cases, Purchaser will pay for Shares validly tendered and accepted for payment pursuant to the Offer only after timely receipt by the Depositary of (i) to the extent the Shares are not already held with the Depositary, the certificates evidencing such Shares (the “Share Certificates”) or confirmation of a book-entry transfer of such Shares into the Depositary’s account at DTC (such a confirmation, a “Book-Entry Confirmation”) pursuant to the procedures set forth in Section 3 of the Offer to Purchase; (ii) the Letter of Transmittal, properly completed and duly executed, with any required signature guarantees (or, in the case of a book-entry transfer or a tender through DTC’s Automated Tender Offer Program, an Agent’s Message (as defined in the Offer to Purchase) in lieu of the Letter of Transmittal) and (iii) any other documents required by the Letter of Transmittal or the Depositary, in each case prior to the Expiration Time. Accordingly, tendering stockholders may be paid at different times depending upon when the Share Certificates and Letter of Transmittal, or Book-Entry Confirmations and Agent’s Message, in each case, with respect to Shares that are actually received by the Depositary.

Shares tendered pursuant to the Offer may be withdrawn at any time prior to the Expiration Time. Thereafter, tenders are irrevocable, except that if Purchaser has not accepted your Shares for payment within 60 days of commencement of the Offer, you may withdraw them at any time after August 23, 2025, the 60th day after commencement of the Offer, until Purchaser accepts your Shares for payment.

For a withdrawal of Shares to be effective, the Depositary must timely receive a written notice of withdrawal at one of its addresses set forth on the back cover of the Offer to Purchase. Any notice of withdrawal must specify the name of the person who tendered the Shares to be withdrawn, the number of Shares to be withdrawn and the names in which the Share Certificates are registered, if different from the person who tendered such Shares. The signature(s) on the notice of withdrawal must be guaranteed by an Eligible Institution (as defined in the Offer to Purchase), unless such Shares have been tendered for the account of an Eligible Institution. If Shares have been tendered pursuant to the procedures for book-entry transfer as set forth in Section 3 of the Offer to Purchase, any notice of withdrawal must specify the name and number of the account at DTC to be credited with the withdrawn Shares. If Share Certificates representing the Shares to be withdrawn have been delivered or otherwise identified to the Depositary, then, prior to the physical release of such Share Certificates, the name of the holder(s) of record and the serial numbers shown on such Share Certificates must also be furnished to the Depositary.

Withdrawals of tenders of Shares may not be rescinded and any Shares validly withdrawn will be deemed not validly tendered for purposes of the Offer. Withdrawal Shares may, however, be reentered by following one of the procedures for tendering Shares described in Section 3 of the Offer to Purchase at any time prior to the Expiration Time.

All questions as to the validity, form, eligibility (including time of receipt) and acceptance for payment of any tender of Shares will be determined by Purchaser in its sole discretion, which determination will be final and binding on all parties, subject to the rights of holders of Shares to challenge such determination with respect to their Shares in a court of competent jurisdiction and any subsequent judgment of any such court. Purchaser reserves the absolute right to reject any and all tenders determined by the Purchaser not to be in proper form or the acceptance for payment of which may, in Purchaser’s opinion, be unlawful. Purchaser also reserves the absolute right to waive any defect or irregularity in the tender of any Shares of any particular stockholder, whether or not similar defects or irregularities are waived in the case of other stockholders. No tender of Shares will be deemed to have been validly made until all defects and irregularities have been cured or waived to Purchaser’s satisfaction. None of Purchaser, Lilly or any of their respective affiliates or assigns, the Depositary, Georgeson LLC (the “Information Agent”) or any other person will be under any duty to give any notification of any defects or irregularities in tenders or incur any liability for failure to give any such notification. Subject to the terms of the Merger Agreement and the rights of holders of Shares to challenge any interpretation with respect to their Shares in a court of competent jurisdiction and any subsequent judgment of any such court, Purchaser’s interpretation of the terms and conditions of the Offer (including the Letter of Transmittal and the instructions thereto) will be final and binding.

The information required to be disclosed by paragraph (d)(1) of Rule 14d-6 of the General Rules and Regulations under the Exchange Act is contained in the Offer to Purchase and is incorporated herein by reference.

Verve has provided Purchaser with its stockholder list and security position listings for the purpose of disseminating the Offer to Purchase, the related Letter of Transmittal and other materials related to the Offer to holders of Shares. The Offer to Purchase, the related Letter of Transmittal and other materials related to the Offer, including the Schedule 14D-9, will be mailed to record holders of Shares whose names appear on Verve’s stockholder list and will be furnished for subsequent transmittal to beneficial owners of Shares to brokers, dealers, commercial banks, trust companies and other nominees whose names, or the names of those nominees, appear on Verve’s stockholder list or, if applicable, who are listed as participants in a clearing agency’s security position listing.

The exchange of Shares for cash and CVRs pursuant to the Offer or the Merger will be a taxable transaction to a U.S. Holder (as defined in the Offer to Purchase) for U.S. federal income tax purposes. The amount of gain or loss a U.S. Holder recognizes, and the timing and character of such gain or loss depend on the U.S. federal income tax treatment of the CVRs. The installment method of reporting any gain attributable to the receipt of a CVR generally will not be available with respect to the disposition of Shares pursuant to the Offer or the Merger because the Shares are traded on an established securities market. There is no legal authority directly addressing the U.S. federal income tax treatment of the receipt of the CVRs in connection with the Offer or the Merger, and the U.S. federal income tax treatment of the CVRs is subject to uncertainty. Lilly intends to treat a stockholder’s receipt of a CVR pursuant to the Offer or the Merger as the receipt of additional consideration paid in the Offer or the Merger as part of a “closed transaction.” As part of a closed transaction for U.S. federal income tax purposes, a U.S. Holder who sells Shares pursuant to the Offer or receives cash and CVRs in exchange for Shares pursuant to the Merger generally will recognize capital gain or loss for U.S. federal income tax purposes in an amount equal to the difference, if any, between (i) the amount of cash received plus the fair market value (determined as of the closing of the Offer or the Effective Time, as the case may be) of any CVRs received and (ii) the U.S. Holder’s adjusted tax basis in the Shares sold pursuant to the Offer or converted pursuant to the Merger. See Section 5 of the Offer to Purchase for a more detailed discussion of the U.S. federal income tax treatment of the Offer. You are urged to consult with your tax advisor as to the particular tax consequences to you of the Offer and the Merger in light of your particular circumstances (including the application and effect of any U.S. federal, state, local or non-U.S. income and other tax laws).

The Offer to Purchase and the related Letter of Transmittal contain important information, and Verve’s stockholders should read both carefully and in their entirety before making a decision with respect to the Offer.

Questions or requests for assistance may be directed to the Information Agent at the address and telephone numbers listed below. Additional copies of the Offer to Purchase, the related Letter of Transmittal and other materials related to the Offer may be obtained at no cost to stockholders from the Information Agent. Additionally, copies of the Offer to Purchase, the related Letter of Transmittal and any other materials related to the Offer are available free of charge at www.sec.gov. Stockholders may also contact their brokers, dealers, commercial banks, trust companies or other nominees for assistance. Neither Lilly nor Purchaser will pay any fees or commissions to any broker, dealer, commercial bank, trust company or to any other person (other than to the Depositary and the Information Agent) in connection with the solicitation of tenders of Shares pursuant to the Offer.

The Information Agent for the Offer is:

Georgeson

Georgeson LLC
51 West 52nd Street, 6th Floor
New York, NY 10019
Shareholders, Banks and Brokers
Call Toll Free: 888-686-7459
Outside U.S. and Canada: 434-207-8557
Via Email: Verveoffer@georgeson.com

June 25, 2025

THE PROPERTY REPORT

Amazon to Invest Around \$54 Billion in U.K.

Thousands of jobs to be added in plan to boost AI, expand warehouse network

By NAJAT KANTOUAR

Amazon.com plans to invest about \$54 billion in the U.K. over the next three years, expanding its warehouse network and artificial-intelligence infrastructure to bulk up its e-commerce and cloud operations.

The U.S. tech company said Tuesday that its investment of 40 billion pounds, equivalent to \$54.10 billion, would create thousands of jobs and contribute to the country's economy and AI ambitions. U.K. Prime Minister Keir Starmer called the move a vote of confidence in the country.

News of Amazon's investment came shortly after the U.K. government launched its industrial strategy, a 10-year plan that aims to attract investment in key sectors to drive economic growth.

Amazon set out plans for multibillion-dollar investments in several parts of the U.S. and countries like Australia and Taiwan in recent weeks. Most of those outlays seek to bolster its data-center

network to meet booming global demand for AI computing.

In the U.K., the company is also looking to expand the infrastructure that underpins its core e-commerce operations, by investing in building new warehouses, adding delivery stations and upgrading its transportation network.

Amazon said it expects to create 2,000 jobs at a previously announced fulfillment center in Hull that is set to open this year, another 2,000 positions at a new facility in Northampton, and additional roles at new sites in the East Midlands. The investment will also result in additional jobs at delivery stations across the country, the company said.

The plan comes after Amazon Chief Executive Andy Jassy last week outlined plans to reduce the company's workforce in the coming years due to the increasing use of AI. Jassy said the efficiency gains from using generative AI would result in cuts, but didn't specify how much the size of Amazon's workforce would be reduced.

The company currently employs more than 75,000 people in the U.K. and is a top 10 private-sector employer, it said.

Amazon's U.K. investment plan includes part of the £8



The company plans to expand its warehouse network and AI infrastructure.

billion it earmarked last year for building, operating and maintaining data centers in the country through 2028, it added.

The company also plans to allocate funds to original TV and film productions and to redevelop the historic Bray Film Studios in Berkshire.

The U.K. government is seeking to spur business investment in sectors like advanced manufacturing, defense, technology and the creative industries.

The number of foreign-direct-investment projects into the U.K. declined last year, similar to other leading Euro-

pean economies, but the country continues to be the top destination for tech investments, according to a report by EY published in May. The U.K.'s share of foreign-direct-investment projects in Europe fell to 15.9% last year from 17.3% five years before, according to EY.

Fast Delivery Expands in U.S.

Amazon.com is bringing its same-day and next-day delivery to more communities in the U.S., extending the service to thousands of smaller towns and cities across the country.

The e-commerce and tech giant's new focus will bring its Prime fast delivery service to over 4,000 smaller cities and rural communities and millions of online shoppers by the end of the year.

In April, Amazon announced it was investing over \$4 billion to the end of 2026 to expand its rural delivery network, with a focus on small towns across the country's less densely populated areas.

Since the launch of Amazon Prime, Amazon's super-fast delivery has redefined consumer expectations, making expedited delivery a baseline expectation for on-line shoppers.

—Adriano Marchese

KB Home Reports Decline in Sales, Cuts Outlook Amid Sluggish Market

By KELLY CLOONAN

KB Home cut its outlook for the year again after posting lower profit and sales for its fiscal second quarter as housing-market conditions remain sluggish.

The home builder said Monday it now expects housing revenue of \$6.3 billion to \$6.5 billion for fiscal 2025, down from its prior guidance of \$6.6 billion to \$7 billion from March. The company

had initially guided for full-year sales in a range of \$7 billion to \$7.5 billion in January.

Analysts polled by FactSet expect home-building sales of \$6.55 billion for the fiscal year.

The company also lowered the top end of its expected average selling price, guiding for a range of \$480,000 to \$490,000, compared with a previous outlook of \$480,000 to \$495,000.

The lowered views come as would-be buyers continue to stay on the sidelines as mortgage rates and prices remain high. Sales of existing homes rose slightly in May, up 0.8% from the prior month, but still neared historically low levels, the National Association of Realtors said Monday.

"Consumers are continuing to demonstrate a lack of confidence about the short-term, which has impacted their home purchase decisions," KB

Home Chief Executive Jeffrey Mezger said during a call with analysts, pointing to persistent affordability challenges as well as macroeconomic and geopolitical uncertainties.

Quarterly earnings came in at \$1.50 a share, above the \$1.46 a share expected by analysts polled by FactSet.

Revenue fell to \$1.53 billion from \$1.71 billion a year ago. Analysts forecast \$1.5 billion.



The lowered view come as buyers are staying on the sidelines.

BUSINESS & FINANCE

Net-Zero Push Persists, Says Standards Setter

By YUSUF KHAN

Sustainability efforts have been under attack, but many companies insist the business case for pursuing net-zero emissions remains strong, the new leader of the nonprofit that sets climate action standards said.

The flow of companies signing up to have their transition targets validated by the Science Based Targets initiative shows many firms aren't backing away from sustainability goals despite the political and investor backlash. Submissions to the SBTi are up 30% year to date, said David Kennedy, chief executive, and that comes after a record number last year.

"This is not about business doing the right thing," said Kennedy, who took the top job at SBTi in March. "It is about business managing its transition risk and SBTi being part of that, which ultimately has benefits from the world. But those do need to align with the commercial realities and they can do. There is a sweet

spot where science meets business, and it's a win-win."

Kennedy stressed he wants to take a pragmatic and non-confrontational approach to companies that continue to work on cutting emissions, even if they fall short of targets.

"For those who've made serious efforts but have fallen a bit short, we are not in the shaming business," he said.

Kennedy highlighted the importance of engaging hard-to-abate industries, such as oil and gas, heavy industry and chemicals, which are responsible for the majority of corporate emissions. However, he said taking a pragmatic approach would be key.

He noted that in certain sectors such as steel, issues around technology and supply are hindering moves to green production, and the transition may take longer.

"There's a really important point that you've got to be science-based as that gives you a global CO₂ pathway," he said. "But you've got to translate that through economics and technology lenses to what

should happen in different sectors, and clearly not all sectors should move at the same pace."

He added that working with financial institutions would be key to this and that the SBTi would be publishing a new net-zero standard for financial institutions in the coming weeks. "We've got about 150 financial institutions with targets," he said. "We were really pleased that ING recently, a big Dutch bank, signed up with us."

He said the new standard would be more tailored to financial institutions, to better reflect "the levers that those banks, and other financial sector players, have got available."

"The best thing you can do is ensure that your key clients are net-zero-aligned, and that is one of the key pillars of the

new approach," he said.

Kennedy cemented the charity's position on carbon credits. Earlier this year, the organization proposed a number of changes to its net-zero standard. These changes are being discussed by companies

and academics, ahead of moving to the SBTi's technical committee later this year, and companies are expected to be able to set targets against it in early 2026.

"The main thing has to be that corporations drive down their carbon footprint," said Kennedy. He highlighted three ways companies could have a holistic net-zero strategy.

First, companies that fall short of targets should be able to purchase high-integrity credits to fulfill goals. Second, credits should play a part in negating ongoing emissions. Finally, credits should play a role in mitigating residual

emissions in hard-to-abate sectors, those emissions that are almost impossible to cut through conventional means like switching energy sources.

The guidance published earlier this year related only to direct emissions, otherwise known as Scope 1.

Kennedy arrived at the SBTi during one of the most tumultuous times in its brief 10-year history. Its previous CEO, Luiz Amaral, resigned nine months earlier, amid a furor around carbon credits and the board's role in how the charity is run, which led to an internal revolt and criticism from the climate community.

Questions over funding arose, and while the charity remains fully funded for this year and next, it is looking to philanthropic causes to help finance its mission. Currently, about 75% of funding comes from validation fees, with the rest from grants.

"We are the standard around which the whole system functions and so we're an attractive proposition to various funders," Kennedy said.

Submissions to the SBTi are up 30% year to date, said the nonprofit's CEO.

Carnival Raises Its Outlook

Continued from page B1

Josh Weinstein said travelers are looking to Carnival as their preferred vacation choice. "Even with the price increases we have achieved over the last few years, our tremendous value compared to land-based alternatives has supported our ability to continue demonstrating remarkable resilience amid heightened volatility," he said.

Onboard spending and

close-in demand, the latter of which accounts for last-minute bookings, were strong during the recent quarter, Weinstein added. Looking forward, he said the company's booking curve "continues to be the furthest out on record."

For its three months ended May 31, Carnival posted net income of \$565 million, or 42 cents a share, compared with \$92 million, or 7 cents a share, a year earlier.

Stripping out certain one-time items, adjusted per-share earnings came in at 35 cents, topping the 25 cents that analysts projected.

Revenue rose 9.5% to \$6.33 billion. Analysts modeled revenue of \$6.21 billion.

The company's shares rose 6.9% to \$25.70 on Tuesday.

Inside The Disney-Inspired Office Campus with 13,000 Employees



Scan this code for a video: Epic is the leading provider of electronic medical records in the U.S., but its Wisconsin headquarters looks nothing like a typical tech campus. It features treehouses, yellow brick roads, and even sheep fitted with AirTags. WSJ's Open Office video series takes viewers inside standout spaces to see what separates them from the rest.

JORDAN POST

Probe Faults Boeing and Regulators

Continued from page B1

walkarounds, NTSB investigators said. They determined that even one properly installed bolt at the bottom of the panel would have held it in place. It was supposed to have four for redundancy.

The investigators noted problems with several of Boeing's processes, including worker training and repair documentation. For example, workers didn't document the door plug work, so there is no final determination on who removed the panel, investigators said.

At the time of the accident, Boeing had 24 technicians working on doors at its Renton factory, investigators found. Of those technicians, only one had experience opening a door plug in the past, and he was on vacation during the time of the service.

The NTSB also highlighted ineffective oversight from the Federal Aviation Administration. At the time of the accident, the FAA only maintained records dating back five years, which meant it wasn't properly auditing systemic issues related to removals, the investigators said.

The investigation didn't find any issues with Alaska Airlines' preflight inspections.

The FAA said it has fundamentally changed how it oversees Boeing since the door-plug incident and will continue aggressive oversight, including weekly meetings with the company to review progress.

Boeing said it would review the NTSB's final report and recommendations as it keeps making improvements. "We at Boeing regret this accident and continue to work on strengthening safety and quality across our operations," the company said.

COMMODITIES

wsj.com/market-data/commodities

Futures Contracts

Metal & Petroleum Futures						
	Open	Contract High hi lo	Low	Settle	Chg	Open interest
Copper-High (CMX) -25,000 lbs.; \$ per lb.						
June	4.8635	4.8735	4.8635	4.8670	0.0240	1,225
Sept	4.9400	5.0010	4.8960	4.9245	0.0220	91,129
Gold (CMX) -100 troy oz.; \$ per troy oz.						
June	3358.00	3358.00	3301.00	3317.40	-60.30	149
July	3361.20	3369.70	3296.40	3320.00	-60.60	6,857
Aug	3383.80	3385.00	3308.30	3333.90	-61.10	332,177
Sept	3386.00	3388.70	3324.90	3348.60	-61.20	844
Oct	3400.00	3405.10	3336.70	3361.40	-61.10	21,369
Nov	3406.00	3407.90	3375.00	3376.10	-61.10	130
Palladium (NYM) -50 troy oz.; \$ per troy oz.						
June	1091.50	1096.00	1084.00	1067.00	-21.60	4
Sept	1085.00	1090.00	1064.00	1066.30	-20.40	19,086
Platinum (NYM) -50 troy oz.; \$ per troy oz.						
June	1337.70	1345.80	▲ 1303.00	1304.20	20.80	50
Oct	1304.40	1336.50	▲ 1281.50	1322.20	27.30	70,004
Silver (CMX) -5,000 troy oz.; \$ per troy oz.						
June	35.830	35.830	35.600	35.701	-0.452	8
Sept	36.410	36.505	35.535	36.067	-0.461	101,041
Crude Oil, Light Sweet (NYM) -1,000 bbls.; \$ per bbl.						
Aug	67.74	67.83	64.00	64.37	-4.14	307,025
Sept	66.48	66.64	62.84	63.15	-4.12	240,899
Oct	65.53	66.09	62.00	62.22	-4.06	141,000
Dec	64.50	64.72	61.31	61.40	-3.83	252,581
June'26	63.89	64.00	61.41	61.50	-2.86	111,970
Dec	63.53	63.90	61.68	61.75	-2.15	151,283
NY Harbor ULSD (NYM) -42,000 gal.; \$ per gal.						
July	2.3221	2.3408	2.2200	2.2851	-0.0780	22,537
Aug	2.3124	2.3181	2.2014	2.2496	-0.0866	86,416
Gasoline-NY RBOB (NYM) -42,000 gal.; \$ per gal.						
July	2.1950	2.1950	2.0841	2.0857	-0.1325	34,691
Aug	2.1647	2.1745	2.0691	2.0709	-0.1282	118,856
Natural Gas (NYM) -10,000 MMBtu.; \$ per MMBtu.						
July	3.681	3.684	3.530	3.537	-0.161	21,500
Aug	3.781	3.791	3.648	3.655	-0.155	145,869
Sept	3.775	3.778	3.643	3.651	-0.151	172,426

	Open	Contract High hi lo	Low	Settle	Chg	Open interest
Oct	3.858	3.865	3.739	3.746	~.142	142,265
Nov	4.210	4.248	4.126	4.134	~.117	114,660
Jan'26	5.057	5.072	4.980	4.994	~.090	137,520
Agriculture Futures						
Corn (CBT) -5,000 bu.; cents per bu.						
July	419.00	422.50	▼ 415.00	416.25	-3.00	199,288
Dec	434.25	434.50	▼ 428.50	429.00	-4.75	562,415
Oats (CBT) -5,000 bu.; cents per bu.						
July	364.50	384.00	363.25	363.50	-3.25	490
Dec	358.25	361.75	344.00	344.25	-11.75	1,714
Soybeans (CBT) -5,000 bu.; cents per bu.						
July	1055.00	1062.25	1046.25	1046.75	-12.00	107,225
Nov	1040.75	1049.75	1036.50	1037.00	-9.75	352,795
Soybean Meal (CBT) -100 tons; \$ per ton.						
July	282.40	284.30	▼ 280.10	280.50	-1.90	72,325
Dec	296.80	299.60	▼ 294.90	295.30	-1.40	244,758
Soybean Oil (CBT) -60,000 lbs.; cents per lb.						
July	52.75	52.93	51.77	52.17	-1.07	48,756
Dec	53.00	53.46	52.16	52.61	-1.14	246,947
Rough Rice (CBT) -2,000 cwt.; \$ per cwt.						
July	13.36	13.62	13.33	13.56	.15	2,228
Sept	13.63	13.93	13.62	13.90	.21	6,390
Wheat (CBT) -5,000 bu.; cents per bu.						
July	552.00	553.00	535.00	535.75	-17.00	41,434
Sept	569.50	569.50	551.50	552.00	-17.50	184,957
Wheat (KC) -5,000 bu.; cents per bu.						
July	550.25	551.00	534.25	534.75	-15.25	29,213
Sept	565.00	565.00	549.25	549.75	-15.25	144,545
Lumber (CME) -27,500 bd. ft., \$ per 1,000 bd. ft.						
July	611.00	613.50	607.50	609.50	-2.50	3,907
Sept	640.50	641.50	638.00	639.00	-3.00	3,191
Milk (CME) -200,000 lbs.; cents per lb.						
June	18.68	18.68	18.67	18.67	...	3,445
July	17.28	17.36	▼ 16.95	16.96	~.30	3,965
Cocoa (ICE-US) -10 metric tons; \$ per ton.						
July	8,621	9,410	8,605	9,436	247	907
Sept	8,572	8,835	8,459	8,763	229	39,760

	Open	Contract High hi lo	Low	Settle	Chg	Open interest
Coffee (ICE-US) -37,500 lbs.; cents per lb.						
July	323.75	325.55	317.75	315.35	-14.95	789
Sept	326.00	326.00	311.00	311.35	-15.20	73,282
Sugar-World (ICE-US) -112,000 lbs.; cents per lb.						
July	15.95	16.17	▼ 15.71	15.77	~.27	79,814
Oct	16.49	16.71	16.27	16.36	~.21	400,005
Sugar-Domestic (ICE-US) -112,000 lbs.; cents per lb.						
Sept	34.95	34.95	▼ 34.95	34.95	...	742
Jan'26	34.02	34.02	▼ 34.02	34.70	~.10	1,462
Cotton (ICE-US) -50,000 lbs.; cents per lb.						
July	64.70	67.03	64.67	66.01	2.05	276
Dec	67.40	68.40	67.34	67.79	.38	158,317
Orange Juice (ICE-US) -15,000 lbs.; cents per lb.						
July	231.45	236.10	226.75	228.80	-5.20	1,536
Sept	235.25	237.90	227.20	231.00	-5.00	5,787
Interest Rate Futures						
Ultra Treasury Bonds (CBT) -100,000; pts 32nds of 100%						
Sept	117-070	118-070	116-120	118-020	17.0	1,884,756
Treasury Bonds (CBT) -100,000; pts 32nds of 100%						
Sept	114-010	114-260	113-180	114-230	12.0	1,753,562
Dec	113-190	114-140	113-070	114-110	12.0	2,037
Treasury Notes (CBT) -100,000; pts 32nds of 100%						
Sept	111-080	111-220	111-050	111-210	6.5	4,850,417
Dec	111-070	111-195	111-035	111-190	6.5	3,962
5 Yr. Treasury Notes (CBT) -100,000; pts 32nds of 100%						
June	108-227	108-232	108-137	108-217	5.2	2,003
Sept	108-145	108-240	108-130	108-227	3.5	7,028,282
2 Yr. Treasury Notes (CBT) -200,000; pts 32nds of 100%						
June	103-137	103-212	103-202	103-218	2.1	53
Sept	103-255	103-292	103-249	103-288	1.1	4,128,006
30 Day Federal Funds (CBT) -\$5,000,000; 100 - daily avg.						
June	95.6700	95.6725	▼ 95.6700	95.6700	355.017	
July	95.6750	95.6750	▼ 95.6700	95.6750	460.916	
Three-Month SOFR (CME) -\$1,000,000; 100 - daily avg.						
April	95.6675	95.6700	95.6675	95.6700	8.349	
June	95.6800	95.6825	95.6700	95.6750	~.0050	1,293,133
Currency Futures						
Japanese Yen (CME) -¥12,500,000; \$ per 100¥						
July	.6875	.6935	.6858	.6928	.0070	1,877

Source: FactSet

Exchange-Traded Portfolios | wsj.com/market-data/mutualfunds-etfs

Largest 100 exchange-traded funds. Preliminary close data as of 4:30 p.m. ET										ETF				
Tuesday, June 24, 2025										Symbol	Closing Price	Chg (%)	YTD (%)	
ETF	Symbol	Closing Price	Chg (%)	YTD (%)	ETF	Symbol	Closing Price	Chg (%)	YTD (%)	SchwabUS LC	SDHX	24.12	1.22	4.1
CommSvsSPDR	XLC	105.23	1.29	8.7	iSMHSCIEAFEvalue	EFV	62.75	0.98	19.6	SchwabUS LC Grw	SDHX	28.54 <th>1.49</th> <th>2.4</th>	1.49	2.4
CnsmrDiscSel	DLF	215.59	0.56	-3.9	iSHNatlMuniBd	MUB	104.21	0.12	-2.2	SPDR S&P MidCpTr	MDY	562.22	0.92	-1.3
DimenUSCoreEq2	DFAC	35.25	1.02	1.9	iSHRustMktCpBd	IGSB	52.63	0.15	-1.8	TranSelectSector	XLK	247.24	1.80	6.3
EnSelSectorSPDR	XLE	84.91	-1.30	-0.9	iSHRust3YrTreBd	SHY	82.72	0.08	0.9	VanEckSemicon	SMH	271.54	3.67	12.1
FidWiseBTC	FBTC	92.23	2.35	13.1	iSHRussMIC	IWR	91.34	1.15	3.3	VangdSCVal	VBCR <th>194.45</th> <th>0.83<th>-1.9</th></th>	194.45	0.83 <th>-1.9</th>	-1.9
FinSelSectorSPDR	XLFX	51.58	1.50	6.7	iSHRuss1000	IWB	333.50	1.10	3.5	VangdErtMkt	VXF <th>191.47</th> <th>1.43</th> <th>0.6</th>	191.47	1.43	0.6
HealthCrSelSect	XLV	133.78	1.23	-2.8	iSHRuss1000Grw	IWG	414.00	1.45	3.1	VangdTSEAsiWxUs	VEU	66.35 <th>1.52</th> <th>17.5</th>	1.52	17.5
IndSelSectorSPDR	XLII	145.06	0.83	10.1	iSHRuss1000Val	IWD	192.57	0.83	4.0	VangdTSEDevMk	VEA	56.13 <th>1.33</th> <th>17.4</th>	1.33	17.4
InvscNasdl100	QQQM	222.15	1.53	5.6	iSHRuss2000	IWM	214.47	-1.27	-2.9	VangdTSE EMV	VWMO	48.99 <th>2.17<th>11.2</th></th>	2.17 <th>11.2</th>	11.2
InvscQQQ	QQQ	539.78	1.53	5.6	iSHS&P500Grw	IWG	107.48	1.47	5.9	VangdTSE Europe	VGK	76.43 <th>1.33</th> <th>20.4</th>	1.33	20.4
InvscS&P500EW	RSP	180.18	0.95	2.8	iSHS&P500Value	IVE	193.13	0.76	1.2	VangdGrowth	VUG <th>138.62<th>1.49</th><th>4.4</th></th>	138.62 <th>1.49</th> <th>4.4</th>	1.49	4.4
iShlBitcoin	IBIT	60.06	2.37	13.2	iSH7-10YTreBd	IEF	95.26	0.35	3.0	VangdHDiv	HYDM <th>42.31<th>0.77</th><th>3.2</th></th>	42.31 <th>0.77</th> <th>3.2</th>	0.77	3.2
iShBrdUSDHYCpBd	USHY	37.31	0.26	1.4	iShShortTreBd	HIV	110.35	0.01	0.2	VangdInfoTech	VWIG <th>646.58<th>1.80</th><th>4.0</th></th>	646.58 <th>1.80</th> <th>4.0</th>	1.80	4.0
iShCoreDivGrowth	DGRO	63.23	0.75	3.1	iSh20Y+TreBd	ITD	87.40	0.73	0.1	VangdIntermBd	BIV	76.95 <th>0.31<th>3.0</th></th>	0.31 <th>3.0</th>	3.0
iShCoreMSCIEAFE	IEFA	81.95	1.16	16.6	iSh20Y+TreBd	GOVT	27.80	0.26	-0.5	VangdIntlrCorpBd	VCIT	82.45	0.40	2.7
iShCoreMSCIEM	IEMG	59.51	2.52	14.0	iSh30+MTreBd	SGOV	160.63	0.01	-0.3	VangdIntermTrea	VGIT	59.86 <th>0.25</th> <th>2.7</th>	0.25	2.7
iShCoreMSCITotInt	IXUS	76.24	1.49	15.3	JPMNasdEqPrem	JEPO	53.76	1.01	4.6	VangdGLC	VV	258.59 <th>1.16</th> <th>4.1</th>	1.16	4.1
iShCoreS&P500	IVV	609.51	1.09	3.5	JanusHendersonAAA	JAAA	50.70	-0.04	-0.0	VangdMegaGrwth	MGK <th>357.85<th>4.42</th><th>15.2</th></th>	357.85 <th>4.42</th> <th>15.2</th>	4.42	15.2
iShCoreS&P500	IVV	609.51	1.09	3.5	JPm EqPrem	JEPI	56.78	-1.87	-1.7	VangdGMVC	VO	277.19 <th>0.94<th>5.2</th></th>	0.94 <th>5.2</th>	5.2
iShCoreS&P500	IVV	609.51	1.09	3.5	JPm UltiSchn	JPST	50.61	0.02	-0.1	VangdRealEst	VONG <th>91.42<th>0.42</th><th>2.6</th></th>	91.42 <th>0.42</th> <th>2.6</th>	0.42	2.6
iShCoreS&P500	IVV	609.51	1.09	3.5	PacerUS CashGows	COMZ	54.22	0.37	0.5	VangdRuss1000Grw	VNR <th>106.52<th>1.45</th><th>3.1</th></th>	106.52 <th>1.45</th> <th>3.1</th>	1.45	3.1
iShCoreS&P500	IVV	609.51	1.09	3.5	ProShrHPtRQQ	TOQQ	78.10	4.55	-1.3	VangdS&P500EFT	VNO	559.44 <th>1.10</th> <th>3.8</th>	1.10	3.8
iShCoreS&P500	IVV	609.51	1.09	3.5	SPDRBogl-3MTB	BIL	91.66	...	0.3	VangdST Bond	BSV	75.48 <th>0.18<th>1.6</th></th>	0.18 <th>1.6</th>	1.6
iShCoreS&P500	IVV	609.51	1.09	3.5	SPDR DJIA Tr	DIA	430.79	1.19	1.2	VangdSTCpBd	VCSH	79.31 <th>0.18</th> <th>1.7</th>	0.18	1.7
iShCoreTotsDsbD	USV	46.02	0.33	1.8	SPDR Gold	GLD	306.19	-1.57	26.5	VangdShortTrea	VGSH	58.68 <th>0.10<td>0.9</td></th>	0.10 <td>0.9</td>	0.9
iShCoreUSAggBd	AGG	98.82	0.41	2.0	SPDR P&TDevxUS	SPDW	39.89	1.42	16.9	VangdSC	VN	236.16 <th>1.09</th> <th>-1.7</th>	1.09	-1.7
iShEdgeMSCIMinUSA	USMV	93.15	0.52	4.9	SPDR S&P500Value	SPVY	57.17	0.76	1.2	VangdTaxExemptBd	YTEB	48.91	... <td>-2.4</td>	-2.4
iShEdgeMSCIUSAQul	QUAL	179.61	1.13	0.9	SPDRPfts&P500	SPYG	71.59	1.13	3.8	VangdTGlobalBd	BND	73.28 <th>0.30<th>1.9</th></th>	0.30 <th>1.9</th>	1.9
iShGoldTr	IAU	62.68	-1.55	26.6	SPDRPfts&P500Grwth	SPVG	93.83	1.47	5.8	VangdTIntntBd	BNDX <th>49.47<th>0.02<td>0.9</td></th></th>	49.47 <th>0.02<td>0.9</td></th>	0.02 <td>0.9</td>	0.9
iShBox&IGCpBd	LQD	108.92	0.47	1.9	SPDR S&P500	SPY	606.78	1.10	3.5	VangdTIntlStk	VXUS	68.14 <th>1.52</th> <th>15.6</th>	1.52	15.6
SHMBs	MBB	93.52	0.52	2.0	SPDR E&T	SPET	21.92	1.34	18.5	VangdTGlobalStk	VITI <th>29.91<th>1.17<th>3.4</th></th></th>	29.91 <th>1.17<th>3.4</th></th>	1.17 <th>3.4</th>	3.4
SHMSCIACWI	ACWI	126.50	1.32	7.7	SchwabUS BrdMkt	SCNB	23.48	1.12	3.4	VangdTTrWldStk	VTV <th>126.49<th>1.26</th><th>7.7</th></th>	126.49 <th>1.26</th> <th>7.7</th>	1.26	7.7
SHMSCIEM	EFV	88.04	1.22	16.4	SchwabUS Div	SCND	26.45	0.15	-2.1	ValueValue	VTV	175.92 <th>0.74<th>3.9</th></th>	0.74 <th>3.9</th>	3.9

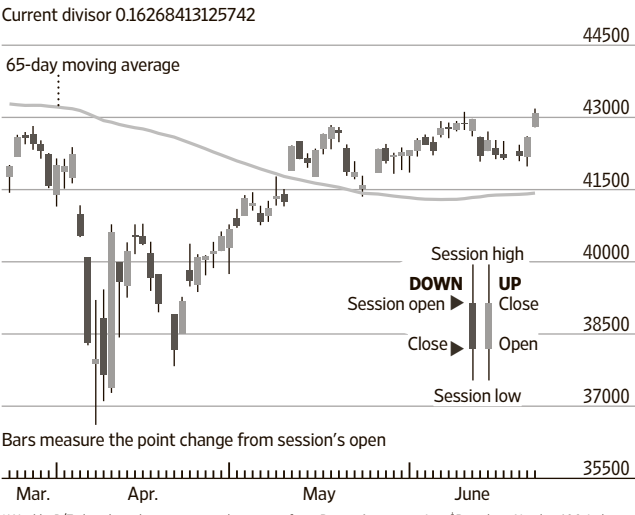
EQUITIES

Dow Jones Industrial Average

43089.02▲507.24, or 1.19%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio24.3627.14
P/E estimate*20.2818.96
Dividend yield1.682.16
All-time high45014.04, 12/04/24



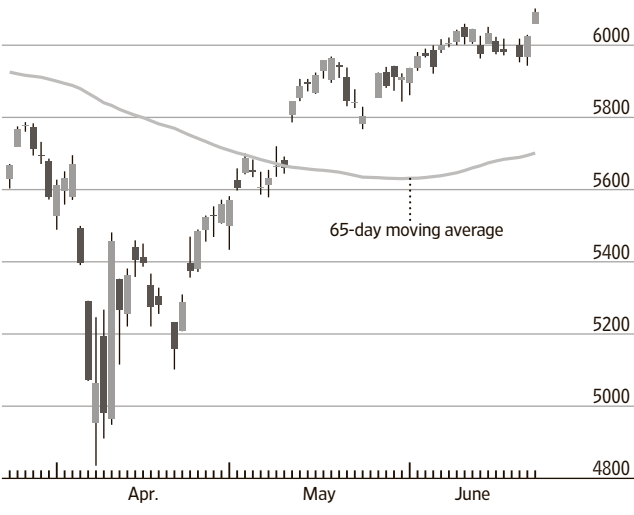
*Weekly P/E data based on as-reported earnings from Birinyi Associates Inc.; †Based on Nasdaq-100 Index

S&P 500 Index

6092.18▲67.01, or 1.11%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio*23.5824.01
P/E estimate*22.7522.27
Dividend yield*1.281.34
All-time high6144.15, 02/19/25

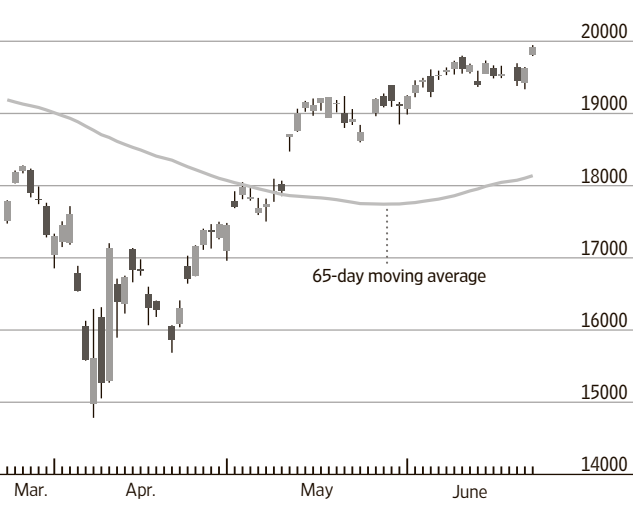


Nasdaq Composite Index

19912.53▲281.56, or 1.43%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio**30.7231.89
P/E estimate**28.5828.97
Dividend yield**0.720.78
All-time high: 20173.89, 12/16/24



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	High	52-Week Low	% chg	YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	43183.48	42794.08	43089.02	507.24	1.19	45014.04	37645.59	10.2	1.3	11.0
Transportation Avg	15388.97	15180.33	15374.57	277.47	1.84	17754.38	12637.04	1.7	-3.3	4.3
Utility Average	1055.45	1049.54	1051.18	-0.31	-0.03	1079.88	898.82	15.6	7.0	3.3
Total Stock Market	60343.75	59910.54	60249.52	688.90	1.16	61024.05	49067.76	11.7	3.2	15.3
Barron's 400	1302.55	1290.88	1300.20	15.73	1.22	1356.99	1058.38	15.0	3.9	13.7
Nasdaq Stock Market										
Nasdaq Composite	19946.72	19795.29	19912.53	281.56	1.43	20173.89	15267.91	12.4	3.1	19.7
Nasdaq-100	22220.64	22045.63	22190.52	334.19	1.53	22190.52	17090.40	12.6	5.6	22.4
S&P										
500 Index	6101.76	6059.25	6092.18	67.01	1.11	6144.15	4982.77	11.4	3.6	15.9
MidCap 400	3085.65	3058.83	3078.88	28.33	0.93	3390.26	2560.93	5.4	-1.3	9.7
SmallCap 600	1329.14	1315.98	1326.22	13.74	1.05	1544.66	1106.12	3.6	-5.8	4.8
Other Indexes										
Russell 2000	2164.90	2142.74	2161.21	28.53	1.34	2442.03	1760.71	6.9	-3.1	7.0
NYSE Composite	20262.20	20008.18	20217.34	209.17	1.05	20272.04	17188.46	12.0	5.9	10.9
Value Line	597.16	589.26	596.25	6.99	1.19	656.04	495.50	2.6	-2.4	3.2
NYSE Arca Biotech	5643.41	5524.32	5628.77	104.45	1.89	6318.63	5060.12	5.0	-2.0	5.9
NYSE Arca Pharma	930.45	918.71	926.78	7.55	0.82	1140.17	860.88	-14.1	-0.8	3.1
KBW Bank	136.19	134.65	135.25	1.63	1.22	140.59	102.02	32.1	6.1	8.8
PHLX ^S Gold/Silver	205.01	199.46	203.81	-3.97	-1.91	210.81	136.20	49.1	48.6	19.5
PHLX ^S Oil Service	59.14	57.76	58.57	-0.08	-0.14	92.31	50.70	-30.6	-19.3	-3.5
PHLX ^S Semiconductor	5444.39	5335.27	5441.87	197.57	3.77	5904.54	3562.94	-0.5	9.3	26.0
Cboe Volatility	18.72	17.33	17.48	-2.35	-11.85	52.33	12.03	36.1	0.7	-13.7

^SNasdaq PHLX

Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After-Hours % chg	High	Low
Snap	SNAP	14,534.6	8.30	-0.02	-0.24	8.33	8.27
NVIDIA	NVDA	14,395.4	147.59	-0.31	-0.21	156.33	139.64
QuantumScape	QS	10,795.0	5.24	0.91	21.02	5.73	4.30
Schwab U.S. TIPS	SCHP	8,790.1	26.56	...	unch.	26.56	26.49
Xtrkrs MSCI EM Climt	EMCS	7,472.8	31.10	...	unch.	31.10	31.10
Direxion TSLA Bull 2X	TSLL	6,665.7	13.53	-0.09	-0.66	13.64	13.43
SPDR Portfolio S&P 500	SPLG	6,582.9	71.59	-0.01	-0.01	71.71	71.50
Comcast Cl A	CMCSA	6,392.9	35.29	0.08	0.23	35.45	35.17

Percentage gainers...

Company	Symbol	Volume (000)	Last	Net chg	After-Hours % chg	High	Low
QuantumScape	QS	10,795.0	5.24	0.91	21.02	5.73	4.30
BlackBerry	BB	1,061.6	4.62	0.29	6.70	4.64	4.30
Scholar Rock Holding	SRRK	86.3	35.59	2.18	6.52	35.59	33.25
eHealth	EHTH	53.0	4.59	0.25	5.76	4.70	4.34
Mirion Technologies	MIR	255.1	21.42	1.16	5.73	21.54	20.26
...And losers							
Torrid Holdings	CURV	162.1	3.80	-1.30	-25.49	5.10	3.64
Annovis Bio	ANVS	76.2	2.78	-0.28	-9.20	3.06	2.70
Allot	ALLT	62.5	8.89	-0.72	-7.49	9.61	8.01
Viavi Solutions	VIAV	213.0	9.23	-0.68	-6.84	9.91	9.23
SLM	SLM	193.2	30.51	-1.61	-5.01	32.12	30.51

Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume*	1,231,671,616	24,559,816
Adv. volume*	859,142,209	8,412,169
Decl. volume*	358,510,880	15,537,892
Issues traded	2,854	295
Advances	2,059	157
Declines	727	123
Unchanged	68	15
New highs	87	4
New lows	16	4
Closing Arms ¹	1.11	1.10
Block trades ¹	6,122	266
	Nasdaq	NYSE Arca
Total volume*	8,330,099,529	376,522,712
Adv. volume*	6,733,001,610	263,364,623
Decl. volume*	1,381,911,877	111,360,293
Issues traded	4,667	2,275
Advances	3,467	1,952
Declines	1,045	306
Unchanged	155	17
New highs	234	243
New lows	78	34
Closing Arms ¹	0.68	3.34
Block trades ¹	52,213	2,004

*Primary market NYSE, NYSE American, NYSE Arca only.
¹(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World					
	MSCI ACWI	903.03	12.93	1.45	7.3
	MSCI ACWI ex-USA	373.59	7.37	2.01	14.6
	MSCI World	3957.83	51.97	1.33	6.7
	MSCI Emerging Markets	1211.84	29.59	2.50	12.7
Americas					
	MSCI AC Americas	2305.73	25.88	1.14	4.2
Canada	S&P/TSX Comp	26718.62	109.26	0.41	8.1
Latin Amer.	MSCI EM Latin America	2291.37	39.13	1.74	23.7
Brazil	Bovespa	137164.61	614.11	0.45	14.0
Chile	S&P IPSA	4243.47	61.68	1.47	17.4
Mexico	S&P/BMV IPC	56743.28	645.57	1.15	14.6
EMEA					
	STOXX Europe 600	540.98	5.95	1.11	6.6
Eurozone	Euro STOXX	559.39	7.97	1.45	10.7
Belgium	Bel-20	4491.42	49.44	1.11	5.3
Denmark	OMX Copenhagen 20	1776.04	13.42	0.76	-15.5
France	CAC 40	7615.99	78.42	1.04	3.2
Germany	DAX	23641.58	372.57	1.60	18.7
Israel	Tel Aviv	2876.50	35.74	1.26	20.1
Italy	FTSE MIB	39474.46	633.95	1.63	15.5
Netherlands	AEX	924.62	7.83	0.85	5.2
Norway	Oslo Bors All-Share	1847.03	-39.94	-2.12	12.3
South Africa	FTSE/JSE All-Share	95887.03	758.83	0.80	21.0
Spain	IBEX 35	14035.10	195.70	1.41	14.0
Sweden	OMX Stockholm	936.54	10.51	1.13	-1.9
Switzerland	Swiss Market	11988.92	133.96	1.13	3.3
Turkey	BIST 100	9448.90	307.59	3.36	-3.9
U.K.	FTSE 100	8758.99	0.95	0.01	7.2
U.K.	FTSE 250	21326.20	205.25	0.97	3.4
Asia-Pacific					
	MSCI AC Asia Pacific	200.64	4.59	2.34	10.5
Australia	S&P/ASX 200	559.50	80.62	0.95	4.9
China	Shanghai Composite	3420.57	38.98	1.15	2.1
Hong Kong	Hang Seng	24177.07	487.94	2.06	20.5
India	BSE Sensex	82055.11	158.33	0.19	5.0
Japan	NIKKEI 225	38790.56	436.47	1.14	-2.8
Singapore	Straits Times	3904.30	25.05	0.65	3.1
South Korea	KOSPI	3103.64	89.17	2.96	29.3
Taiwan	TAIEX	22188.76	456.74	2.10	-3.7
Thailand	SET	1100.01	37.23	3.50	-21.4

Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Nektar Therapeutics	NKTR	24.45	14.91	156.29	27.68	6.48	52.3
Youxin Technology Cl A	YAAS	5.58	2.73	95.45	6.74	1.58	...
Eyenovia	EYEN	9.02	3.54	64.60	124.80	0.85	-82.7
Sound Group ADR	SOGP	4.21	1.58	60.08	4.48	1.18	97.7
InMed Pharmaceuticals	INM	3.87	1.42	57.96	15.70	1.72	-25.9
AIFU	AIFU	6.17	1.94	45.86	50.40	1.50	-86.6
Nano Labs Cl A	NA	14.85	3.96	36.36	31.48	2.75	240.1
Rezolve AI	RZLV	2.78	0.74	36.27	14.50	1.07	-75.7
Carbon Revolution	CREV	3.02	0.77	34.22	14.19	2.00	-55.6
Limnatus Pharma	LIMN	26.67	6.67	33.35	27.00	4.40	125.5
JIADE	JDZG	2.71	0.63	30.27	21.28	1.61	-60.6
Anbio Biotechnology	NNNN	24.08	5.23	27.75	24.33	5.18	...
Amylyx Pharmaceuticals	AMLY	6.41	1.39	27.69	7.27	1.62	246.5
Amarin ADR	AMRN	16.04	3.44	27.26	17.18	7.08	10.1
Skye Bioscience	SKYE	3.62	0.75	26.13	8.44	1.14	-54.1

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
OneMedNet	ONMD	494,399	455111.9	0.68	100.65	1.60	0.30
Healthcare Triangle	HCTI	372,581	55.1	0.03	6.45	1.90	0.01
BigBear.ai	BBAI	296,528	281.6	5.23	25.12	10.36	1.17
Direxion TSLA Bull 2X	TSLL	217,217	-2.6	13.62	-4.76	41.50	6.29
NVIDIA	NVDA	186,413	-22.5	147.90	2.59	153.13	86.62
Denison Mines	DNN	182,135	77.1	1.80	2.86	2.47	1.08
Direxion Dly Semi 3 Bear	SOXS	177,612	95.2	8.26	-11.32	53.43	8.22
Greenlane Holdings	GNLN	145,967	-48.4	0.01	0.00	21.80	0.01
Direxion Dly SCOND 3 BL	SOXL	135,168	-36.1	23.95	11.33	70.08	7.23
Intel	INTC	129,699	46.1	22.55	6.42	37.16	17.67

* Volumes of 100,000 shares or more are rounded to the nearest thousand

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Percentage Losers

Company	Symbol	— Latest Session —			52-Week		
		Close	Net chg	% chg	High	Low	% chg
Fast Track Group	FTRK	2.50	-3.81	-60.38	9.69	2.50	...
Upexi	UPXI	3.97	-6.03	-60.30	22.57	1.90	-55.8
X3 Holdings	XTKG	1.28	-0.92	-41.82	11.60	0.53	-88.5
Maase	MAAS	6.79	-3.14	-31.62	47.40	2.41	-98.4
Houston American Energy	HUSA	12.83	-5.71	-30.80	32.00	3.85	1.0
Indonesia Energy	INDO	3.47	-1.40	-28.75	7.95	2.06	27.1
Robin Energy	RBNE	4.85	-1.85	-27.61	24.65	1.32	...
ViewBox	VBIX	2.91	-0.97	-24.94	12.00	0.22	1475.4
GrShr 2x Sh COIN Daily	CONI	2.59	-0.81	-23.82	28.54	2.49	...
Enigmatig	EGG	2.98	-0.88	-22.80	13.34	2.53	...
TMD Energy	TMDE	1.81	-0.50	-21.65	6.27	0.67	...
Battalion Oil	BATL	1.63	-0.45	-21.63	6.89	1.05	-50.0
DeFi Development	DFDV	19.63	-5.18	-20.88	53.88	0.48	1804.5
Live Ventures	LIVE	8.98	-1.98	-18.07	25.88	6.25	-62.4
Emexa Therapeutics	ERNA	1.98	-0.42	-17.50	39.38	1.75	-92.7

BIGGEST 1,000 STOCKS

How to Read the Stock Tables

The following explanations apply to NYSE, NYSE Arca, NYSE American and Nasdaq Stock Market listed securities. Prices are consolidated from trades reported by various market centers, including securities exchanges, Fina, electronic communications networks and other broker-dealers. The list comprises the 1,000 largest companies based on market capitalization.

Underlined quotations are those stocks with large changes in volume compared with the issue's average trading volume.

Boldfaced quotations highlight those issues whose price changed by 5% or more if their previous closing price was \$2 or higher.

Footnotes:
-N=52-week high; -N=52-week low; **dd**=Indicates loss in the most recent four quarters.

Stock tables reflect composite regular trading as of 4 p.m. ET and changes in the official closing prices from 4 p.m. ET the previous day.

Tuesday, June 24, 2025			Net	Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg
Stock	Sym	Close	Chg								
A	B	C									
AECOM	ACM	112.36	0.82	AppLovin	APP	349.48	14.08	BroadridgeFinl	BR	241.80	1.44
Affix	AFI	104.16	-0.68	Aptargroup	ATRG	153.87	0.88	BrookfieldAsset	BAM	55.68	1.67
AGNC Invst	AGNC	9.31	0.11	ArcturMittal	ART	68.45	1.94	BrookfieldInf	BIP	61.32	1.70
ASE Tech	ASTK	13.08	0.32	Aramark	ARMK	40.86	0.44	BrookfieldInst	BNT	33.45	0.48
ASML	ASML	813.36	33.64	ArchCapital	ACGL	90.97	-0.34	BrookWealth	BWP	61.40	1.84
AST Space	ASTS	53.22	3.02	ADAM	ADAM	52.93	0.01	Brown&Brown	BRO	110.95	0.03
				AresMgmt	ARES	169.82	4.47	Brown-Forman	BFBF	26.29	-0.19
AT&T	AT	28.28	0.08	Argex	ARGX	580.06	27.30	Brown-Forman A	BFA	26.86	-0.17
ATI	ATI	84.12	0.67	AristaNetworks	ANET	94.97	3.02	BuildersFirst	BLDR	118.84	-0.29
AXIS Capital	AXS	102.92	-0.85	Arm	ARM	156.41	7.08	BungeGlobal	BG	83.59	-0.56
AbbvittLabs	ABBV	185.08	4.82	AscendisPharma	ASND	179.10	3.32	BurlingtonStrs	BURL	228.10	5.25
AbbvittLabs	ABBV	185.08	4.82	Assurant	AIZ	198.02	1.66	Cable Intl	CAI	45.12	-0.45
Abbvite	ABBV	185.55	1.79	AsterasLabs	ALAB	87.26	-1.31	CAVA	CAVA	74.23	-0.10
Accenture	ACN	300.72	5.72	AtlasZeneca	ATZN	70.54	-0.10	CBRE Group	CBRE	139.13	0.53
Acuity	AYI	284.44	0.32	Atlassian	TEAM	200.67	7.93	CDW	CDW	179.84	6.07
Adobe	ADBE	382.34	2.22	AtsumaEnergy	ATO	156.45	0.03	CF Industries	CF	94.68	-1.85
AdvDrainageSys	WDMS	118.03	1.11	Auroralnvo	AUR	5.45	0.07	CGI A	GIB	105.53	-0.54
AdvMicroDevices	AMD	138.43	8.85	Autodesk	ADSK	34.19	3.24	CH Robinson	CHRW	94.28	0.33
Aegon	AEG	6.90	0.14	Autoliv	ALV	111.93	1.49	CME Group	CME	271.38	-1.28
AerCap	AER	116.01	0.91	ADP	ADP	311.40	1.16	CMS Energy	CMS	69.71	-0.16
AeroVironment	AVAV	193.28	2.05	AutoZone	AZ	357.54	132.00	CNA Fin	CNA	46.09	0.28
Affirma	AFRM	65.66	3.47	Avanbay	AVB	206.13	-1.54	CNH Indl	CNH	12.88	0.15
AgilentTechs	A	117.64	1.51	Avantor	AVTR	13.46	0.03	CRH	CRH	91.52	1.59
AgriCoEggsMines	AEM	120.49	-1.87	AveryDennison	AVY	179.13	-0.25	CSX	CSX	34.28	0.06
AgreeRealty	AGC	74.90	-0.90	AxonEnterprise	AXON	794.25	11.01	CVS Health	CVS	67.58	0.77
AirProducts	APD	281.00	7.82	BCE	BCE	21.98	0.10	CardenceDesign	CDNS	296.80	3.24
Airbnb	ABNB	132.15	1.62	BHP Group	BHP	47.29	0.46	CAE	CAE	26.44	0.17
AKAmataTech	AKAM	80.06	0.78	BJSWholesale	BJ	114.09	-0.72	CamdenProperty	CP	115.53	-0.73
AlamosGold	AG	25.85	-0.89	BP	BP	29.83	-0.49	Cameco	CCJ	72.34	0.62
Albertsons	ALC	21.69	-0.44	BWV Tech	BWV	142.31	0.25	Campbell's	CPB	32.17	0.16
Alcon	ALC	87.21	1.86	BXP	BXP	70.34	-0.65	CanNitRlwy	CNI	102.12	-0.16
AlibabaRiSE	ABAB	75.37	2.45	Baidu	BDU	86.68	0.45	CanadianNatRscs	CNQ	31.52	-0.40
Alexandria	BABA	117.01	3.92	Baker Hughes	BKR	37.97	0.14	CanPacKCP	CPK	79.26	-0.57
AllignTech	ALGN	186.58	3.16	Ball	BALL	56.98	0.30	CapitolOne	COF	206.36	4.72
Alliection	ALL	143.61	1.16	BBVA	BBVA	15.32	0.42	CardinalHealth	CAH	164.21	0.22
AlliantEnergy	LNT	61.16	-0.18	BancoBradesco	BBD	2.64	0.03	Carlisle	CSL	371.91	7.65
Allstate	ALL	196.05	-2.28	BancoChile	BCH	5.39	0.02	Carlyle	C	49.13	1.92
AllyFinancial	ALLY	37.95	0.94	BancoSantander	BSB	5.34	0.78	CarMax	KMX	69.21	2.04
AlnylamPharm	ALNY	325.00	11.87	BancoSantander	BSAN	8.27	0.27	Carnival	CCL	25.70	1.66
				BancoSantander	BSAN	8.27	0.27	Carnival	CCL	25.70	1.66
Alphabet A	GOOG	167.74	1.20	BancoSantander	BSAN	8.27	0.27	Caseng	CAS	23.26	1.69
Alphabet A	GOOG	167.74	1.20	BancoSantander	BSAN	8.27	0.27	CarMax	KMX	69.21	2.04
Alphabet A	GOOG	167.74	1.20	BancoSantander	BSAN	8.27	0.27	Caseng	CAS	23.26	1.69
Amazon.com	AMZN	212.77	4.40	BancoSantander	BSAN	8.27	0.27	Caseng	CAS	23.26	1.69
Ambev	ABEV	24.00	-0.02	BancoSantander	BSAN	8.27	0.27	CarpetterTech	CRT	26.52	0.15
Amcor	AMC	9.18	0.11	BancoSantander	BSAN	8.27	0.27	CarrierGlobal	CARR	72.48	0.68
Amdocs	DO	92.62	0.69	BancoSantander	BSAN	8.27	0.27	Carvana	CVNA	52.97	2.89
AmerSports	AS	37.68	0.56	BancoSantander	BSAN	8.27	0.27	CesseyGenStores	CSG	310.01	9.48
Ameren	AEE	96.37	0.36	BancoSantander	BSAN	8.27	0.27	Caterpillar	CAT	373.02	6.79
AmericanMovi	AMP	17.25	0.25	BancoSantander	BSAN	8.27	0.27	Celestica	CLS	143.84	7.50
AEP	AMP	103.28	-0.03	BancoSantander	BSAN	8.27	0.27	Celsiushldg	CELH	45.41	2.58
AmerExpress	AXP	308.38	8.75	BancoSantander	BSAN	8.27	0.27	Cemex	CX	6.94	0.15
AmericanFin	AFG	126.13	0.05	BancoSantander	BSAN	8.27	0.27	Cenora	COR	294.12	0.99
AMHomes4Rent	AMH	36.67	-0.13	BancoSantander	BSAN	8.27	0.27	Centene	CN	54.05	0.25
AIG	AIG	85.46	-0.36	BancoSantander	BSAN	8.27	0.27	CententriEnter	CNP	36.48	0.21
AmerTowerREIT	AMT	223.91	2.28	BancoSantander	BSAN	8.27	0.27	CharterCitiesEbrs	EBR	7.33	0.08
AmerWaterWorks	AWK	142.18	-1.81	BancoSantander	BSAN	8.27	0.27	CherComms	CHTR	40.03	10.92
Ameriprise	AMP	521.34	2.38	BancoSantander	BSAN	8.27	0.27	Chemed	CHKP	219.52	-3.81
Ametek	AME	179.24	1.96	BancoSantander	BSAN	8.27	0.27	Chemick	CHE	55.76	5.74
Amgen	AMGN	277.49	5.05	BancoSantander	BSAN	8.27	0.27	CheniereLeng	LNG	239.95	7.42
Amphenol	APH	95.80	0.55	BancoSantander	BSAN	8.27	0.27	CheniereEnerPns	QNP	56.4	0.64
AnalogueDevices	ADI	234.98	4.00	BancoSantander	BSAN	8.27	0.27	Chevron	CVX	143.55	-3.31
AngloGoldAsh	AG	46.40	1.90	BancoSantander	BSAN	8.27	0.27	Chvy	CHVY	43.49	-0.47
AN InBv	NBY	70.21	-1.27	BancoSantander	BSAN	8.27	0.27	Chiptole	CMG	54.65	1.81
AnnalyCap	NLY	19.36	0.22	BancoSantander	BSAN	8.27	0.27	Chl	CH	26.68	0.78
Ansys	ANSS	338.27	3.27	BancoSantander	BSAN	8.27	0.27	ChungwaTech	CHT	46.15	0.92
AnteroMidstream	AM	18.50	0.13	BancoSantander	BSAN	8.27	0.27	Churg&Dwight	CHD	96.02	-0.93
AnteroResources	AR	42.35	0.03	BancoSantander	BSAN	8.27	0.27	Ciena	CEN	79.35	3.91
Aon	AON	360.68	0.73	BancoSantander	BSAN	8.27	0.27	Cigna	CI	316.83	0.14
API Group	APG	50.73	-0.11	BancoSantander	BSAN	8.27	0.27	CincentatFinl	CIN	146.69	0.50
ApollGibMgmt	APG	139.91	5.88	BancoSantander	BSAN	8.27	0.27	Cintas	CTAS	226.20	-2.35
AppFolio	APPF	232.58	4.05	BancoSantander	BSAN	8.27	0.27	CiscoSystems	CSCO	67.89	0.51
Apple	AAPL	200.30	1.20	BancoSantander	BSAN	8.27	0.27	Citigroup	C	61.14	0.78
AppliedTechs	AT	234.89	2.99	BancoSantander	BSAN	8.27	0.27	CitizensFin	CFG	42.92	0.42
ApplMaterials	AMAT	180.18	8.22	BancoSantander	BSAN	8.27	0.27	ClackHarbors	CLX	122.22	-0.28
				BancoSantander	BSAN	8.27	0.27	Cloudflare	NET	186.43	2.56

Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg
Coca-Cola	KO	70.21	0.47	DollarGeneral	DG	113.31	-1.64	ExxonMobil	XOM	108.34	-3.40
Coca-ColaCon	COKE	109.25	-0.61	DollarTree	DLTR	98.68	-1.83	F5	FFIV	295.90	0.81
Coca-ColaEurop	CCOPE	55.98	0.10	DominationE	D	55.98	0.10	FTAI Aviation	FTAI	135.05	0.82
CognizantTech	CTSH	77.59	0.87	Domino's	DPZ	459.97	2.36	Fabrinet	F	276.50	6.63
Coherent	COH	80.96	0.32	Donsdon	DCI	69.36	0.24	FactSet	FDS	437.60	0.57
CoimbasePalm	COIN	34.82	37.23	DoorDash	DASH	236.17	5.85	Fairstac	FICO	192.52	45.27
ColgatePalm	CL	88.18	-0.49	Dover	DOV	179.94	2.41	FederalRealty	FRT	96.27	-0.11
Comcast A	CMCSA	35.21	0.62	Dow	DD	68.21	1.21	FedEx	FDX	229.51	0.28
ComfotSystems	FIX	513.32	10.34	Doximity	DOCS	58.64	0.66	FergusonEnts	FERG	219.15	4.15
CommerceBshs	CBSH	61.47	0.11	DrReddy'sLab	RDY	15.59	0.28	Ferrari	RACE	472.42	11.34
SABESP	SBS	20.79	0.19	DraftKings	DKNG	48.41	1.35	Ferrari	RACE	472.42	11.34
ComstockRscs	CRK	29.57	-0.14	Dropbox	DBX	28.84	0.12	Ferrovial	FER	52.10	0.83
ConagraBran	CAG	21.46	0.15	DukeEnergy	DUK	116.95	-0.02	FidNatInfo	FIN	56.02	0.08
Confluent	CFLT	24.00	0.74	Duolingo	DUOL	42.79	-25.75	FidNatInfo	FIN	56.02	0.08
ConocoPhillips	COP	89.39	-2.32	DuPont	DD	68.21	1.21	FifthThirdBncp	FTIB	40.59	0.44
ConEd	ED	100.19	-0.96	DutchBros	BROS	70.39	1.12	FirstCitizBshA	FCNA	190.82	18.91
ConstBrands A	STZ	164.49	1.19	Dynatrace	DT	55.76	1.19	FirstHorizon	FHN	20.38	0.15
ConstellationE	CEG	320.66	5.45	EMCOR	EME	500.65	6.05	FirstSolar	FSR	151.18	6.51
Cooper	COO	70.93	1.49	ENVI	E	31.97	-0.32	FirstEnergy	FE	40.51	0.19
Corcept	CORT	48.65	0.93	EOG Rscs	EOG	120.68	-1.31	FirstService	FSV	172.32	1.47
CorporTherap	CPRT	76.77	2.49	EPAM Systems	EPAM	172.75	4.74	Fiserv	FISV	172.66	2.12
Core&Main	CMB	59.40	1.08	EQT	EQT	60.34	0.97	Flex	FLEX	47.91	1.56
CorebridgeFin	CRBG	33.25	0.48	EastWestBnk	EWBC	98.96	1.45	Flora&Decor	FLR	76.68	0.08
CoreWeave	CRWV	172.62	-1.06	EastGroup	EGP	137.72	0.22	Fluor	FLU	51.24	2.13
Corning	GLW	51.42	-0.38	EastmanChem	EMN	76.46	1.45	Fluor	FLU	51.24	2.13
Corteva	CTVA	73.29	-1.15	Eaton	ETN	343.26	10.31	FMSEA	FMX	101.23	0.60
Costco	COST	100.192	-2.56	eBay	EBAY	74.35	-2.51	Fortinet	F	10.73	-0.60
Costco	COST	100.192	-2.56	Ecobal	ECOB	266.84	0.89	Fortinet	FTNT	104.42	1.27
Costco	COST	100.192	-2.56	Ecopetrol	EC	9.40	-0.05	Fortis	FTS	47.37	-0.21
Costco	COST	100.192	-2.56	EdisonInt	EIX	51.39	1.23	Fortive	FTV	70.67	0.35
Costco	COST	100.192	-2.56	EdwardsLifw	EW	75.85	0.53	FOX A	FOXA	55.90	-1.87
Costco	COST	100.192	-2.56	EdwardsLifw	EW	75.85	0.53	FOX B	FOXB	51.31	-0.09
Costco	COST	100.192	-2.56	EdwardsLifw	EW	75.85	0.53	Franko-Nevada	FRN	165.20	-2.05
Costco	COST	100.192	-2.56	EdwardsLifw	EW	75.85	0.53	Franko-Nevada	FRN	165.20	-2.05
Costco	COST	100.192	-2.56	EdwardsLifw	EW	75.85	0.53	Franko-Nevada	FRN	165.20	-2.05

HEARD^{ON}THE STREET

FINANCIAL ANALYSIS & COMMENTARY

Visa and Mastercard Can Survive Stablecoin

The cryptocurrencies’ quickest path to consumer wallets may be working with today’s players

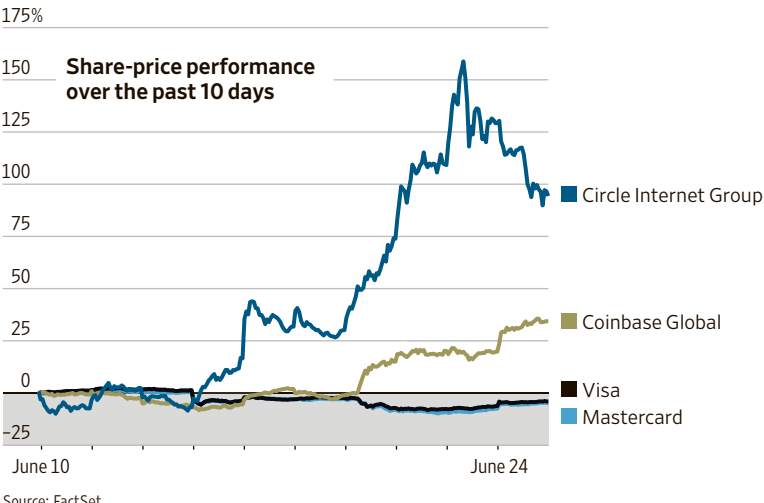
Stablecoins have a shot at being used in a lot of consumer payments. If they play their cards right.

Investors seem to be betting that stablecoins—digital tokens meant to represent a fixed amount of a fiat currency such as the U.S. dollar—could rapidly disrupt how we pay for things.

Following the Senate’s passage of a stablecoin-regulation bill last week, shares of crypto companies such as **Circle Internet Group** and **Coinbase Global** surged 49% and 36% respectively. Shares of **Visa** and **Mastercard**, by contrast, are both down around 2%.

But before the market runs away with this trade, it is important to understand what drives the consumer-payments business—and just how hard it is to dislodge cards.

The key thing about consumer payments is that it isn’t just about technology. There are already many so-called rails, both public and private, on which money can move. Instead, what keeps cards at the center of payments are their unique economics, and their universality. In places such as the U.S., credit or debit cards are held by virtually every consumer and accepted by almost every mer-



chant. They provide banks and consumers with financial incentives to keep using them. And they have mechanisms to handle security, as well as disputes between buyers and sellers.

Of course, merchants are the ones who in a sense pay for all that, by paying fees to accept card payments. So merchants are usually among the first to rush to embrace other ways to pay. The Wall Street Journal reported that some giant merchants are exploring issuing stablecoins.

Many payment forms have found specific lanes, or operate in the background. But especially in the U.S., cards have remained central to consumer commerce, whether in physical or digital form.

Could this time be different for stablecoins? Stablecoins can use public blockchains to move over the internet, making them widely accessible to adopt in payments. They are especially appealing in countries where people want to operate in U.S. dollars, but can’t

get U.S. dollar bank accounts.

However, card networks are adapting. Both Visa and Mastercard enable partners to offer cards whose payments can be funded by cryptocurrencies, including stablecoins.

Merchants can then collect the payments the way they would with any card transaction. No new setup is required. These network operators are also offering ways for merchants and others to themselves be paid in stablecoins. That includes USDC, which is issued by Circle.

Then there is the incentive question of why a consumer would want to transact directly in stablecoins over cards. The latter often pay out generous rewards to holders.

Stablecoins have a potential mechanism to do something similar. Each coin has a reserve fund that aims to ensure it can be redeemed for its fixed fiat currency value.

Those funds generate interest revenue. That creates a kitty that can fund rewards to people who pay with those tokens, as with discounts or points.

But that reserve income goes to the coin issuers, not merchants who accept the payments. Mer-

chants would need to negotiate with those players, whether they are banks or others, to get a share of the economics.

If merchants pursue their own coins, then they could in theory fully fund their own rewards programs. It would be similar to how some retailers today, such as **Starbucks**, hold customers’ preloaded dollars in accounts. They can also earn interest on that cash.

But this pathway might only be available to the biggest merchants. And, to make customers more willing to hold money in those accounts, merchants might want to issue cards linked to their wallets. Then customers can use those funds to pay at other sellers.

All this only applies to people paying with existing funds. What about credit? That requires a lender, and typically a card network to facilitate the transaction. Coinbase, for example, has announced it is launching a rewards credit card via the **American Express** network.

Stablecoins will have many uses in payments, particularly outside the U.S., and in behind-the-scenes transactions. But the fastest way into most people’s wallets will still be through a card.

—Telis Demos

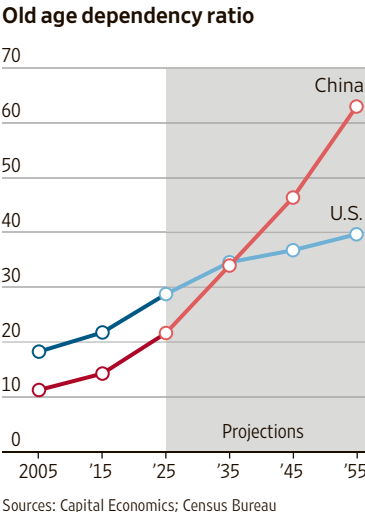
How Diapers Predict The Stock Market

Demography may be destiny, but can understanding it make you money?

Growing or aging populations have been behind some of the wrongest economic predictions ever. The most infamous was by Thomas Malthus who in the late 18th century foresaw global war and starvation. And it was barely a decade ago that author Harry S. Dent Jr. said the Dow Jones Industrial Average would fall as low as 5500 as retiring baby boomers caused a depression.

But getting the analysis right, which required some nuance, could have paid off big time. For example, the migration of hundreds of millions of young Chinese people from the countryside to coastal factories helps explain the U.S. investing bubbles of the last few decades.

It kept inflation low and, indirectly, money cheap, but at the cost of hollowing out American manufacturing. Retiring baby boomers notwithstanding, America’s younger population and friendliness to immigration helped



make economic growth stronger than that of export powerhouses like Japan.

The next 30 years don’t look as rosy. A measure called the dependency ratio—the number of people above retirement age for every 100 still in their working years—is now around 29 in the U.S. compared with 19 back in 2010. A report



China’s one-child policy and rising life expectancy helped cause an epic deterioration in its dependency ratio.

from Vicky Redwood at Capital Economics predicts it will be above 39 by 2055.

That matters. Working people pay taxes that fund new roads, help governments finance deficits and, crucially, pay for the health and living expenses of all those retirees. Japan, where adult diapers have outsold baby ones for years, is far worse off today than America at 51. Germany, another export powerhouse facing anemic growth, is at 40.

But the scariest deterioration will be in the country that helped make America’s boom possible: China’s yearslong one-child policy,

rising life expectancy and babies seemingly going out of fashion have combined to cause an epic deterioration. Its dependency ratio was an ultralow 10.3 at the turn of the century. It is twice that now and is seen reaching 63 in 2055—23 points higher than America’s projected level.

The upshot for investors is that owning both stocks and bonds in the developed world could be less rewarding. Higher interest rates, expensive labor and more money diverted to benefits will sap economic growth. And faltering pension plans—America’s main Social Security trust fund might be ex-

hausted by 2034—could even spark intergenerational conflict.

For developing countries other than China, though, the picture is brighter. India, Mexico, South Africa and Brazil have lots of young people and slowly rising dependency ratios. More troubled ones like Nigeria are even lower and falling. Meanwhile, many of their long-shunned stocks are cheap—emerging markets overall fetch a little over half of America’s earnings multiple.

Lots of babies aren’t the only reason they might be good places to invest, but it’s a big one.

—Spencer Jakab

MARKETS

Emirati Oil Boss Grabs U.S. Energy Moment

By Christopher M. Matthews and Benoît Morenne

Standing in one of Abu Dhabi’s ornate palaces last month, the oil boss Sultan Ahmed Al Jaber presented President Trump with a gift: a single drop of oil from the emirate’s Murban Bab oil field.

“The highest-quality oil there is on the planet, and they only gave me a drop,” Trump joked at the time. “So I’m not thrilled.”

If Al Jaber’s ambitions are realized, the chief executive officer of Adnoc—**Abu Dhabi National Oil Co.**, Abu Dhabi’s state-owned oil company—will soon have far greater offerings for Trump.

XRG, the company’s international investment arm, plans to deploy billions of dollars in the U.S. It is part of the United Arab Emirates’ goal to boost the value of its energy investments there to \$440 billion over the next decade—about \$50 billion less than **Exxon Mobil**’s market capitalization.

It aims to take stakes in U.S. oil and gas fields and chemical and gas export plants as well as power projects to support the development of artificial intelligence. Those aspirations position XRG to become one the largest foreign

investors in U.S. energy.

During Trump’s visit to Abu Dhabi, Al Jaber briefed the president on the plans as the pair stood before a giant screen emblazoned with the phrase “Making Energy Great Again.” Trump, who has aggressively courted foreign investment, was thrilled, said people familiar with the matter.

The investment plan puts Al Jaber at the center of the relationship between the U.S. and the U.A.E., one of Washington’s closest allies in the region based on their longstanding trade and security ties.

Adnoc, once a middling player on the international stage, has emerged as one of the world’s most ambitious—and well-funded—energy companies under his stewardship.

Al Jaber has deftly navigated his country’s palace politics to become a key adviser to the ruling Emiratis. In addition to his role as Adnoc CEO and XRG executive chairman, he is the U.A.E. minister of industry and advanced technology. In March, he traveled with Sheikh Tahnoon bin Zayed Al Nahyan, the national-security adviser, to the White House. There, the delegation said the U.A.E. would invest \$1.4 trillion in the U.S.

“The U.A.E. has become a bridge between East and

West, and we have become a global economic center,” Al Jaber said in an interview.

About a year ago, Adnoc purchased a 11.7% stake in a \$18 billion natural-gas export terminal being built by the developer NextDecade at the Port of Brownsville in Texas. The plant, which is expected to start producing liquefied natural gas in 2027, will be one of the largest in the world.

Such an investment would have been almost unthinkable for Adnoc a decade ago. Al Jaber has trained the company’s eye abroad to diversify its assets and make it less dependent on producing oil domestically.

He said he is particularly bullish about the U.S., which teems with fossil fuels and low-carbon energy, as well as big technology companies scrambling to find enough power for their AI ambitions. “Investing in the U.S. will probably be the highest representation on our balance sheet going forward,” he said.

The U.A.E.’s presence in international energy has long

been eclipsed by that of its powerful ally—and sometimes rival—Saudi Arabia. **Aramco**, Saudi Arabia’s national oil company, is a petrochemical powerhouse in dozens of countries. But the U.A.E. has started to catch up.

Abu Dhabi-owned companies and funds, including Adnoc and Mubadala Energy, invested billions of dollars in stakes in natural-gas projects and energy companies in the U.S., Mozambique, Egypt and Azerbaijan—as well as chemical ventures in Europe.

In 2022, a unit of the Abu Dhabi Investment Authority acquired a 10% noncontrolling interest in Sempra Infrastructure, which is developing several LNG projects in the U.S. and Mexico. Mubadala Energy in April agreed to acquire a 24.1% interest in private-equity firm Kimmeridge’s SoTex, which owns companies that drill for shale gas in Texas and are developing an LNG project on the Gulf Coast.

Ben Dell, a managing part-

ner of Kimmeridge, said America offers the U.A.E. low-cost energy supplies needed to develop AI capabilities. “The U.A.E. and the U.S. are becoming natural partners,” he said.

The U.A.E. has sought to build a dominant AI sector to bolster its postoil economy. During Trump’s visit, Emirati officials persuaded his team to greenlight a deal to give their country access to millions of **Nvidia**’s most-advanced chips. Al Jaber views AI as driving the next stage of evolution and said the U.A.E. is making decadeslong bets to align its economy with it.

A chemical engineer by training, Al Jaber earned scholarships from Adnoc and studied at the University of Southern California before working his way up the rungs of his country’s energy industry. He has said it was his dream to work for Adnoc.

In 2016, U.A.E. President Sheikh Mohammed bin Zayed al Nahyan tapped him to restructure Adnoc. Al Jaber cut staff and courted foreign investment, causing a stir at home. He boosted Adnoc’s oil production. The company’s transformation earned him the trust of the president, according to people close to the company.

Daniel Yergin, vice chair-



Sultan Ahmed Al Jaber, CEO of Abu Dhabi’s Adnoc.

man of S&P Global and a veteran energy expert, said he first met Al Jaber in 2007, when he was tasked with building a renewable business in Abu Dhabi. Today, the U.A.E. is one of the world’s biggest state financiers of clean energy. “He makes things happen,” Yergin said of Al Jaber. Al Jaber courted controversy as the president of the United Nations’ 2023 climate-change conference in Dubai. The selection of the oil boss angered environmentalists. For his part, Al Jaber was incensed over what he said were misrepresentations about his views on climate change. Under his leadership, the summit reached a first-of-its-kind deal calling for “transitioning away from fossil fuels,” though it didn’t explicitly commit to phasing them out.